ENPR6304032

Export-Import Foundations

Midterm · Weeks 1–7

Dr. Nur Azmi Karim · International Business through Exporting-Importing

SECONDBRAIN

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ENPR6304032 · INTERNATIONAL BUSINESS THROUGH EXPORTING-IMPORTING · WEEKS 1–7 · MIDTERM SCOPE

Export-Import Foundations

A study report on every midterm lecture: organizing for export and import, the law of export and import (including Permendag (Peraturan Menteri Perdagangan, Regulation of the Minister of Trade) No. 11 of 2024 and its annex of controlled goods), export procedures, sales documentation, other export documents, export controls and licences, and import procedures. Each section explains the reasoning: what causes what, and why the rule or structure exists.

Sources: lecture decks 01–07 (Dr. Nur Azmi Karim), Bade (2015) Ch. 1–6, Permendag 11/2024 + Lampiran I; Part J adds official texts of the other regulations in the video; Part K places every export-import regulation on its level (international, national, regional)

CHAPTER 1 · START HERE

The course map: seven weeks, one transaction

The midterm covers seven lecture weeks. They are not seven separate topics. Weeks 1–2 build the **foundation** (who does the work, and which law applies). Weeks 3–6 follow an **export** from first idea to licence. Week 7 runs the same logic from the **importer's** side. Every week also serves LO1 (Learning Outcome) (export/import processes, regulations, practices); from Week 5, LO2 adds market opportunities and trade mechanisms.



ABBREVIATIONS IN THIS FIGURE: **DG** Dangerous Goods · **EAR** Export Administration Regulations

FIGURE 1.1 **Read it as:** laws create obligations (W2, W6); the company builds an organization to meet them (W1); each step of a deal produces documents that prove compliance (W3–W5, W7). Most exam questions become "explain the cause and the effect".

PART A

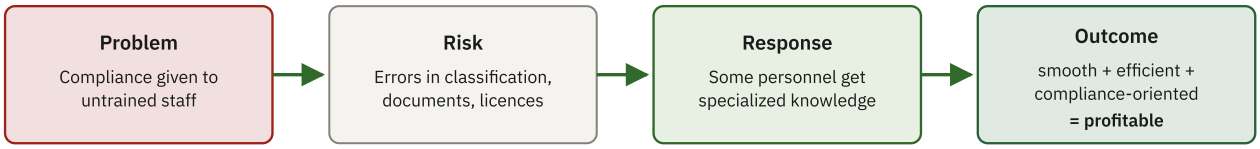
WEEK 1 · ORGANIZING FOR EXPORT AND IMPORT

CHAPTER 2 · PART A · WEEK 1 · ORGANIZING FOR EXPORT AND IMPORT

Why a company must organize for export and import

The lecture opens with a real-world problem, not a definition. When a company first starts selling abroad or buying raw materials abroad, the compliance work usually lands on someone in the supply chain team who has **little or no background** in trade regulation. Almost nobody plans a career in import/export compliance, yet the role is "highly necessary and valued".

The argument of the lecture then runs as a chain:



THE LOGIC

The slide writes "compliance-oriented (and, therefore, profitable)". The word *therefore* is the key: compliance is presented as a **cause** of profit, not a cost that reduces it. Non-compliance creates delays, fines, seizures and lost buyers. Avoiding those costs is what makes the program profitable.

CHECK YOURSELF

Answer from memory, then check below.

1. **Why does the lecture describe a compliance-oriented export/import program as "therefore, profitable"?**
   - A. Compliant firms pay lower income tax
   - B. Avoiding fines, delays and seizures keeps operations smooth and efficient, which protects profit
   - C. The government subsidizes compliant exporters
   - D. Compliance staff also generate sales leads
2. RECALL **What problem does Session 1 open with?**

Answers 1. B **2.** Companies that start exporting or importing usually give the compliance task to someone in the supply chain group with little or no background in regulatory compliance.

CHAPTER 3 · PART A · WEEK 1 · ORGANIZING FOR EXPORT AND IMPORT

How the export/import structure grows

There is no single correct organization chart. The slides give three variables that decide what the structure looks like: **company size**, **trade volume**, and **which tasks are done in-house versus outsourced**.

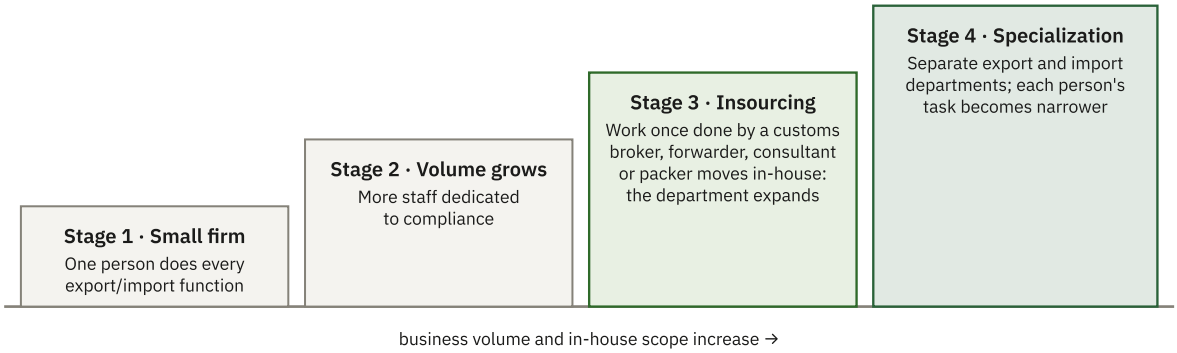


FIGURE 3.1 **Division of labour:** as volume rises, it becomes cheaper to have specialists who handle one task many times than generalists who handle many tasks once.

THE LOGIC

The same personnel can also hold **other roles** in the company (for example, a purchasing officer who also files import entries). So "the export department" is a set of **functions**, not necessarily a separate room of people. In a small firm the functions exist even though they all sit with one person.

EXAM TRAP

"A large company must have a separate export department" is false as an absolute rule. The slides say structures **vary from company to company**; separation is a tendency that follows volume, not a legal requirement.

CHECK YOURSELF

Answer from memory, then check below.

1. In a small company, how are export and import functions usually handled?

A. By a separate export department and import department

B. Always by an outside customs broker

C. By one person who performs all the relevant functions

D. By the CEO personally

2. RECALL **Why does specialization appear as business grows?**

Answers 1. C **2.** Higher volume means each task is repeated often, so it pays to have specialists; tasks once done by one person become narrower.

CHAPTER 4 · PART A · WEEK 1 · ORGANIZING FOR EXPORT AND IMPORT

Starting an import/export business, and the import cycle

Part of the deck uses an Indian example (an online guide on starting an import/export business). The steps are general; only the agency names are Indian.

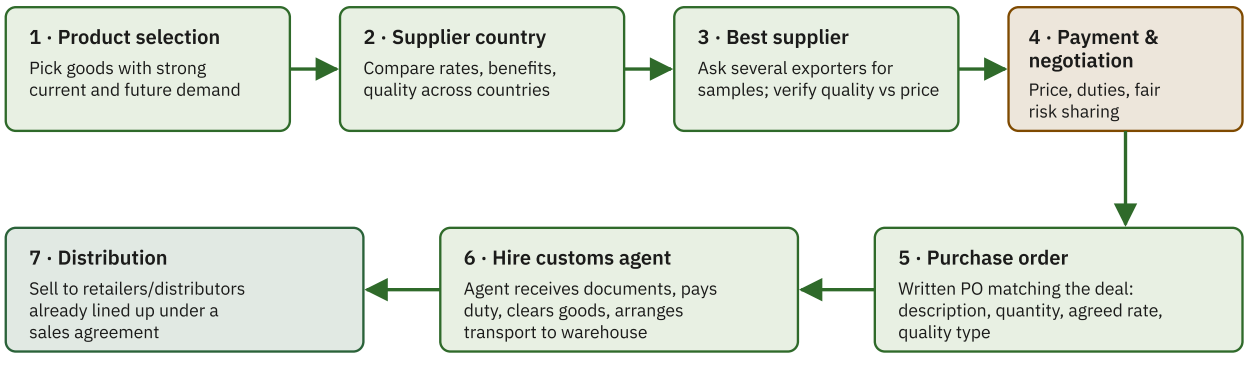
Step zero: create the legal identity

Before any trade, the business needs (1) a brand name or legal entity, kept **separate** from other ongoing businesses to make customs procedures easier, and (2) a government registration code that identifies it as a trader. In the Indian example this is the **IEC** (Import Export Code), which requires a tax number (PAN (Permanent Account Number)) first.

> **Indonesian equivalent (added context, not on the slides):** the business identity number is the **NIB** (Nomor Induk Berusaha), issued through the OSS (Online Single Submission) system, and the tax number is the **NPWP (Nomor Pokok Wajib Pajak, Taxpayer Identification Number)**. The ordering logic is the same: tax identity → business identity → trading permissions. The Indian "CHA" (Customs House Agent) corresponds to a licensed customs broker, in Indonesia a **PPJK (Pengusaha Pengurusan Jasa Kepabeanan, licensed customs broker)**.

The 7-step import cycle

Each step needs the output of the step before it. That dependency is the reason the order cannot be shuffled, and it is how you should memorize the cycle.



What each step hands to the next:

1→2 a product (you can only look for source countries once you know what you buy) · 2→3 a shortlist country · 3→4 a verified supplier and sample
4→5 agreed terms (the PO must mirror them) · 5→6 a binding order and shipping documents · 6→7 cleared goods in your warehouse

ABBREVIATIONS IN THIS FIGURE: **PO** Purchase Order

THE LOGIC

Step 4 is called "the most important process" because it fixes **who carries which risk** (price, payment, duty). A good deal is one where both parties share risk fairly. Notice that import duty is discussed during negotiation, not after arrival: the duty cost changes whether the price is actually profitable.

CHECK YOURSELF

Answer from memory, then check below.

1. **Why is payment and negotiation called the most important step in the import cycle?**
   - A. It is the step where goods are cleared through customs
   - B. It sets the final deal: price for the quality, import duties, and how risk is shared
   - C. It is the only step that needs a lawyer
   - D. It decides which retailer will sell the product

2. **In the 7-step import cycle, which step comes directly after "payment terms and negotiation"?**
   - A. Product selection
   - B. Hiring a customs agent
   - C. Issuing the purchase order as per the deal
   - D. Product distribution

3. RECALL **Step zero before trading (Indian example)**

Answers 1. B **2.** C **3.** Set up a brand/legal entity kept separate from other businesses, then register for an Import Export Code (IEC), which requires a PAN tax number first.

CHAPTER 5 · PART A · WEEK 1 · ORGANIZING FOR EXPORT AND IMPORT

The export compliance department

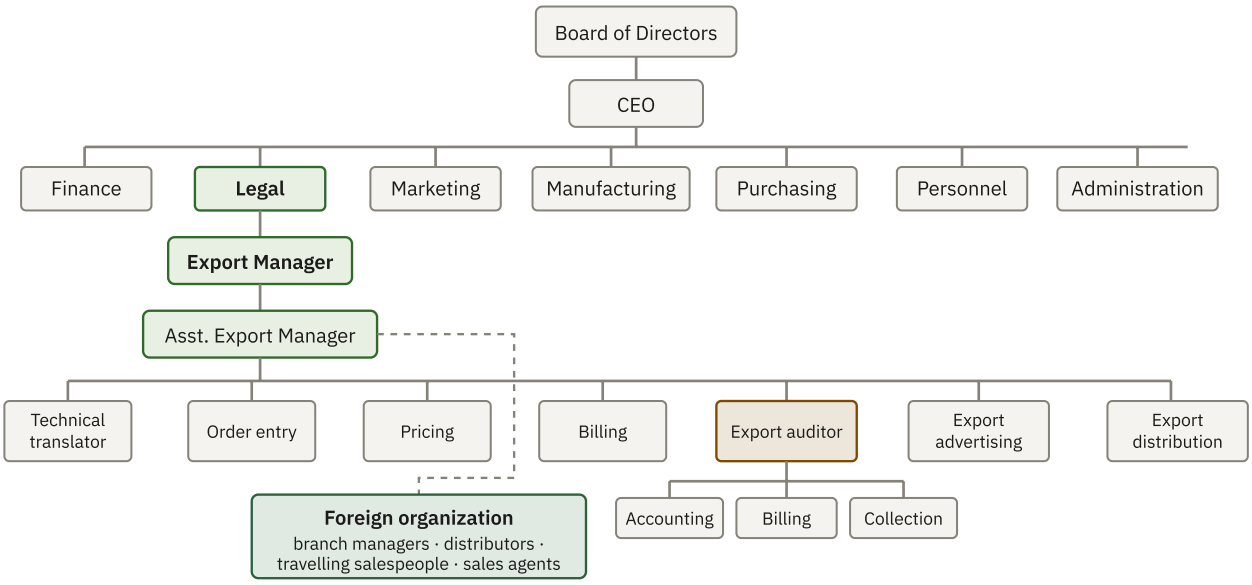
In many companies exporting begins inside **sales or marketing**: they find foreign leads, or foreign orders arrive through the website. The trigger for creating real structure is the first foreign order, because the salesperson then discovers the order cannot be handled like a domestic sale.

QUESTION THE EXPORT ORDER RAISES	WHY IT DIFFERS FROM A DOMESTIC SALE	WHO MUST ANSWER IT
How do we deliver?	International carriage, longer distance, export documents	Distribution / shipping
How is payment guaranteed?	Buyer is abroad and harder to pursue; letters of credit, bid bonds	Finance
Who insures the goods?	Risk passes at a point agreed in the sale terms	Finance / insurance
Is special packing, picking or manufacturing needed?	Different standards, labelling and transit conditions	Manufacturing, packaging

THE LOGIC

Because an export order needs input from **several departments** (credit, insurance, packing, shipping), someone has to coordinate them. That coordinator role is what becomes the export department. This explains why, in every flowchart below, the export department sits in the middle.

Export organization chart



ABBREVIATIONS IN THIS FIGURE: **CEO** Chief Executive Officer

FIGURE 5.1 **Two details to notice.** (1) In this textbook chart the Export Manager reports under **Legal**, which signals that exporting is treated first as a legal-compliance function. (2) The foreign organization hangs off a **dashed** line: distributors and agents abroad are linked to the company by contract, not by direct employment.

CHECK YOURSELF

Answer from memory, then check below.

1. **In the textbook export organization chart, the Export Manager sits under which department?**
   - A. Marketing
   - B. Legal
   - C. Purchasing
   - D. Personnel

2. **According to the slides, in many companies the export department starts in which function?**
   - A. Legal
   - B. Finance
   - C. Sales or marketing
   - D. Manufacturing

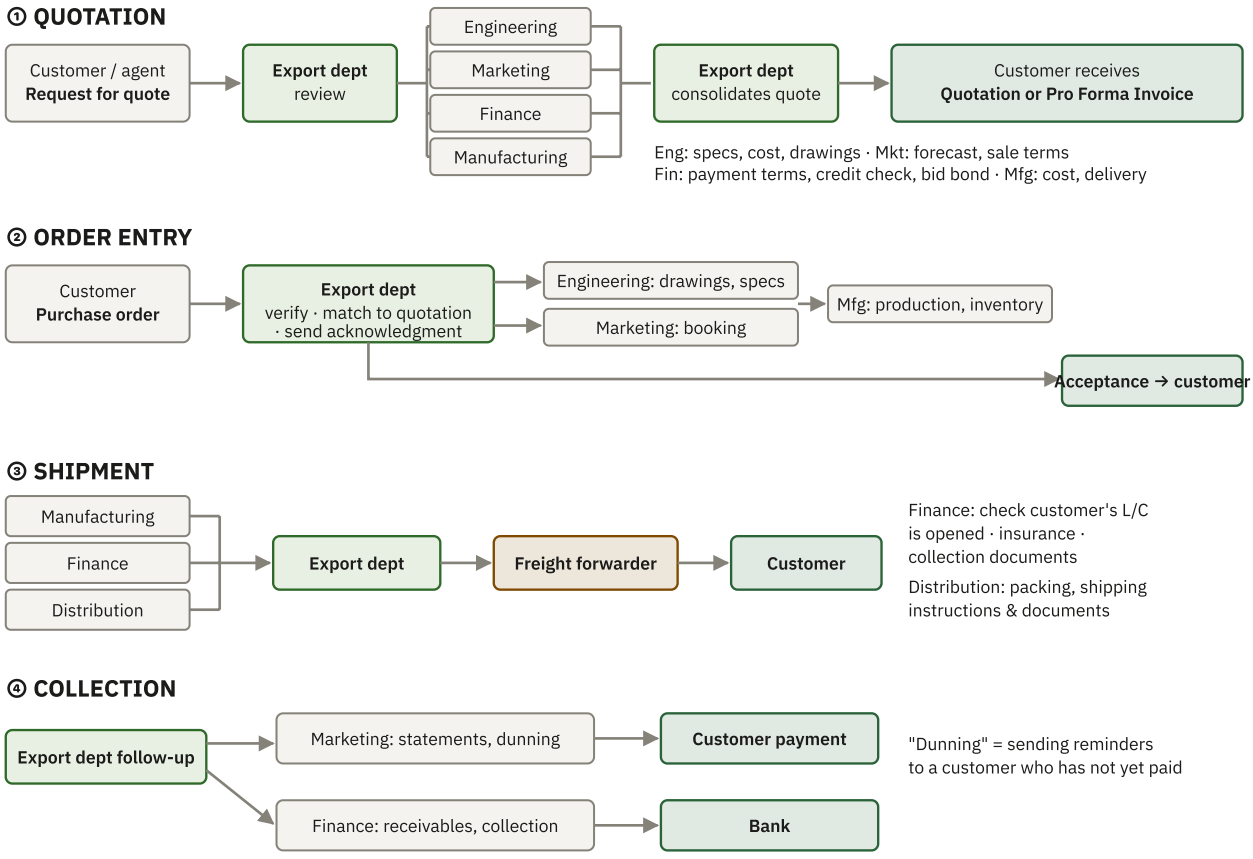
3. RECALL Export compliance department: where does it usually start?

Answers 1. B **2.** C **3.** In sales or marketing, which finds foreign leads or receives foreign orders via the website.

CHAPTER 6 · PART A · WEEK 1 · ORGANIZING FOR EXPORT AND IMPORT

Export order processing: four flows, one pattern

Bade's textbook breaks export order processing into four stages. Every stage follows the same **hub pattern**: the export department receives something, sends it out to the departments that hold the needed information, then consolidates and passes it on.



ABBREVIATIONS IN THIS FIGURE: **L/C** Letter of Credit

THE LOGIC BEHIND THE SEQUENCE

- **Quote before order:** the quotation (or pro forma invoice) fixes price and terms; the purchase order is then **checked against** it ("match to quotation"). Without a quote, there is nothing to verify the order against.
- **Finance checks the L/C before shipment:** once goods leave, the exporter loses its leverage. Confirming the buyer's letter of credit is opened is how the exporter makes sure it will be paid **before** giving up control of the goods.
- **Collection documents are prepared at shipment, used at collection:** stage ③ creates what stage ④ needs.

CHECK YOURSELF

Answer from memory, then check below.

1. **In the shipment flow, what does Finance check before goods are sent?**
   - A. That the customer's letter of credit has been opened
   - B. That the factory has finished production
   - C. That the translator is available
   - D. That marketing has booked the order
2. **At order entry, the export department verifies the customer's purchase order by matching it to:**
   - A. The bill of lading
   - B. The quotation
   - C. The commercial invoice
   - D. The insurance certificate
3. RECALL **Four stages of export order processing**

Answers 1. A **2.** B **3.** Quotation → Order entry → Shipment → Collection. In each, the export department is the hub.

CHAPTER 7 · PART A · WEEK 1 · ORGANIZING FOR EXPORT AND IMPORT

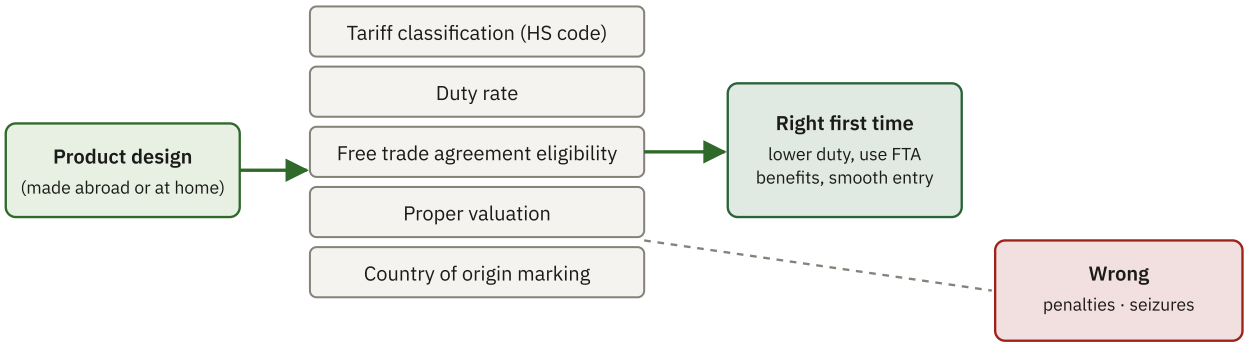
The import department

For importers or trading companies, the import department usually starts in one of three ways:

- Appointed as a local distributor for a foreign manufacturer
- Buying foreign products with local sales potential
- Moving manufacturing abroad and importing what used to be made at home

Because foreign manufacturers often sell **FOB (Free On Board)** (the buyer takes over cost and risk once goods are loaded at the origin port), the importer itself must understand ocean shipping, insurance and customs. This pulls the importer into working with foreign forwarders, customs brokers, banks, customs authorities and marine insurers.

Compliance starts at the design stage



ABBREVIATIONS IN THIS FIGURE: **HS** Harmonized System · **FTA** Free Trade Agreement

FIGURE 7.1 **Why at design stage?** The physical make-up of a product (materials, components, where it is assembled) decides its HS (Harmonized System) code, duty rate, FTA (Free Trade Agreement) eligibility and origin. Once the product is designed and built, those facts are fixed. Changing them afterwards is costly or impossible.

CHECK YOURSELF

Answer from memory, then check below.

1. According to the slides, when does import compliance begin?

A. When the goods arrive at the port
B. When the customs broker is hired
C. At the product design stage
D. When the importer receives the invoice

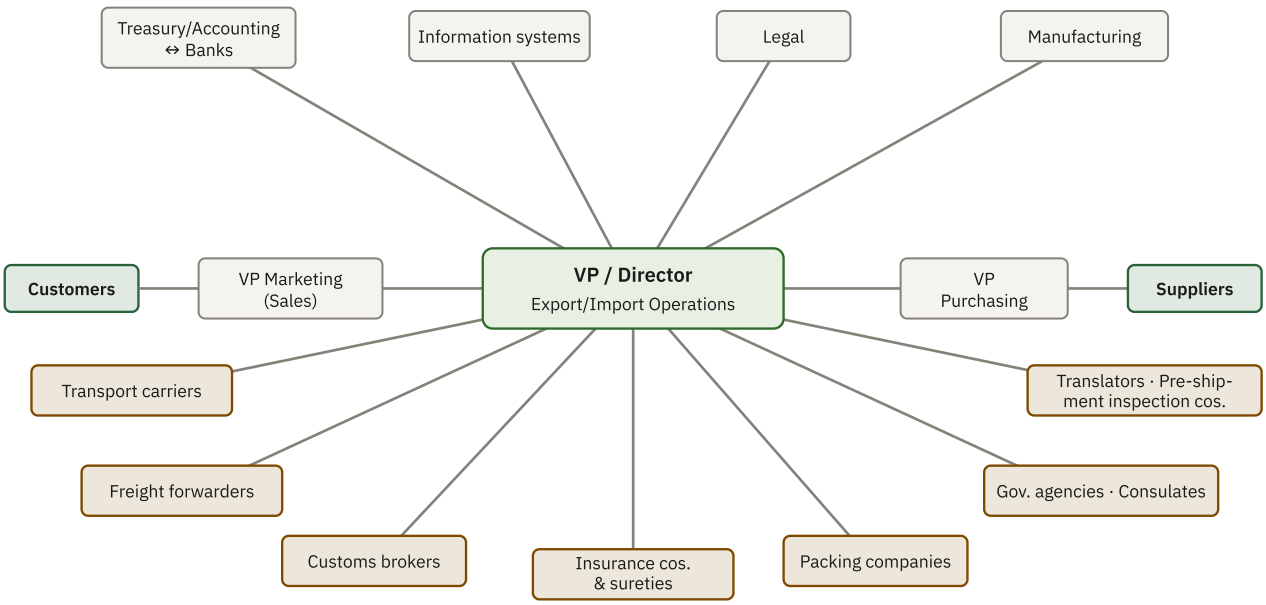
2. RECALL **Three ways an import department typically starts**

Answers 1. C **2.** Designation as local distributor for a foreign manufacturer; buying foreign products with local sales potential; moving manufacturing abroad and importing the output.

CHAPTER 8 · PART A · WEEK 1 · ORGANIZING FOR EXPORT AND IMPORT

Combined departments and the web of outside providers

Combining export and import functions follows the same volume logic as section A2: small volume → one or two people handle both; growing volume → separate departments, each developing its own expertise.



ABBREVIATIONS IN THIS FIGURE: **VP** Vice President

FIGURE 8.1 **Read the colours:** blue = the coordinating hub; grey = internal departments; amber = outside service providers; green = trading partners. Customers connect through Sales and suppliers through Purchasing, so the hub reaches them indirectly.

THE LOGIC

Each outside provider is a **task the company chose not to do itself** (link back to section A2: insourcing makes the department grow). The more of these spokes a company brings in-house, the larger its own export/import team becomes.

CHECK YOURSELF

Answer from memory, then check below.

1. Besides higher volume, what else makes the export/import department expand?

A. Bringing in-house work that used to be contracted to brokers, forwarders, consultants or packers

B. Moving the head office

C. Hiring a new CEO

D. Switching from sea freight to air freight

2. RECALL **Who sits at the centre of the outside-provider diagram?**

Answers 1. A **2.** The VP/Director of the Export/Import Operations Department, linked to internal departments, customers (via Sales), suppliers (via Purchasing), and outside providers.

CHAPTER 9 · PART A · WEEK 1 · ORGANIZING FOR EXPORT AND IMPORT

Recordkeeping compliance and the penalty formula

Exporters and importers have always had to keep records of their trade transactions, but these obligations are now **mandatory by law**. Electronic documents (emails, web purchases, online confirmations, e-invoices) make it more important to show that the customer actually accepted the terms, for example by written email confirmation or a required click-through link before the order completes. Agencies have moved to electronic filing, but that **does not remove** the duty to keep hard-copy records.

If a company fails to produce documents that U.S. Customs and Border Protection requests, the fine depends on **intent** and is capped by **whichever is less**:

TYPE OF FAILURE	FIXED CAP	PERCENTAGE CAP	FINE APPLIED
Intentional	US$100,000	75% of appraised value	the **lower** of the two
Negligent or accidental	US$10,000	40% of appraised value	the **lower** of the two

Work it out

Appraised value of the goods (US$)	Failure type
50,000	Intentional

Fixed cap: US$100,000
75% of US$50,000 = US$37,500
Lesser of the two → fine = US$37,500
Here the percentage cap is lower, so it applies.

A worked example. The online notebook lets you change these values.

THE LOGIC

The percentage cap protects small shipments from a fine larger than the goods are worth; the fixed cap limits the fine on very large shipments. Negligence is fined far less than intent because the law punishes the **decision to hide** more heavily than a careless mistake. Compare: at a value of US$50,000, intent costs US$37,500 while negligence costs US$10,000.

CHECK YOURSELF

Answer from memory, then check below.

1. **An importer negligently fails to produce records. The appraised value is US$20,000. What is the maximum fine?**
   - A. US$10,000
   - B. US$15,000
   - C. US$8,000
   - D. US$20,000
2. **An importer intentionally fails to produce records requested by U.S. Customs. The goods' appraised value is US$200,000. What is the maximum fine?**
   - A. US$150,000
   - B. US$100,000
   - C. US$80,000
   - D. US$10,000
3. RECALL **Recordkeeping fine: negligent or accidental failure**

Answers 1. C **2.** B **3.** Up to US$10,000 or 40% of appraised value, whichever is LESS.

PART B

WEEK 2 · FEDERAL, STATE, INTERNATIONAL AND FOREIGN LAW

CHAPTER 10 · PART B · WEEK 2 · FEDERAL, STATE, INTERNATIONAL AND FOREIGN LAW

Layers of law: which law governs what

The textbook (U.S. setting) separates two questions: **may these goods cross the border?** and **is this sales contract valid?** Different levels of law answer them.

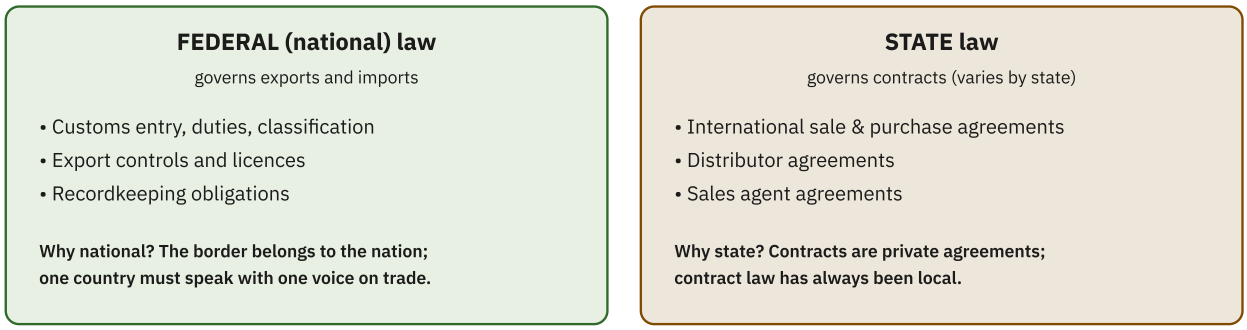


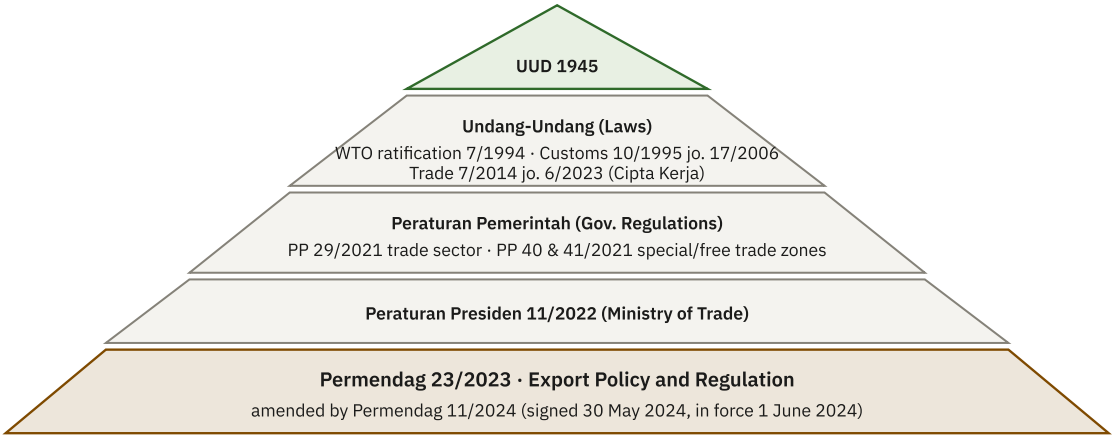
FIGURE 10.1 **Plus two outer layers** named in the chapter title: **international law** (treaties such as the WTO (World Trade Organization) agreement and trade agreements) and **foreign law** (the importing country's own rules, which the exporter must also satisfy).

EXAM TRAP

A single transaction is governed by **several layers at once**. Example: an Indonesian exporter selling to a U.S. buyer must comply with Indonesian export rules, the contract terms (governed by whichever contract law the parties chose or that applies), U.S. import rules (foreign law from the exporter's view), and WTO commitments that shaped both countries' rules.

The Indonesian hierarchy, read from Permendag 11/2024 itself

The slide says Indonesian export policy is "outlined in laws, Presidential Regulations and Ministerial Regulations" and "determined and implemented by the Central Government". The *Mengingat* (legal basis) section of Permendag 11/2024 shows exactly which higher rules it rests on:



Lower rules must have a basis in higher rules. A ministerial regulation can set details (lists, licences), but only within the authority the laws above give it.

ABBREVIATIONS IN THIS FIGURE: **UUD 1945** Undang-Undang Dasar, the 1945 Constitution · **Permendag** Peraturan Menteri Perdagangan, Regulation of the Minister of Trade · **WTO** World Trade Organization

Indonesia has no federal or state level. Part K maps Bade's federal/state/international/foreign layers onto Indonesia's international, national and regional levels and lists every regulation at each level.

CHECK YOURSELF

Answer from memory, then check below.

1. **In the U.S. system described in the textbook, international sales contracts and distributor agreements are governed mainly by:**
   - A. Federal law
   - B. State law
   - C. WTO rules only
   - D. The importing country's law only

2. RECALL **Four layers named in the chapter title**

Answers 1. B **2.** Federal, state, international (treaties, WTO) and foreign law (the other country's rules).

CHAPTER 11 · PART B · WEEK 2 · FEDERAL, STATE, INTERNATIONAL AND FOREIGN LAW

Why governments regulate trade at all

The slides give the purpose of export policy in three points, and the technical requirements that follow from them. Read them as **goal → instrument** pairs:

POLICY GOAL (SLIDE 7)	WHAT IT IMPLIES IN PRACTICE
A conducive business climate	Clear, predictable rules and licensing so exporters can plan
Healthy business competition	Same requirements for every exporter of a product; no one skips standards to undercut prices
National interests and international agreements	Control strategic goods, while staying within WTO and trade-agreement commitments

Technical requirements (slide 6) are how goods prove they meet those goals: meet international or buyer standards (labelling, marking, packaging); pass conformity assessment by quality bodies (LPK (Lembaga Penilaian Kesesuaian, Conformity Assessment Body), LS-Pro (Lembaga Sertifikasi Produk, Product Certification Body) product certification bodies, inspection bodies); and meet **K3L** (security, health, safety, environment).

THE LOGIC

Notice that **K3L** (or **K3LM** with *Moral*) appears again and again: in technical requirements, in the classification of export goods, and in the import policy objectives. It is the main **justification** the government uses whenever it restricts trade. If an exam asks "why is product X controlled?", one strong answer is to identify which K3LM interest it protects.

CHECK YOURSELF

Answer from memory, then check below.

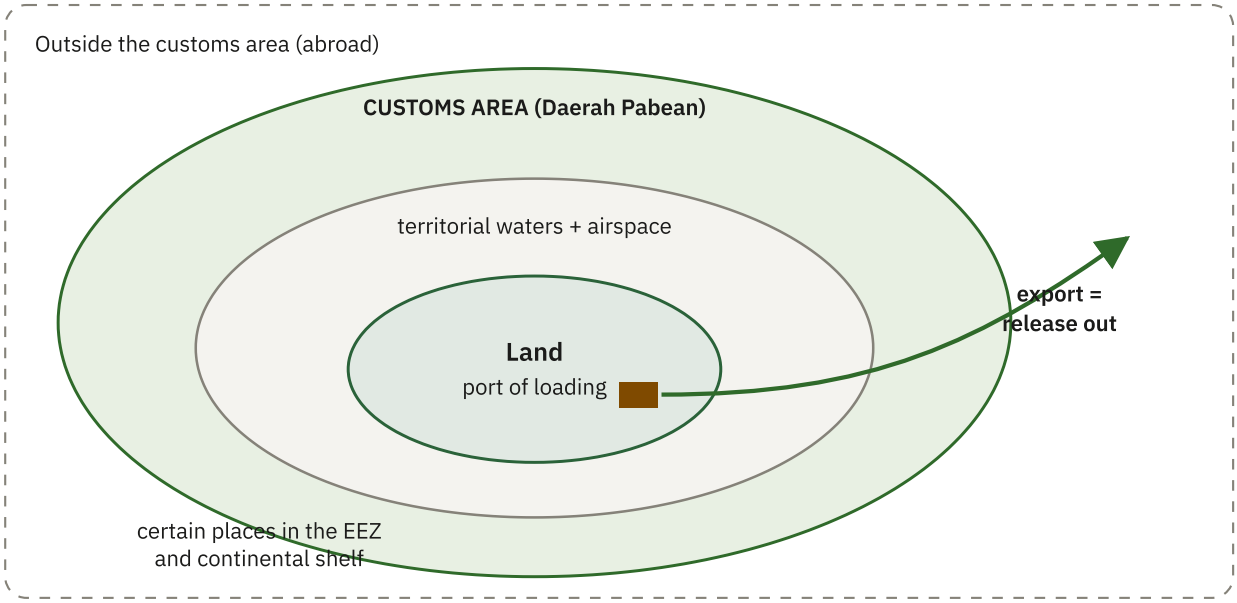
1. RECALL **Three purposes of export policy (slide 7)**

Answers 1. A conducive business climate; healthy business competition; national interests and related international agreements.

CHAPTER 12 · PART B · WEEK 2 · FEDERAL, STATE, INTERNATIONAL AND FOREIGN LAW

What "export" means legally

Definition from the slides: **export is the activity of releasing goods from the customs area**. The definition is about crossing a **legal boundary**, not about selling to a foreigner.



ABBREVIATIONS IN THIS FIGURE: **EEZ** Exclusive Economic Zone (Zona Ekonomi Eksklusif, ZEE)

FIGURE 12.1 **The port** is the legally defined place (land plus surrounding waters with set boundaries) where ships dock and goods are loaded, with safety facilities, so it is where the customs release normally happens.

THE LOGIC

Because export is defined as a release from the customs area, the **customs export declaration** (Pemberitahuan Pabean Ekspor, PEB) is the legal proof of when an export happened. Permendag 11/2024 uses exactly this: mineral concentrates "may only be exported until 31 December 2024 ... **as proven by the number and registration date of the customs export declaration**". The date of the sale contract does not matter; the date of the customs release does.

CHECK YOURSELF

Answer from memory, then check below.

1. What is the legal definition of export used in the lecture?

A. Selling goods to a foreign buyer
B. Receiving payment in foreign currency
C. Releasing goods from the customs area
D. Loading goods on a ship

2. RECALL **Legal definition of export**

Answers 1. C **2.** The activity of releasing goods from the customs area.

CHAPTER 13 · PART B · WEEK 2 · FEDERAL, STATE, INTERNATIONAL AND FOREIGN LAW

Who may export

Under the regulation as presented on the slides, exports can be carried out by a **company or an individual** that holds:

Business licence (SIUP) + Sector licence from the technical ministry / agency, where required + Company registration (TDP) + Tax number (NPWP)

Current practice (context, not on the slides): SIUP and TDP have been merged into the **NIB** issued through OSS (risk-based licensing). If your lecturer's exam follows the slides, list the four items above. If a question asks about today's system, mention that NIB now performs the identity function of SIUP / TDP.

THE LOGIC

Each document answers a different question for the state: **who are you** (registration), **are you allowed to do this kind of business** (business licence), **are you allowed to handle this specific product** (sector licence), and **can we tax you** (NPWP).

CHECK YOURSELF

Answer from memory, then check below.

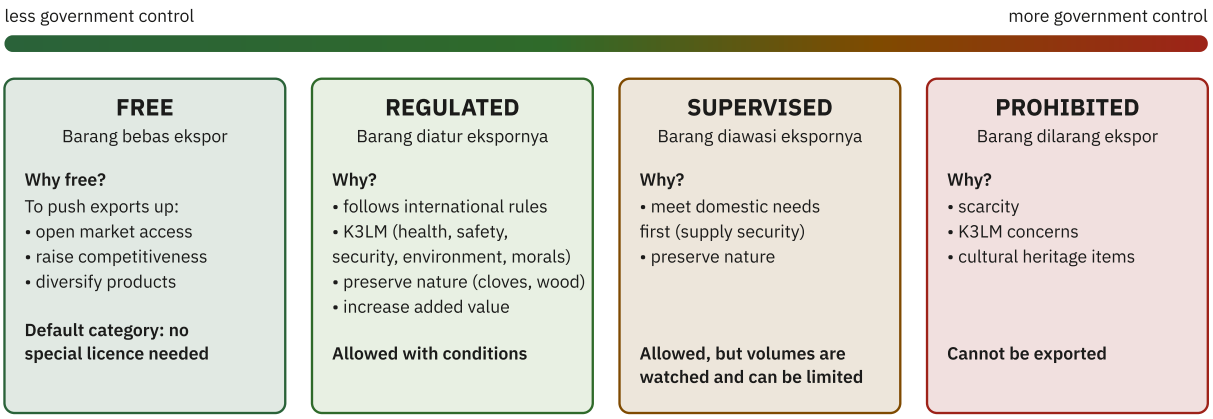
1. RECALL **Export requirements listed on the slides**

Answers 1. Business licence (SIUP), sector licence from the technical ministry / agency where required, company registration (TDP), taxpayer number (NPWP). Today SIUP / TDP are replaced by the NIB via OSS.

CHAPTER 14 · PART B · WEEK 2 · FEDERAL, STATE, INTERNATIONAL AND FOREIGN LAW

The four classes of export goods

The slides sort export goods by how much control the government applies. Arrange them on a single scale and the reasons line up:



ABBREVIATIONS IN THIS FIGURE: **K3LM** K3L plus Moral bangsa, the nation's morals

HOW TO CLASSIFY ANY PRODUCT (DECISION ORDER)

Ask the most restrictive question first, then relax: **1.** Is it on the prohibited list? → stop. **2.** Is it supervised because domestic supply must come first? → export only within allowed volumes. **3.** Is it regulated (listed in the Lampiran as needing ET (Eksportir Terdaftar, Registered Exporter), PE (Persetujuan Ekspor, Export Approval) or LS (Laporan Surveyor, Surveyor's Report))? → get those permits. **4.** None of the above → free to export. Starting from the strictest check avoids the mistake of "it is a normal product, so it is free" when it is actually listed.

Where do the four classes come from? The old rule versus today's law

The four classes on the slide come straight from a regulation, but an **old** one. Current law uses three classes.

PERIOD	REGULATION	CLASSES OF EXPORT GOODS
1998–2012	Kepmenperindag (Keputusan Menteri Perindustrian dan Perdagangan, Decree of the Minister of Industry and Trade) 182/MPP/Kep/4/1998, replaced the same year by **558/MPP/Kep/12/1998** on General Export Provisions	**Four:** bebas free · diatur regulated: only a Registered Exporter (ET) may export · diawasi supervised: export needs the Minister's approval · dilarang prohibited
2012 onward	**Permendag 13/M-DAG/PER/3/2012** on General Export Provisions (revoked 558/1998)	**Three:** *Barang Bebas Ekspor* (free), *Barang Dibatasi Ekspor* (restricted), *Barang Dilarang Ekspor* (prohibited)
Today	**UU 7/2014 Pasal 50–54**, carried out by **Permendag 22/2023** (prohibited list) and **Permendag 23/2023 jo. 11/2024** (restricted goods, Lampiran I)	**Three:** everything is free "unless prohibited, restricted or otherwise set by law" (Pasal 50(1)); prohibited goods (Pasal 51); restricted goods (Pasal 54). Note: Permendag 23/2023 does not list the classes itself; it governs only the restricted goods, through ET, PE and LS

MEMORY HOOK

The two middle classes did not vanish; they merged into "restricted" and live on as **instruments**. Old **diatur** (only registered exporters) = today's **ET** column in the Lampiran. Old **diawasi** (Minister's approval) = today's **PE** column. The slide's reasons for supervising goods ("meet domestic needs", "preserve nature") now appear among the reasons for restricting exports in UU 7/2014 Pasal 54(2): meeting domestic needs, securing raw materials for domestic industry, protecting natural resources, adding value, and stabilizing prices.

For the exam: if a question follows the slide, give the four classes. Add one sentence that current law (UU 7/2014) groups them into three: free, restricted and prohibited. Part K has every regulation by level.

CHECK YOURSELF

Answer from memory, then check below.

1. Which reason is given for PROHIBITING the export of certain goods?

A. To meet domestic needs

B. To increase added value

C. Items of cultural value

D. To open market access

2. RECALL **Four classes of export goods**

Answers 1. C **2.** Free · Regulated (diatur) · Supervised (diawasi) · Prohibited (dilarang).

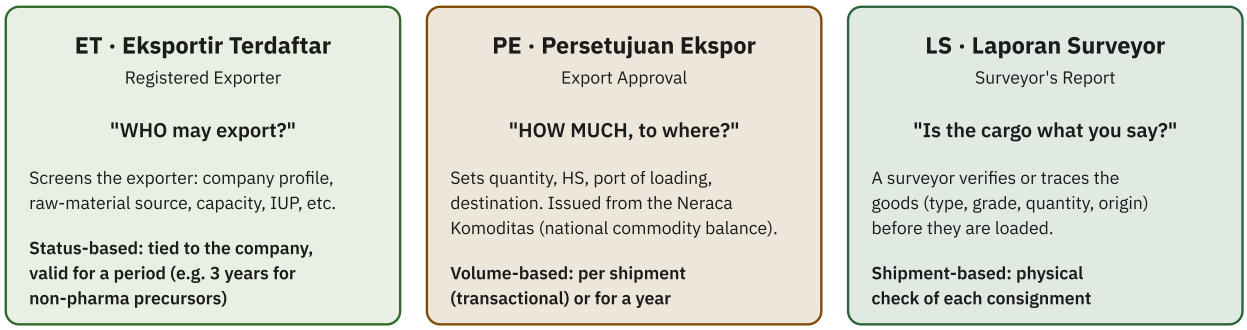
CHAPTER 15 · PART B · WEEK 2 · FEDERAL, STATE, INTERNATIONAL AND FOREIGN LAW

Reading the Lampiran: ET, PE and LS

The PDF you have is **Permendag No. 11 of 2024**, amending Permendag 23/2023 on Export Policy and Regulation. Its body changes one article (Article 49, on mineral concentrates) and replaces the annex. **Lampiran I**, "Perizinan Berusaha di Bidang Ekspor", lists **723 tariff lines in 18 commodity groups**. Every row has the same columns:

NO	POS TARIF/HS	URAIAN BARANG	PERSYARATAN	KETERANGAN	ET	PE	LS
293	2806.10.00	Hydrogen chloride	Recommendation from Ministry of Industry	PE issued per commodity balance	√	√	√

The three tick-columns are three different permits. Each answers a different question, which is why a product can need one, two or all three:



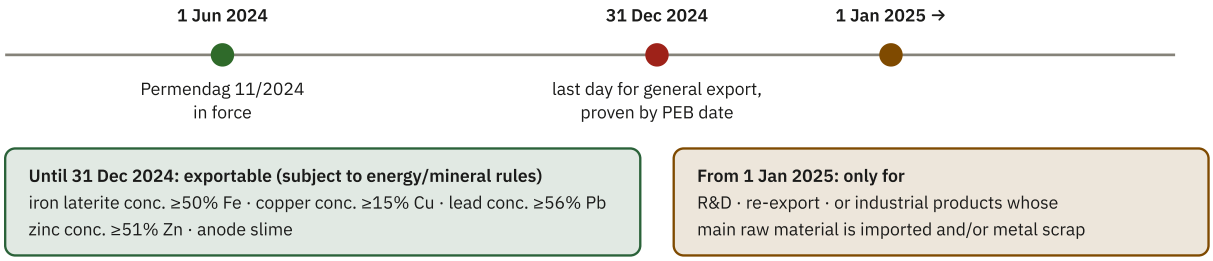
ABBREVIATIONS IN THIS FIGURE: **IUP** Izin Usaha Pertambangan, Mining Business Licence · **HS** Harmonized System

Examples taken directly from the annex show how the combination tracks the risk of each product:

GROUP (ROW NUMBERS)	EXAMPLE HS	ET	PE	LS	REASONING: WHAT RISK IS CONTROLLED
I. Swiftlet nests, SBW (1)	ex 0410.90.10	√	–	–	Food safety: exporter must be known and hold a **KH-12 sanitary certificate per shipment**. Even passenger baggage or parcels above 2 kg still need ET and KH-12, which closes the "small parcel" loophole.
II. Rice (2–10)	ex 1006.30.99	–	√	–	Domestic food supply: PE is issued only within the commodity balance agreed by the coordinating ministers' meeting.
VI. Forestry industry products (180–259)	ex 4407.11.90	–	–	√	Nature and added value: sawn timber must meet technical criteria (e.g. S4S, surfaced four sides); a surveyor checks the physical product.
VII. Rough diamonds (260–262)	7102.10.00	√	√	√	High value, easy to smuggle, conflict-mineral risk: all three checks.
VIII. Tin (263–)	ex 8001.10.00	√	√	√	Strategic mineral: exporter needs a mining licence (IUP) and MODI (Minerba One Data Indonesia, mining data system) registration; volume and grade are controlled.
IX. Metal waste and scrap (277–)	7204.10.00	–	√	–	Domestic industry needs scrap as raw material: exports need a 1-year export plan and are capped.
XI. Non-pharma precursors (293–316)	2914.11.00	√	√	√	Security: chemicals like acetone, toluene, potassium permanganate can be diverted to make illegal drugs.
XVIII. Coal products (708–723)	2704.00.10	–	√	–	Energy supply: needs industrial licence and Ministry of Industry recommendation; PE valid for a calendar year.

All other groups: III animals & animal products · IV CITES and non-CITES wild plants and animals · V CITES and non-CITES fish · X mining samples for R&D · XII non-subsidised urea fertilizer · XIII other fuels · XIV oil and gas · XV processed/refined mining products · XVI mining goods for R&D and re-export · XVII coal.

Article 49: a deadline that changes the rule



ABBREVIATIONS IN THIS FIGURE: **Permendag** Peraturan Menteri Perdagangan, Regulation of the Minister of Trade · **PEB** Pemberitahuan Ekspor Barang, export declaration · **R&D** Research and Development

FIGURE 15.2 **Reasoning:** the regulation's preamble says the change gives exporters a window to sell processed copper, iron, lead and zinc abroad "with legal certainty". After the window, the government wants these concentrates refined **inside** Indonesia, which is the "increase added value" reason for regulating exports. The three exceptions make sense because none of them takes domestic ore away from domestic smelters.

OUR ASSIGNMENT ON THIS TOPIC

Permendag No. 11 of 2024 and the GATT ban on quantitative export restrictions

CHECK YOURSELF

Answer from memory, then check below.

1. **Under amended Article 49 of Permendag 23/2023, from 1 January 2025 copper concentrate (≥15% Cu) may be exported only:**
   - A. Freely, without any permit
   - B. For research and development, re-export, or industrial products whose main raw material is imported and/or metal scrap
   - C. To ASEAN countries
   - D. With an ET only

2. **In the Lampiran of Permendag 11/2024, what does a PE (Persetujuan Ekspor) control?**
   - A. Whether the company is a registered exporter
   - B. The permitted quantity, HS code, port and destination, based on the commodity balance
   - C. A surveyor's physical inspection of the cargo
   - D. The sanitary condition of food products

3. RECALL **Swiftlet nests (SBW): what is required?**

Answers 1. B **2.** B **3.** ET-SBW plus a KH-12 sanitary certificate for every shipment. Even passenger baggage, border-crossing goods or parcels above 2 kg still need ET and KH-12.

CHAPTER 16 · PART B · WEEK 2 · FEDERAL, STATE, INTERNATIONAL AND FOREIGN LAW

Indonesia's import policy (2025)

Import policy uses the same toolbox as export policy, but points it the other way: it filters what comes **in**.

IMPORT POLICY OBJECTIVE (SLIDE 15)	INSTRUMENT THAT SERVES IT (SLIDES 16–18)
Protect national interests on K3LM	Prohibit imports of pornographic products, second-hand goods, and food and drugs that fail safety standards
Protect and raise farmers' incomes	Stop imports of strategic food such as consumption rice and sugar (food self-sufficiency)
Encourage use of domestic products	Tariff adjustment with partners, considering domestic businesses
Increase non-oil-and-gas exports	Trade agreement negotiations; better export and import services
Healthy domestic trade, conducive climate	PMK (Peraturan Menteri Keuangan, Minister of Finance Regulation) 4/2025: redefines consignments, self-assessment for business-entity importers, administrative sanctions for customs value errors; removing quotas for some commodities

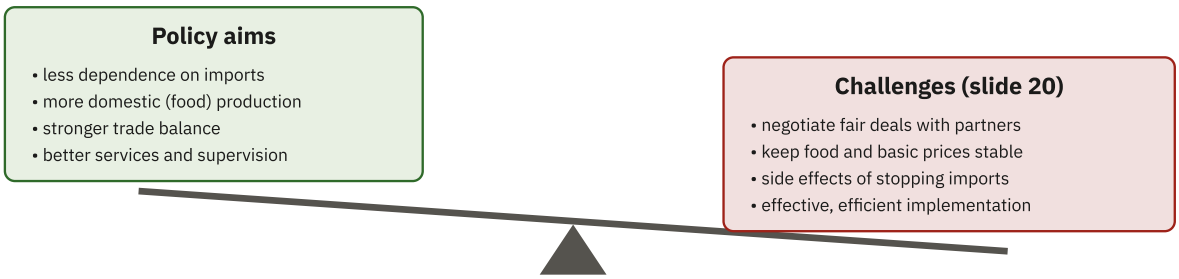


FIGURE 16.1 **Why these are challenges:** if imports of rice or sugar stop before domestic output can cover demand, supply falls and prices rise. Partners may also respond to new barriers with their own. Each protective tool creates a matching risk the government has to manage.

CHECK YOURSELF

Answer from memory, then check below.

1. RECALL Five import policy objectives (slide 15)

Answers 1. Protect national interests on K3LM; protect farmers' incomes; encourage domestic products; increase non-oil-and-gas exports; healthy domestic trade and business climate.

PART D

WEEK 3 · EXPORTING: PROCEDURES
(BADE CH. 2)

CHAPTER 17 · PART D · WEEK 3 · EXPORTING: PROCEDURES (BADE CH. 2)

Start with the product: six questions that decide everything

Before exporting, the exporter must understand what kind of product it is selling. The slides list six questions, and they say that the answers decide the methods of manufacturing and marketing, the documents, the export procedures, and how foreign law (including foreign customs law) treats the goods.

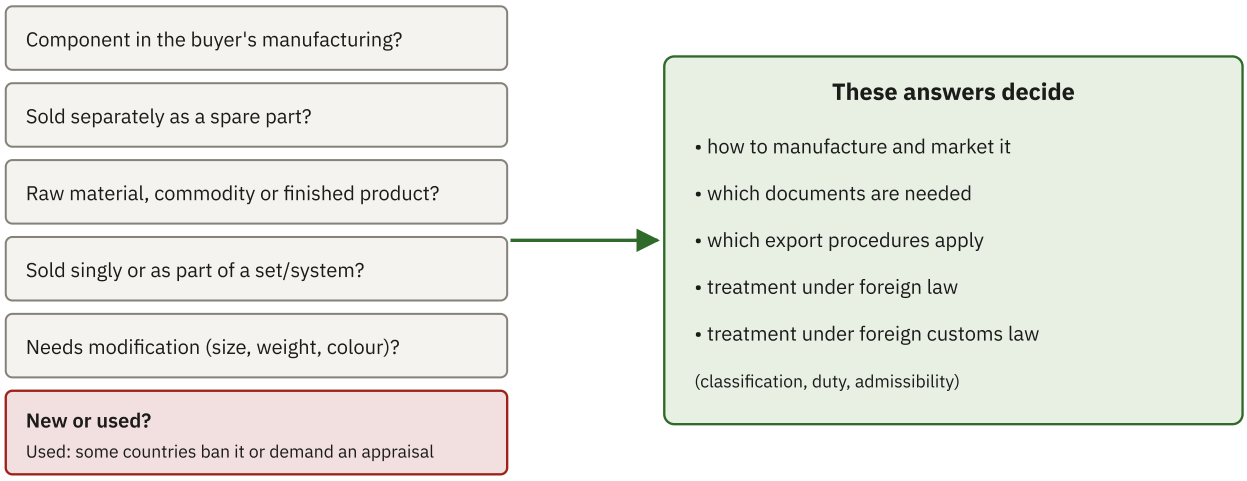


FIGURE 17.1 **Example of the logic:** a part sold as a component for the buyer's factory is classified, priced and documented differently from the same part sold as a retail spare. A used machine may be refused or delayed at the border, which in turn affects the delivery date in the contract.

Products that need special licences before export

Bade lists products whose exporters must give notice or obtain a special licence, permit or approval from a government agency. A long list is easier to remember once it is grouped by the reason for control:

REASON FOR CONTROL	PRODUCTS ON THE SLIDE
Security and weapons	Munitions; nuclear equipment, materials and waste; watercraft
Drug abuse	Narcotics and controlled substances; precursor chemicals; pharmaceuticals for human or animal use
Health and safety	Hazardous substances; biological products; consumer products that fail safety standards; adulterated or misbranded food, drugs, medical devices, cosmetics; flammable fabrics

REASON FOR CONTROL	PRODUCTS ON THE SLIDE
Environment and nature	Endangered species; fish and wildlife; ozone-depleting chemicals; tobacco seeds and plants
Energy supply	Natural gas; electric power; crude oil; certain petroleum-based chemicals and products

CONNECT IT

These are the same reasons Indonesia uses (K3LM, nature, supply). Compare Lampiran I: precursors (group XI), CITES (Convention on International Trade in Endangered Species of Wild Fauna and Flora) species (IV, V), oil and gas (XIV), coal (XVII). Different countries, same logic: a product is controlled when its export can harm security, health, the environment or domestic supply.

CHECK YOURSELF

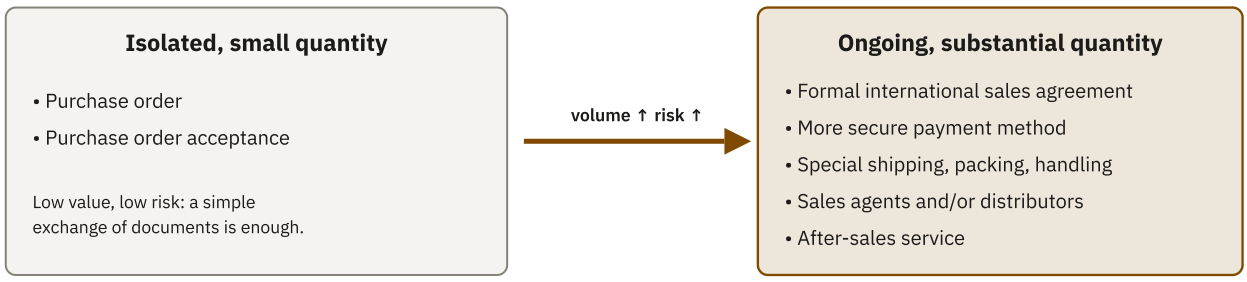
Answer from memory, then check below.

1. **According to Bade, why must an exporter first ask whether its product is a component, spare part, raw material or finished good?**
   - A. Because only finished goods can be exported
   - B. Because the answers decide manufacturing and marketing methods, documents, export procedures and treatment under foreign customs law
   - C. Because the answers determine the exporter's income tax
   - D. Because freight forwarders refuse unclassified goods
2. RECALL **Five reasons products need special export licences (grouping)**

Answers 1. B **2.** Security / weapons, drug abuse, health and safety, environment / nature, energy supply.

CHAPTER 18 · PART D · WEEK 3 · EXPORTING: PROCEDURES (BADE CH. 2)

Volume decides how formal the deal must be



THE LOGIC

Each extra item on the right exists because **more money is exposed for longer**. A larger, repeated flow justifies the cost of a lawyer-drafted agreement, a letter of credit and a local partner.

CHECK YOURSELF

Answer from memory, then check below.

1. **A company expects a large, ongoing flow of exports. Which arrangement does Bade say it may need?**
   - A. Only a purchase order and acceptance
   - B. A formal international sales agreement, more secure payment, special shipping/packing, agents or distributors, after-sales service
   - C. No documentation, because volume is high
   - D. Only a pro forma invoice
2. RECALL **Small vs large export volume**

Answers 1. B **2.** Small isolated: PO + PO acceptance. Large ongoing: formal sales agreement, secure payment, special shipping/packing, agents/distributors, after-sales service.

CHAPTER 19 · PART D · WEEK 3 · EXPORTING: PROCEDURES (BADE CH. 2)

Market research and export competitiveness

Many companies export only by responding to orders that happen to arrive. Bade says successful exporting requires **active** evaluation of world markets, at two levels:

Macro: population size | level of economic development | buying power +

Specific: competing products already in that country

Export competitiveness is a country's ability to compete in international trade. The slides give four factors:



FIGURE 19.1 **How the factors chain together:** production factors make **quality** possible at a **low cost**; logistics keeps that cost low on the way to the buyer; government policy changes the final price the foreign buyer pays (tariffs, subsidies, FTA preferences).

CHECK YOURSELF

Answer from memory, then check below.

1. **Which is NOT one of the four factors of export competitiveness on the slides?**
   - A. Production factors (HR, capital, technology)
   - B. Product quality
   - C. Logistics infrastructure
   - D. The exporter's brand logo

2. RECALL **Market research: macro and specific factors**

Answers 1. D **2.** Macro: population, economic development, buying power. Specific: competing products in that country.

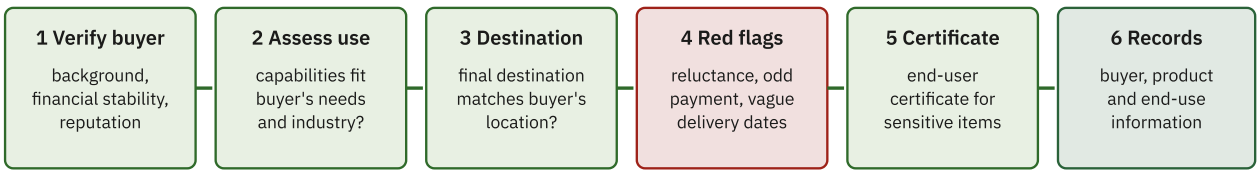
CHAPTER 20 · PART D · WEEK 3 · EXPORTING: PROCEDURES (BADE CH. 2)

Choosing the right customers: end users, distributors, sales agents

After choosing markets, the exporter picks specific counterparties. Bade calls this "highly important": some of the worst export experiences come from poor homework. It is cheaper to spend time evaluating partners than to **start over** because a partner cannot pay, cannot perform, or is difficult to work with.

COUNTERPARTY	WHAT IT DOES	WHAT YOU MUST CHECK
End user	Uses or consumes the product	Legitimacy, intended use, final destination (export control)
Distributor	Buys and resells in its country	Ability to pay, sales capability
Sales agent	Solicits orders for the exporter, does not buy	Reputation, market contacts, integrity (FCPA (Foreign Corrupt Practices Act), see E5)

Identifying end users: six steps



Goal: the product is used as intended and is not misused or diverted (compliance and security).

What export controls cover: What, Who, Why, Where

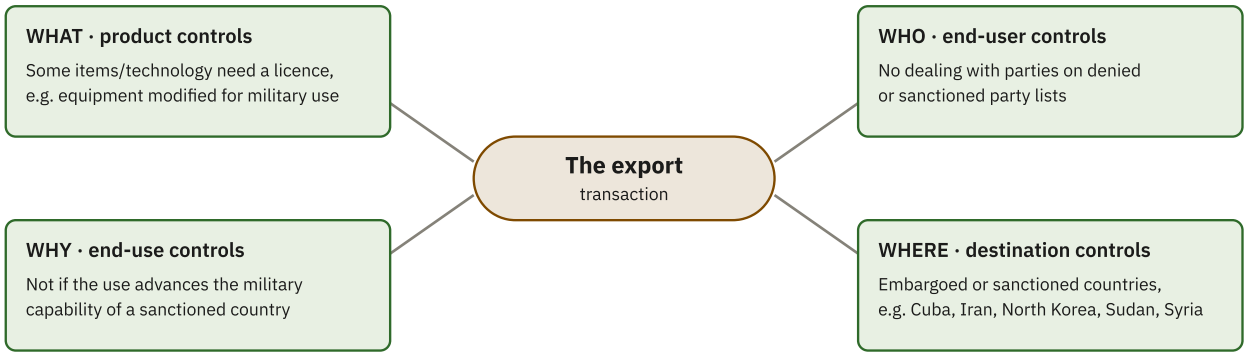


FIGURE 20.2 **Key idea:** a transaction must pass all four tests. A harmless product (passes WHAT) can still be illegal if the buyer is on a denied list (fails WHO) or plans a military use (fails WHY). The slide's example: carbon fibre can make golf clubs or missiles.

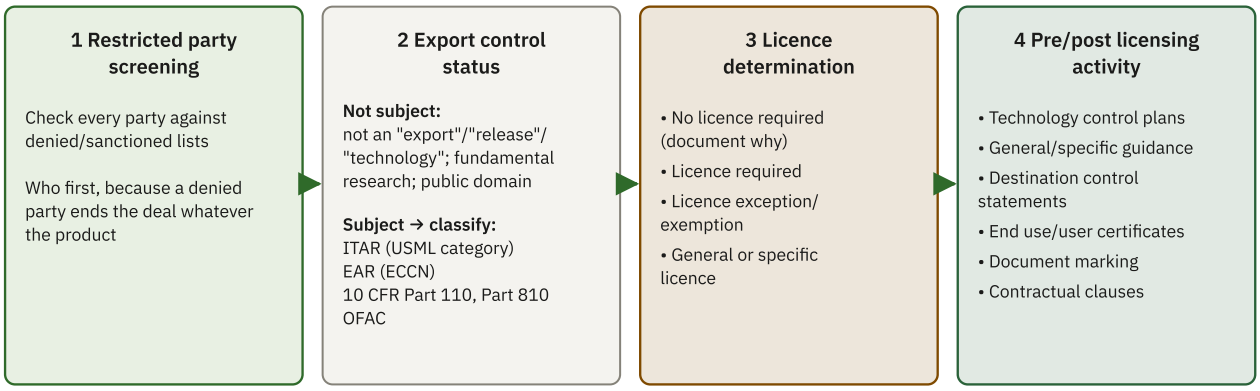
Red flags: "Know Your Customer"

The slide lists 13 warning signs. They fall into four patterns. In every one of them, something about the deal **does not fit** what a normal buyer would do:

PATTERN	RED FLAGS ON THE SLIDE
Identity does not fit	Name or address similar to a denied party; little or no business background
Product does not fit the buyer	Capabilities do not match the line of business (sophisticated computers for a small bakery); incompatible with the country's technical level (chip equipment to a country with no electronics industry); buyer unfamiliar with performance but still wants it; declines routine installation, training, maintenance
Money does not fit	Pays cash for a very expensive item where financing is normal
Logistics does not fit	Vague delivery dates or out-of-the-way destinations; a freight forwarder listed as final destination; abnormal shipping route; packaging inconsistent with shipping method or destination; evasive about domestic use vs export vs re-export; reluctant to give end-use information

10 General Prohibitions (catch-all controls) and the export control review

The ten prohibitions appear in both Week 3 and Week 6; they are explained in Part G. Week 3 adds the four **elements of an export control review**, which is the order a compliance officer works in:



ABBREVIATIONS IN THIS FIGURE: **EAR** Export Administration Regulations · **ITAR** International Traffic in Arms Regulations · **USML** United States Munitions List · **ECCN** Export Control Classification Number · **CFR** Code of Federal Regulations · **OFAC** Office of Foreign Assets Control

CHECK YOURSELF

Answer from memory, then check below.

1. **A small bakery orders sophisticated computers. Under Know Your Customer, this is a red flag because:**
   - A. Bakeries cannot pay by L/C
   - B. The product's capabilities do not fit the buyer's line of business
   - C. Computers are always prohibited exports
   - D. The order is too small
2. **Which item is listed as a red flag on the slides?**
   - A. The buyer requests installation and training
   - B. A freight forwarding firm is listed as the product's final destination
   - C. The buyer asks for a written contract
   - D. The buyer pays through a letter of credit
3. RECALL **Four patterns of red flags**

Answers 1. B **2.** B **3.** Identity does not fit; product does not fit the buyer or country; money does not fit (cash for expensive item); logistics do not fit (vague dates, forwarder as destination, odd route or packaging).

PART E

WEEK 4 · EXPORTING: SALES DOCUMENTATION (BADE CH. 3)

CHAPTER 21 · PART E · WEEK 4 · EXPORTING: SALES DOCUMENTATION (BADE CH. 3)

Why every export sale should be in writing

Sales come in two kinds: **isolated** transactions (one-off orders) and **ongoing** transactions (a continuing relationship). For both, the sales agreement is the most important document in the deal. The slides give three reasons it must be written:

1 · Legal enforceability

Under the U.S. Uniform Commercial Code, a sale above **US$500** is enforceable by the seller (so it can claim payment) only if it is in writing. There are exceptions, but writing is the safe practice.

2 · Memory fails

"The thinnest ink is better than the brightest memory." Disputes start when parties did not record, or never discussed, an issue.

3 · Checklist and record

A written agreement reminds both sides what to agree on and records what they agreed. **Modifications must also be in writing.**

Verbal deals still happen (commodity trading by phone, orders taken at trade shows or meetings). Online selling has made formal agreements less common, which raises the risk of misunderstanding. The seller should also check for **conflicting terms** between its own form and the buyer's form.

EMAIL ORDERS

An email order and acceptance can satisfy the "in writing" rule, but it usually contains only **quantity, price, and maybe a delivery date**. That leaves the seller unprotected on everything else. Fix: the seller's acceptance must state expressly that the sale is subject to the seller's standard terms and conditions, and **attach them**, with the buyer's acknowledgment, so the buyer cannot say it never saw them.

CHECK YOURSELF

Answer from memory, then check below.

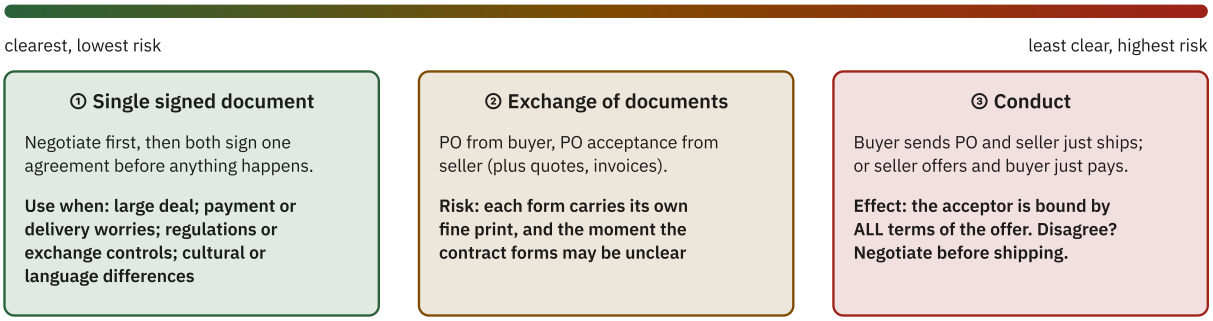
1. **A seller accepts a buyer's email order. What must the acceptance do to protect the seller?**
   - A. Repeat the price only
   - B. Expressly state that the seller's standard terms and conditions apply, and attach them
   - C. Be sent by post as well
   - D. Be signed by a notary
2. **Under the U.S. Uniform Commercial Code, a sale above what amount is enforceable by the seller only if it is in writing?**
   - A. US$100
   - B. US$500
   - C. US$5,000
   - D. US$10,000
3. RECALL **"The thinnest ink is better than the brightest memory"**

Answers 1. B **2.** B **3.** Disputes arise when parties do not document or discuss an issue. A written agreement is a checklist and a record. Modifications must also be written.

CHAPTER 22 · PART E · WEEK 4 · EXPORTING: SALES DOCUMENTATION (BADE CH. 3)

How a sales agreement is formed: offer and acceptance

A sales agreement is a contract: the passing of title to goods for a price, formed when both parties show **assent to the same terms** through offer and acceptance. There are three ways it can happen:



ABBREVIATIONS IN THIS FIGURE: **PO** Purchase Order

The document chronology



ABBREVIATIONS IN THIS FIGURE: **PO** Purchase Order · **RFQ** Request for Quotation

FIGURE 22.2 **The danger in the sequence:** a party may send something (a price list, an enquiry) without meaning to make an offer, and find that the other side, or the law, treats it as having formed a binding contract earlier than intended.

Each form, its risk, and the fix

FORM	RISK	FIX RECOMMENDED IN THE SLIDES
Price list	Usually not an offer, but the buyer might try to "accept" it immediately	State it is **not an offer**; no agreement until a PO (Purchase Order) is received and approved; give an **expiry date** and "subject to change"; include the seller's terms and conditions
Request for quotation	May carry the buyer's own terms, in fine print or by reference	Ask for the referenced terms before quoting; check for conflicts with the seller's terms. Buyer should request the seller's terms too
Quotation	Quoting a price that leaves too little or no profit	Use a **cost sheet** to capture all extra export and shipping costs before quoting
Purchase order	If the seller already made an offer, the buyer's PO terms (always written to favour the buyer) may govern	Seller's offer should say it is not an offer to sell, and no agreement exists until the seller **accepts** the PO

THE LOGIC

Every fix has the same goal: make sure the **seller decides** when the contract is formed and **whose terms** apply. Preprinted stationery-store forms save time but are not recommended, because their terms may not reflect what the parties actually intend.

CHECK YOURSELF

Answer from memory, then check below.

1. **A buyer sends a PO and the seller immediately ships without replying. What is the legal effect?**
   - A. No contract exists
   - B. A contract is formed by conduct, and the acceptance includes all the terms of the buyer's offer (PO)
   - C. The seller's standard terms automatically apply
   - D. The contract is void because it was not signed

2. What is the purpose of a cost sheet when preparing a quotation?

A. To calculate the buyer's import duty

B. To capture all extra export and shipping costs so the quote does not lead to a sale with too little or no profit

C. To list the buyer's terms and conditions

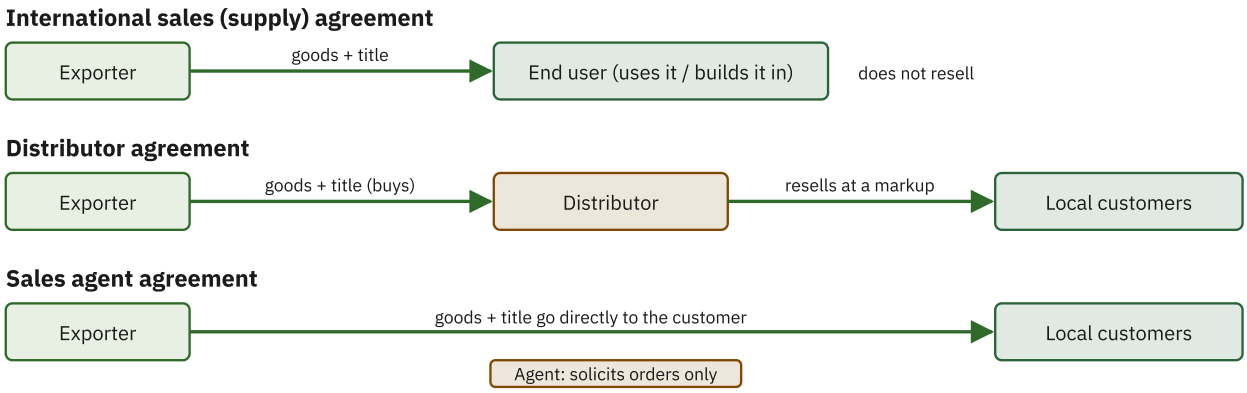
D. To replace the commercial invoice

3. RECALL **Definition of a sales agreement**

Answers 1. B **2.** B **3.** A contract formed by agreement for the passing of title to goods for a price; mutual assent to the same terms via offer and acceptance.

CHAPTER 23 · PART E · WEEK 4 · EXPORTING: SALES DOCUMENTATION (BADE CH. 3)

Ongoing sales: three kinds of agreement



	DISTRIBUTOR	SALES AGENT
Buys the product?	Yes, takes **ownership**	No
Risk of resale	Carries it	None (the exporter carries it)
How it earns	Resells at a higher price	Commission on orders it brings in (typical practice)
Can the exporter fix the resale price?	**No**: antitrust law in most countries forbids it, though the exporter may limit customers or territories	The exporter sets its own price, since it sells directly
How specific orders are made	Agreement is the framework; each order goes through POs and PO acceptances	Customer orders flow to the exporter

THE LOGIC

Ownership is the dividing line. Because the distributor owns the goods and bears the risk, the law lets it decide its own resale price. Because the agent never owns them, the exporter keeps control of the price but also keeps the credit risk on every customer.

CHECK YOURSELF

Answer from memory, then check below.

1. What best distinguishes a distributor from a sales agent?

A. The agent buys the goods; the distributor does not
B. The distributor buys, takes ownership and bears the risk of resale; the agent only solicits orders
C. Both take ownership
D. Only agents can be located abroad

2. Under antitrust law in most countries, a seller may NOT:

A. Limit the distributor's territory
B. Limit the distributor's customers
C. Require the distributor to resell at a specific price
D. Sign a written distributor agreement

3. RECALL **Distributor**

Answers 1. B **2.** C **3.** Buys, takes ownership, bears resale risk, earns by reselling at a higher price. Seller cannot fix its resale price (antitrust) but may limit customers or territories.

CHAPTER 24 · PART E · WEEK 4 · EXPORTING: SALES DOCUMENTATION (BADE CH. 3)

FCPA: why an agent's bribe can be the exporter's crime

The U.S. Foreign Corrupt Practices Act makes it illegal for an exporter's agent to pay money to a foreign government agency, official or political party to obtain or keep business. The **exporter** violates the law if it **knew** about it. Knowledge can be inferred from unusual circumstances that should have warned the exporter:

Agent asks for a special discount | an unusual allowance | an extra commission | payment to someone other than the agent → **exporter is charged with knowledge**

THE LOGIC

Extra money that has no business reason has to go somewhere. The law treats the exporter as knowing because a careful exporter would have asked where. That is why the agreement should include an FCPA compliance clause.

CHECK YOURSELF

Answer from memory, then check below.

1. **Under the FCPA, when does a U.S. exporter violate the law because of its agent's payment to a foreign official?**
   - A. Never, the agent alone is liable
   - B. When the exporter knew (or should have realized from unusual circumstances) the agent was doing it
   - C. Only if the payment exceeds US$500
   - D. Only if the official is in an embargoed country
2. (RECALL) **FCPA**

Answers 1. B **2.** U.S. law: illegal for an exporter's agent to pay foreign officials, agencies or parties to obtain or keep business. Exporter liable if it knew.

PART F

WEEK 5 · OTHER EXPORT DOCUMENTATION (BADE CH. 4)

CHAPTER 25 · PART F · WEEK 5 · OTHER EXPORT DOCUMENTATION (BADE CH. 4)

Freight forwarders: you can delegate the work, not the responsibility

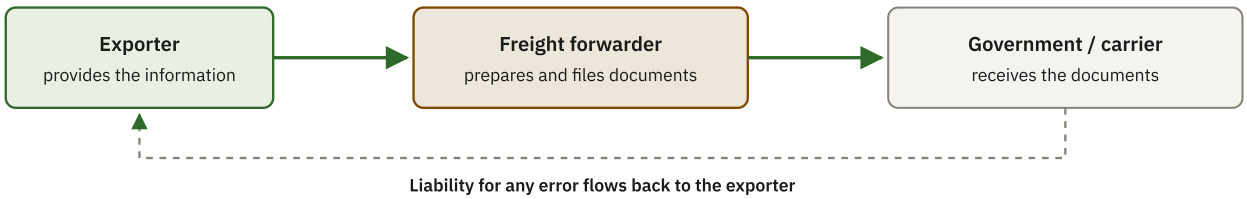


FIGURE 25.1 **Why the exporter must still understand every document:** (1) the law holds the exporter responsible for its agent's errors; (2) the forwarder works from the exporter's information, so when an error appears, the forwarder will say the exporter supplied wrong data.

CHECK YOURSELF

Answer from memory, then check below.

1. **An exporter's freight forwarder makes an error on an export document. Who is legally responsible?**
   - A. Only the forwarder
   - B. The exporter
   - C. The carrier
   - D. The buyer

2. RECALL **Freight forwarder liability**

Answers 1. B **2.** The exporter is legally responsible for the forwarder's errors, and the forwarder works from the exporter's information, so the exporter must understand every document.

CHAPTER 26 · PART F · WEEK 5 · OTHER EXPORT DOCUMENTATION (BADE CH. 4)

Four special export documents

DOCUMENT	WHO ISSUES / SIGNS	WHAT IT PROVES	WHY IT IS NEEDED
Certificate of origin	Signed by the exporter; certified (for a fee) by the local chamber of commerce	Where the goods were manufactured or produced	Some destination countries require it for customs entry; needed to claim **preferential tariffs** under trade agreements (e.g. NAFTA (North American Free Trade Agreement))
Shipper's declaration for dangerous goods	Exporter (shipper), to the land, air or sea carrier	Goods are properly classified, described, packaged, marked, labelled and fit for carriage	U.S. Hazardous Materials Transportation Act, IATA (International Air Transport Association) Dangerous Goods Regulations, IMDG (International Maritime Dangerous Goods) Code. Carriers need to know the hazard to carry it safely
DEA (Drug Enforcement Administration) Form 486	Exporter (or importer) of precursor and essential chemicals	Notice of the chemical shipment	These chemicals can make illegal drugs; in some cases the form is due **15 days before** export
Animal, plant and food certificates	U.S. Department of Agriculture services	Animals free of communicable disease (Export/Health Certificate, Veterinary Services); plants free of pests (Federal Phytosanitary Certificate, PPQ (Plant Protection and Quarantine) 577); meat and poultry integrity (FSIS (Food Safety and Inspection Service) Form 9060-6)	The importing country sets health requirements and may accept certificates issued in the exporting country

EXAM TRAP

A **certificate of origin** is not the same as a **country-of-origin label**. The label is marked on the product and its packaging; the certificate is a separate document that can supplement or replace that requirement. Before asking the forwarder whether a certificate is needed, the exporter should get from the **buyer** the full list of documents the destination's customs requires.

CONNECT IT

The dangerous goods list on the slide is long (explosives, radioactive materials, flammable liquids, gases and aerosols, dry ice, batteries, paints, pesticides, even cotton and matches). The reason is the same in every case: the **carrier** carries the risk during transport. In Indonesia's Lampiran, the same two concerns appear as export controls: precursors (group XI, ET+PE+LS) and animal products (SBW needs a KH-12 sanitary certificate).

OUR ASSIGNMENT ON THIS TOPIC

Bridging the e-SKA and the Dangerous Goods Declaration so a shipment avoids the Red Channel

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CHECK YOURSELF

Answer from memory, then check below.

1. **Which rules require a shipper's declaration for dangerous goods?**
   - A. UCC and FCPA
   - B. U.S. Hazardous Materials Transportation Act, IATA Dangerous Goods Regulations, IMDG Code
   - C. EAR and ITAR
   - D. GSP and AGOA

2. **The Federal Phytosanitary Certificate (PPQ 577) certifies that:**
   - A. Meat is fit for consumption
   - B. Live plants are free from plant pests
   - C. Animals are free of communicable diseases
   - D. Goods originate in the U.S.

3. RECALL USDA certificates

Answers 1. B **2.** B **3.** Export/Health Certificate (animals, Veterinary Services); Federal Phytosanitary Certificate PPQ 577 (plants); FSIS Form 9060-6 → Meat & Poultry Export certificate.

PART G

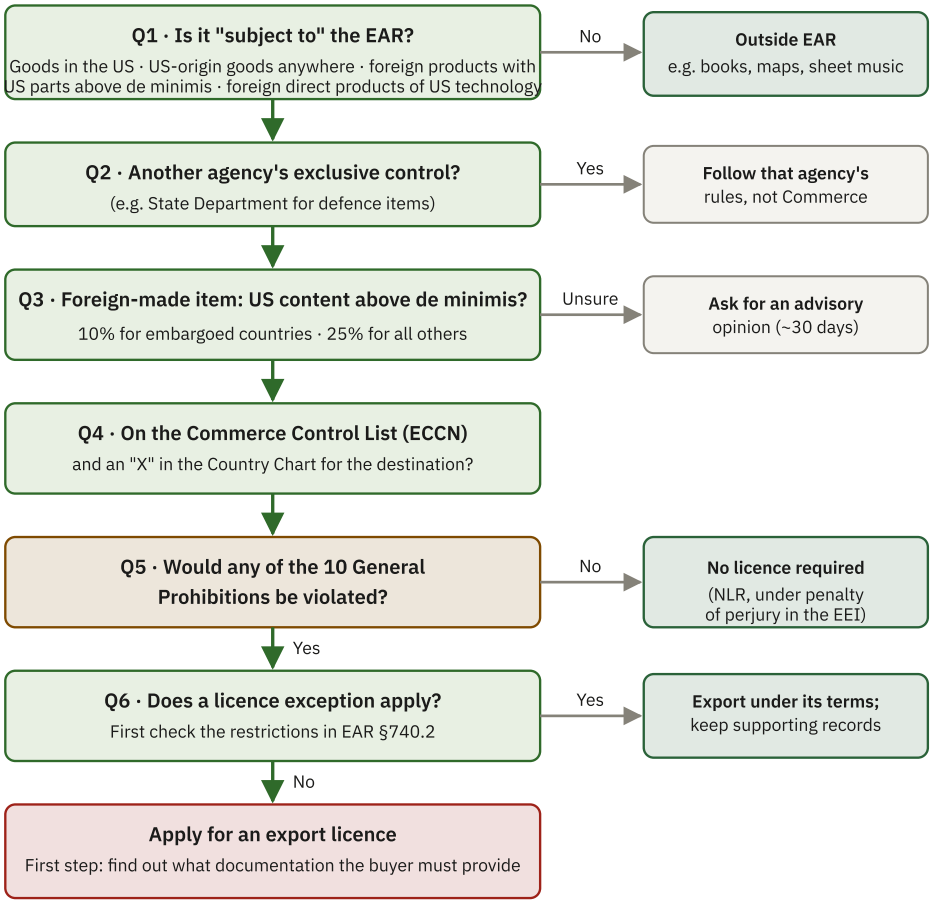
WEEK 6 · EXPORT CONTROLS AND LICENCES (BADE CH. 5)

CHAPTER 27 · PART G · WEEK 6 · EXPORT CONTROLS AND LICENCES (BADE CH. 5)

Do I need an export licence? The EAR decision path

The U.S. Export Administration Regulations (EAR) answer one question: does this export need a licence? Work through it in order. Each step can end the analysis.

Order matters: scope first, then jurisdiction, then classification, then prohibitions, then exceptions, and only then a licence application.



ABBREVIATIONS IN THIS FIGURE: **EAR** Export Administration Regulations · **ECCN** Export Control Classification Number · **EEI** Electronic Export Information · **NLR** No License Required

The de minimis rule, worked out

A product made abroad can still fall under U.S. control if it contains enough U.S.-origin parts. The threshold is lower for embargoed countries because the U.S. wants tighter control over what reaches them.

De minimis check

Value of controlled US-origin content (US$)

1,500

Total value of the foreign-made product (US$)

10,000

Destination

Other country (25%)

US content share = 1,500 / 10,000 = 15.0%
Limit for this destination: 25%
Within de minimis: the U.S. content alone does not bring the product under the EAR.

A worked example. The online notebook lets you change these values.

The 10 General Prohibitions

If none of these would be violated, no licence is required. They group into four themes, which is easier to remember than ten lines:

THEME	PROHIBITION
The item (what)	1. Export/re-export controlled items to listed countries without a licence
	2. Re-export/export from abroad foreign-made items with more than de minimis controlled U.S. content
	3. Re-export/export from abroad the foreign-produced direct product of U.S. technology and software
The party, use or place (who, why, where)	4. Actions prohibited by a Denial Order
	5. Export/re-export to prohibited end uses or end users
	6. Export/re-export to embargoed destinations
Dangerous activity and routing	7. Support of proliferation activities (weapons of mass destruction)
	8. Shipping through, transiting or unloading in prohibited countries

THEME	PROHIBITION
Knowledge and orders	9. Violating any order, term or condition of the EAR, a licence or an exception
	10. Proceeding with a transaction knowing a violation has occurred or is about to occur

MEMORY AID

Two mnemonics for the 10 General Prohibitions

1. Learn the order with one sentence. Each word starts with the same letter as the key word of one prohibition, from 1 to 10.

C*an* **D***ogs* **D***ig* **D***eep?* **E***very* **E***lephant* **P***robably* **T***ramples* **V***ery* **K***nowingly.*

#	WORD	PROHIBITION
1	**C**an	**C**ontrolled items to listed countries
2	**D**ogs	**D**e minimis US content
3	**D**ig	**D**irect product of US technology
4	**D**eep	**D**enial Order
5	**E**very	**E**nd use or end user
6	**E**lephant	**E**mbargoed destinations
7	**P**robably	**P**roliferation of weapons
8	**T**ramples	**T**ransit through prohibited countries
9	**V**ery	**V**iolating licence terms or orders
10	**K**nowingly	**K**nowledge of a violation

The three D's are easy to keep apart. Prohibitions 2 and 3 are about the product, and 4 is about the buyer.

2. Learn the logic with "What, Who, How, Know". Ask these four questions in order:

1. **What** is it, and how American is it? (1–3)
2. **Who** gets it, for what use, and where? (4–6)
3. **How** is it used or routed? (7–8)
4. What do I **know**, and am I following the rules? (9–10)

OUR ASSIGNMENT ON THIS TOPIC

The extraterritorial reach of the U.S. Export Administration Regulations (EAR) and its implications for Indonesia

CHECK YOURSELF

Answer from memory, then check below.

1. **For a foreign-made product going to an EMBARGOED country, the de minimis limit for U.S.-origin content is:**
   - A. 10%
   - B. 25%
   - C. 50%
   - D. 0%
2. **A foreign-made product worth US$40,000 contains US$8,000 of controlled U.S. content and is going to a non-embargoed country. Is it above de minimis?**
   - A. Yes, 20% exceeds 10%
   - B. No, 20% is below the 25% limit
   - C. Yes, any U.S. content counts
   - D. No, de minimis does not apply to foreign products
3. RECALL **Mnemonic for the order of the 10 General Prohibitions**

Answers 1. A **2.** B **3.** Can Dogs Dig Deep? Every Elephant Probably Tramples Very Knowingly. 1 Controlled items to listed countries, 2 De minimis US content, 3 Direct product of US technology, 4 Denial Order, 5 End use or end user, 6 Embargoed destinations, 7 Proliferation of weapons, 8 Transit through prohibited countries, 9 Violating licence terms or orders, 10 Knowledge of a violation.

CHAPTER 28 · PART G · WEEK 6 · EXPORT CONTROLS AND LICENCES (BADE CH. 5)

Licence exceptions

Even when a licence would be required, an exception may allow export without one. Each exception has a clear logic: the shipment is **low-risk** by its value, its destination, its user or its temporary nature.

CODE	NAME	COVERS	WHY IT IS LOW-RISK
LVS	Low Value Shipments	Small-value shipments (limit set in the ECCN (Export Control Classification Number))	Small value
GBS	Group B Shipments	Shipments to Country Group B, within ECCN limits	Friendly destinations
CIV	Civil end users	Shipments to civilian (non-military) end users	No military use
TMP	Temporary	Temporary imports, exports, re-exports, transfers	Goods come back
RPL	Replacement	Servicing and replacement parts and equipment	Replaces what was already approved
GOV	Government	Government end users, international organisations, Chemical Weapons Convention inspections, International Space Station	Trusted official users
GFT	Gifts	Gifts and humanitarian donations	Non-commercial
TSU	Technology and software, unrestricted	Operating and sales technology/software, updates, bug fixes	Basic, non-sensitive
BAG	Baggage	Personal effects, household goods, vehicles, tools of trade	Personal use

RESPONSIBILITY

The exporter must check that its goods are not excluded from the exception, follow the exception's terms, and **keep the supporting documents**. Declaring "NLR (No License Required)" in the Electronic Export Information is made **under penalty of perjury**: a wrong determination is punished.

CHECK YOURSELF

Answer from memory, then check below.

1. **Licence exception TMP covers:**
   - A. Gifts and donations
   - B. Temporary exports, imports and re-exports
   - C. Replacement parts
   - D. Personal baggage
2. **When an exporter declares NLR (no licence required) in its Electronic Export Information:**
   - A. It is a simple guess with no consequence
   - B. The determination is made under penalty of perjury and errors are penalized
   - C. The forwarder carries all responsibility
   - D. Customs must approve it first
3. RECALL **GFT, TSU, BAG**

Answers 1. B **2.** B **3.** Gifts and humanitarian donations; unrestricted Technology and Software (operating, sales, updates, bug fixes); Baggage (personal effects, household goods, vehicles, tools of trade).

CHAPTER 29 · PART G · WEEK 6 · EXPORT CONTROLS AND LICENCES (BADE CH. 5)

Licence applications: when the buyer need not supply documents

The first step of an application is to work out what documents the buyer must provide. No buyer documentation is needed when:

- The end recipient is in the listed countries of the Americas (e.g. Canada, Mexico, Brazil, Chile, Colombia, Peru, Panama, Uruguay, Venezuela, Caribbean states).
- The recipient or ultimate buyer is a **foreign government or agency**, other than the People's Republic of China.
- Goods are for **temporary exhibition, demonstration or testing**.
- The application is by or for a registered aid agency exporting to a foreign government agency.
- The goods are controlled for **supply shortage** reasons; the application is for **software or technology**; certain **encryption** goods; or the **Special Comprehensive License** procedure.

> THE LOGIC
> Buyer documents exist to prove the end user and end use. They are waived where that risk is already low: close regional partners, government buyers, goods that will return, or controls that are about domestic supply rather than security.

CHECK YOURSELF

Answer from memory, then check below.

1. **No buyer supporting documentation is needed for a licence application when the ultimate buyer is:**
   - A. Any private company in Asia
   - B. A foreign government agency other than the People's Republic of China
   - C. A freight forwarder
   - D. A distributor in an embargoed country
2. RECALL **When is no buyer documentation needed for a licence application?**

Answers 1. B **2.** Listed Americas countries; foreign government buyers (not PRC); temporary exhibition/demo/testing; aid agency; supply-shortage controls; software/technology; certain encryption; Special Comprehensive License.

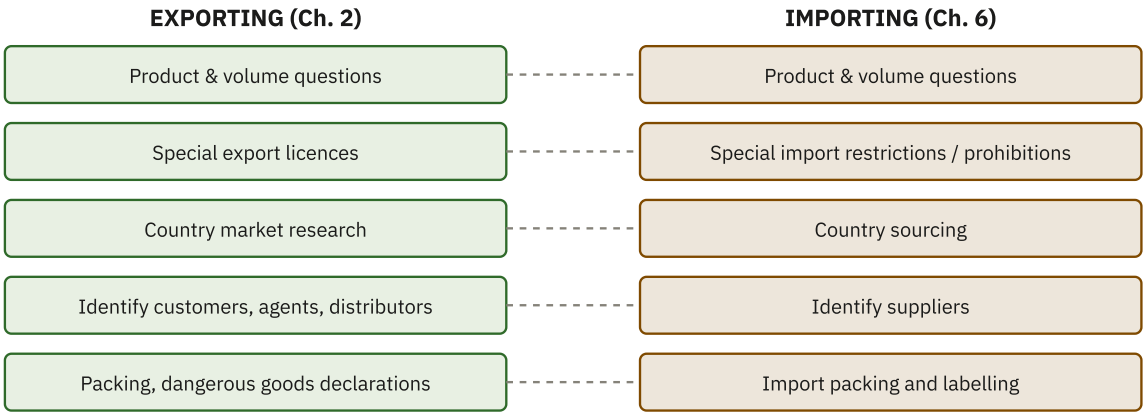
PART H

WEEK 7 · IMPORTING: PROCEDURES AND DOCUMENTATION (BADE CH. 6)

CHAPTER 30 · PART H · WEEK 7 · IMPORTING: PROCEDURES AND DOCUMENTATION (BADE CH. 6)

Importing mirrors exporting

Bade's importing chapter is built as a mirror of the exporting chapter. Seeing the pairs halves what you need to memorise:



Same questions, opposite side of the deal: the importer checks what the exporter checked, but against its own country's import law.

CHECK YOURSELF

Answer from memory, then check below.

1. **Why must an importer review product characteristics before importing?**
   - A. To decide the retail price only
   - B. They decide documentation, procedures and customs treatment, e.g. whether the goods enter duty-free and their classification and duty
   - C. Because suppliers require it
   - D. To choose the shipping line

Answers 1. B

CHAPTER 31 · PART H · WEEK 7 · IMPORTING: PROCEDURES AND DOCUMENTATION (BADE CH. 6)

Products: what is restricted, what is banned

The importer reviews the same product questions as the exporter (raw material or component? finished good? spare part? set? needs modification for the local market?). The answers decide documentation and customs treatment, for example **whether the product can enter duty-free** and what classification and duty apply.

SPECIAL IMPORT RULES (PERMIT, LICENCE, STANDARD)	PROHIBITED IMPORTS (U.S. EXAMPLES)
Food, pharmaceuticals, cosmetics, alcoholic beverages, tea, medical devices, energy-using equipment, civil aircraft and parts, educational/scientific equipment, children's products (toys, books), products with phthalates, wood products, ethyl alcohol, master records and matrices	White or yellow phosphorus matches; certain fireworks; cultural property; pocket knives; lottery tickets; most endangered species; African elephant ivory; counterfeit goods; treasonous or obscene materials; goods made with **child or forced labour**

Forced or child labour: the withhold-release process

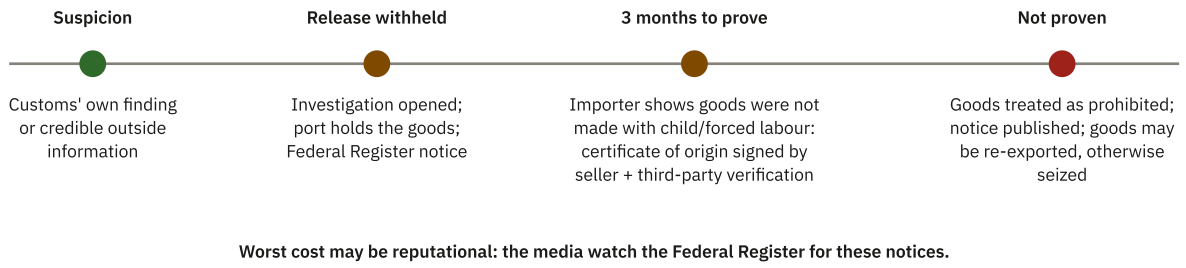


FIGURE 31.1 **Why third-party verification?** A foreign seller may be willing to sign an inaccurate certificate, so the seller's own word is not enough evidence.

Volume works exactly as in exporting: small quantities on PO and PO acknowledgment; large, ongoing quantities need a formal purchase agreement, more formal payment, special shipping and packing, possibly appointment as the foreign exporter's distributor or agent, and after-sales service commitments.

CHECK YOURSELF

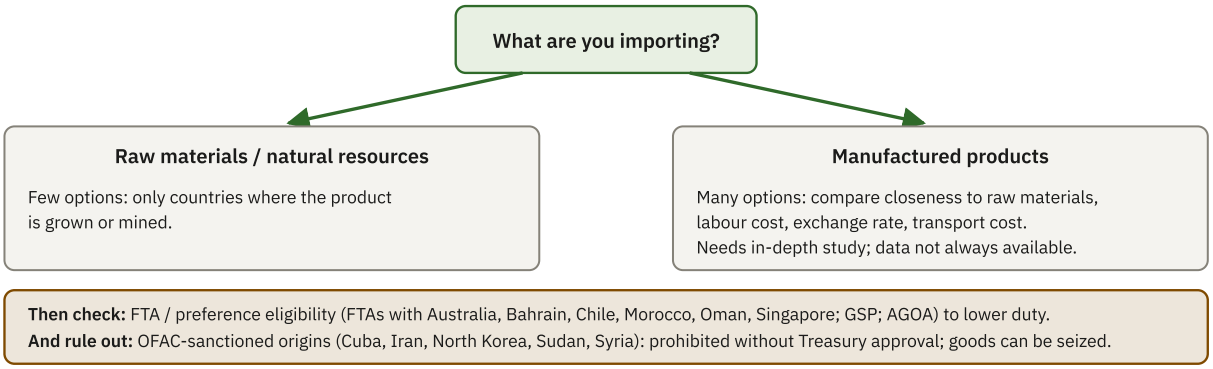
Answer from memory, then check below.

1. **Why is a third-party verification needed for a forced-labour certificate of origin?**
   - A. Customs never reads seller documents
   - B. Foreign sellers may be willing to sign inaccurate documents
   - C. It is cheaper
   - D. It replaces the commercial invoice
2. **If U.S. Customs suspects goods were made with forced labour, how long does the importer have to prove otherwise?**
   - A. 15 days
   - B. 30 days
   - C. 3 months
   - D. 1 year
3. RECALL **U.S. prohibited imports (examples)**

Answers 1. B **2.** C **3.** White/yellow phosphorus matches, certain fireworks, cultural property, pocket knives, lottery tickets, most endangered species, elephant ivory, counterfeits, treasonous/obscene material, child or forced labour goods.

CHAPTER 32 · PART H · WEEK 7 · IMPORTING: PROCEDURES AND DOCUMENTATION (BADE CH. 6)

Country sourcing



ABBREVIATIONS IN THIS FIGURE: **FTA** Free Trade Agreement · **GSP** Generalized System of Preferences · **AGOA** African Growth and Opportunity Act

FIGURE 32.1 **Information sources named:** foreign banks operating in the U.S., U.S. banks/law/accounting firms with offices abroad, and the UN (United Nations) *International Trade Statistics Yearbook*.

CHECK YOURSELF

Answer from memory, then check below.

1. RECALL Sourcing information sources

Answers 1. Foreign banks in the U.S.; U.S. banks, law and accounting firms abroad; UN International Trade Statistics Yearbook.

CHAPTER 33 · PART H · WEEK 7 · IMPORTING: PROCEDURES AND DOCUMENTATION (BADE CH. 6)

Identifying and vetting suppliers

Choosing the supplier matters as much as choosing the cheapest country: an unreliable supplier or poor quality control "will inevitably spell disaster". The vetting steps on the slides:

- Business reputation and performance
- Inspect the factory if possible
- References from other customers in your country
- Personal visit (meet several suppliers in 2–3 days)
- International credit report (Graydon, Teikoku, U.S. Commerce)

If the importer will act as the supplier's **distributor or agent**, it must also check whether the supplier has already appointed another distributor or agent in the same market (exclusive or not), and whether the supplier is acting as the manufacturer's agent or as the buyer's purchasing agent.

> COMMISSIONS AND DUTY
> The slide's point (garbled in translation) comes from customs valuation rules: a **buying commission**, paid to the importer's own purchasing agent, is **not dutiable**. A **selling commission**, paid to the seller's agent, **is** part of the dutiable value. That is why the buyer should sign a **separate agency agreement** and pay its buying commission separately, so customs can see it is not part of the price paid to the seller.

CHECK YOURSELF

Answer from memory, then check below.

1. **An importer will pay a commission to its own purchasing agent abroad. Why sign a separate agency agreement and pay it separately?**
   - A. To avoid income tax
   - B. Because a buying commission is not dutiable, while a selling commission is; keeping it separate shows customs it is not part of the price
   - C. Because agents cannot be paid by L/C
   - D. To qualify for GSP

2. RECALL Extra checks if you will be the supplier's distributor or agent

Answers 1. B **2.** Has the supplier already appointed another distributor/agent (exclusive or not)? Is the supplier acting as manufacturer's agent or as the buyer's purchasing agent?

CHAPTER 34 · PART H · WEEK 7 · IMPORTING: PROCEDURES AND DOCUMENTATION (BADE CH. 6)

Import packing and labelling

ISSUE	WHAT THE SLIDES SAY	REASONING
Packing	Must survive international transport; containers give the best protection against damage and theft; choose the right type (ventilated, refrigerated, flat, open, high-cube)	The importer bears the loss if goods arrive damaged, so it should specify packing **before** the seller ships
Hazardous materials	Cannot be transported unless they comply with the IMDG Code (sea) or IATA DGR (Dangerous Goods Regulations) (air); U.S. rules are aligned with these	The same rules as the exporter's dangerous goods declaration (Week 5)
Labelling	U.S. laws such as the Consumer Product Safety Act, Food, Drug and Cosmetic Act, Textile Fiber, Wool and Fur labelling acts, Energy Conservation Act, ATF (Bureau of Alcohol, Tobacco, Firearms and Explosives) rules	Improperly labelled shipments **may be refused entry**, so the importer must tell the exporter the labelling rules before export

OUR ASSIGNMENT ON THIS TOPIC

Why import labels are applied at the factory, and why the letter of credit suits document-based trade

CHECK YOURSELF

Answer from memory, then check below.

1. An imported product is not labelled as required by U.S. law. What can happen?

A. Nothing, labels are optional
B. The shipment may be refused entry
C. Customs will relabel it free
D. The seller is fined, not the importer

2. RECALL **Container types**

Answers 1. B **2.** Ventilated, refrigerated, flat, open, high-cube. Containers give the best protection against damage and theft.

CHAPTER 35 · PART H · WEEK 7 · IMPORTING: PROCEDURES AND DOCUMENTATION (BADE CH. 6)

Terms of purchase: who carries cost, risk and legal duties

Four things must be agreed in every import purchase: **passage of title, risk of loss, price, and payment**. The buyer should set its purchasing policy in advance rather than accept whatever each seller offers. Abbreviations such as ex-factory, FOB plant, CIF (Cost, Insurance and Freight) and landed help standardise obligations, but can also cause confusion.



ABBREVIATIONS IN THIS FIGURE: **FOB** Free On Board · **CIF** Cost, Insurance and Freight

FIGURE 35.1 **Bade's advice:** to make the **seller** responsible for its own country's export laws, the buyer should usually not buy ex-factory, but FOB port of export, CIF, or landed. If the seller fails to obtain an export permit, the buyer suffers anyway: lawsuits, failed delivery, lost supply.

Translation note: slides 20–21 of deck 07 say "used goods". In Bade's original text this is **ex-factory** (ex-works), the term where the seller's responsibility and risk are minimal. Read "used goods" on those slides as "ex-factory".

FOB AND CIF IN ONE LINE EACH

FOB (Free On Board, named port of shipment): seller delivers once goods are on board the ship; cost and risk pass to the buyer there. **CIF** (Cost, Insurance and Freight, named port of destination): same delivery and risk point, but the seller also pays freight and minimum insurance (ICC (C), the Institute Cargo Clauses minimum cover, at 110% of the value) to the destination port. Both are sea-only terms; "FOB plant" on slide 19 is an older American usage, not Incoterms (International Commercial Terms) FOB. The FOB and CIF tab in this notebook has full diagrams, a price-ladder calculator and what-if cases.

When the buyer may prefer to do more itself (slide 23): the seller is inexperienced in international shipping; competitors buy ex-factory, so the buyer must match their cost; the buyer is buying from an affiliate; the buyer already has warehouse-to-warehouse marine insurance under a blanket policy; or the buyer can get **cheaper ocean freight or insurance** than the seller. So discuss terms case by case instead of applying a fixed policy blindly.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which is a valid reason a buyer might still choose to take on more shipping responsibility?**
   - A. The buyer can get cheaper ocean freight or insurance, or already has warehouse-to-warehouse marine insurance
   - B. The buyer wants to avoid paying duty
   - C. The seller is a government
   - D. The goods are prohibited
2. **Under CIF Rotterdam (shipped from Indonesia), where does risk pass from seller to buyer?**
   - A. At the port of Rotterdam
   - B. When the goods are on board at the Indonesian port of shipment
   - C. At the buyer's warehouse
   - D. When the buyer pays
3. (RECALL) **CIF (Incoterms 2020)**

Answers 1. A **2.** B **3.** Cost, Insurance and Freight [named port of destination]. Seller delivers on board at the shipment port (risk passes there) but pays freight and minimum insurance to the destination port.

PART J

LAWS & FLOWS (COMPANION TO THE VIDEO “THE PAPER TRAIL”)

CHAPTER 36 · PART J · LAWS & FLOWS (COMPANION TO THE VIDEO "THE PAPER TRAIL")

Beyond the slides: the regulations behind exporting and importing

This part adds the regulations from the video that the lecture decks name only in passing or not at all, plus the step-by-step Indonesian export and import flows. Each citation was checked against official sources (the Ministry of Trade legal database jdih.kemendag.go.id, pasal.id, and the Permendag 11/2024 text). Treat it as **added context**: if an exam question follows the slides, answer from the slides first. Part K then places every regulation, these included, on its level with memory aids.

REGULATION	WHAT IT GOVERNS	STATUS (OCT 2026)
UU (Undang-Undang) 7/2014	Trade: the umbrella law for export, import and domestic trade	In force; parts amended by UU 6/2023 (Cipta Kerja, the Job Creation Law)
Permendag 23/2023 + 11/2024	Export policy: free, regulated, supervised and prohibited goods; ET/PE/LS	In force (Parts B and G of this report)
Permendag 24/2018 → 39/2020	Issuing the SKA (Surat Keterangan Asal, Certificate of Origin) for Indonesian goods	24/2018 in force as amended by 19/2019, 59/2019, 39/2020 (3rd) and 34/2023 (4th)
Permendag 22/2010 · 67/2013	Mandatory labels in Bahasa Indonesia	**No longer in force**; replaced, finally by Permendag 25/2021
Permendag 25/2021	Which goods must carry an Indonesian-language label	In force
UU 17/2008	Shipping (Pelayaran): ports, ships, cabotage	In force

REGULATION	WHAT IT GOVERNS	STATUS (OCT 2026)
Permenhub (Peraturan Menteri Perhubungan, Regulation of the Minister of Transportation) PM (Peraturan Menteri (Ministry of Transportation numbering)) 90/2013	Safety of carrying dangerous goods by aircraft	**Revoked**, replaced by PM 32/2022 (12 Oct 2022)
EAR	U.S. export controls (Part G)	15 CFR Parts 730–774, run by BIS (Bureau of Industry and Security)

Citation corrections: "Permendag 11/2004" in the original topic list is **11/2024** (the course reference). "Permendag 24/2001" is almost certainly **24/2018**, the base Certificate of Origin rule that 39/2020 amends; the Permendag numbering series only began after the Ministry of Trade was separated from the Ministry of Industry and Trade in 2004.

CHECK YOURSELF

Answer from memory, then check below.

1. RECALL Citation corrections in the topic list

Answers 1. "Permendag 11/2004" = 11/2024. "Permendag 24/2001" = 24/2018. PM 90/2013, 22/2010 and 67/2013 are no longer in force.

CHAPTER 37 · PART J · LAWS & FLOWS (COMPANION TO THE VIDEO "THE PAPER TRAIL")

UU 7/2014 on Trade: the umbrella

A UU is a Law made by the DPR (Dewan Perwakilan Rakyat, House of Representatives) together with the President, so it sits above every ministerial regulation. UU 7/2014 sets the rules that the Permendag rules carry out.

ARTICLE (PASAL)	RULE	WHY IT MATTERS FOR EXPORTERS AND IMPORTERS
Export and import chapter	Goods may be exported or imported, unless the government prohibits or restricts them	The starting point is **free**; every restriction (ET, PE, LS, import approval) must have a legal basis. This is why the Lampiran lists only controlled goods.
Pasal 6	Goods traded in Indonesia must use or carry a label in Bahasa Indonesia	The legal root of every labeling Permendag (see J3) and a standard import **lartas** item
Pasal 47	Importers must import goods in **new** condition (exceptions set by the Minister)	Explains the ban on second-hand goods in the 2025 import policy (Part B, slide 18), e.g. used clothing
Pasal 104	No Indonesian label: up to 5 years' prison and/or up to Rp 5 billion fine	Labeling is a criminal matter, not just an administrative one
Pasal 111 · 112	Importing non-new goods (111), or exporting/importing prohibited goods (112): up to 5 years and/or Rp 5 billion	The penalty behind the "prohibited" class of goods

THE LOGIC

The Law states the principle and the penalty; the Minister of Trade fills in the details (which goods, which permit) by Permendag. That is why Permendag rules change often (11/2024 changed a deadline within months) while the Law stays stable.

CHECK YOURSELF

Answer from memory, then check below.

1. **What is the maximum criminal sanction in UU 7/2014 for trading goods without the required Indonesian label (Pasal 104)?**
   - A. A written warning only
   - B. Up to 1 year and/or Rp 500 million
   - C. Up to 5 years' prison and/or a fine of up to Rp 5 billion
   - D. Up to 12 years and/or Rp 12 billion
2. **Under UU 7/2014 Pasal 47, importers must:**
   - A. Use only Indonesian-flagged ships
   - B. Import goods in new condition, unless the Minister sets an exception
   - C. Pay import duty after the goods are sold
   - D. Register every shipment with the DPR
3. RECALL **UU 7/2014: what does it govern, and which articles matter?**

Answers 1. C **2.** B **3.** Law on Trade. Pasal 6: Indonesian-language labels. Pasal 47: import new goods only. Pasal 104/112: up to 5 years and/or Rp 5 billion. Partly amended by UU 6/2023 (Cipta Kerja).

CHAPTER 38 · PART J · LAWS & FLOWS (COMPANION TO THE VIDEO "THE PAPER TRAIL")

The Certificate of Origin: Permendag 24/2018 and 39/2020

The SKA is the Indonesian CoO (Certificate of Origin), the document from Week 5 (Part F) that proves where goods were made. It matters because an FTA cuts tariffs only for goods that really originate in a member country.

REGULATION	ROLE
Permendag 24/2018	Base rule: *Ketentuan dan Tata Cara Penerbitan SKA untuk Barang Asal Indonesia* (rules and procedure for issuing Certificates of Origin for Indonesian-origin goods)
19/2019 · 59/2019	1st and 2nd amendments
39/2020	**3rd amendment** (the one in the topic list)
34/2023	4th amendment

How it is issued: the exporter applies online (e-SKA) to an IPSKA (Instansi Penerbit Surat Keterangan Asal), which checks the origin and issues the certificate.

Two kinds: a **preferential** SKA unlocks a lower tariff in the buyer's country, for example **Form D** under ATIGA (ASEAN Trade in Goods Agreement) or **Form E** under ACFTA (ASEAN–China Free Trade Area). A **non-preferential** SKA only proves origin, usually because the buyer's customs, bank or Letter of Credit asks for it.

> EXAM TRAP
> In Bade's U.S. setting (Week 5) the certificate of origin is signed by the exporter and certified by a chamber of commerce. In Indonesia the issuer is an IPSKA, a government-authorized agency. Same document purpose, different issuer.

CHECK YOURSELF

Answer from memory, then check below.

1. **Who issues an Indonesian Certificate of Origin (SKA)?**
   - A. The local chamber of commerce
   - B. The exporter itself, by self-certification only
   - C. An IPSKA (Instansi Penerbit SKA), a government-authorized issuing agency
   - D. The buyer's customs office
2. **A buyer in Malaysia wants the ASEAN preferential tariff on Indonesian goods. Which document should the exporter supply?**
   - A. A non-preferential SKA
   - B. SKA Form D under ATIGA
   - C. SKA Form E under ACFTA
   - D. A packing list stamped by customs
3. RECALL **Preferential vs non-preferential SKA**

Answers 1. C **2.** B **3.** Preferential (e.g. Form D for ATIGA, Form E for ACFTA) unlocks a lower FTA tariff. Non-preferential only proves origin.

CHAPTER 39 · PART J · LAWS & FLOWS (COMPANION TO THE VIDEO "THE PAPER TRAIL")

Indonesian labels: from 22/2010 to 25/2021

The duty in UU 7/2014 Pasal 6 has been implemented by a chain of Permendag rules. Two of them in the topic list are now history.

PERMENDAG	WHAT IT DID	STATUS
62/2009	Created the duty to put labels on goods	Revoked
22/2010	Amended 62/2009	Revoked by 67/2013
67/2013	Replaced both. Indonesian-language labels on electronics, building materials and vehicle parts (tablet computers added by 10/2014); imports had to carry the label **before entering the customs area**; label approval by SKPLBI (Surat Keterangan Pencantuman Label dalam Bahasa Indonesia, Indonesian-label approval letter)	Replaced by 73/2015
73/2015 (+79/2019)	Replaced 67/2013	Revoked by 25/2021
25/2021	Sets which goods must use or carry an Indonesian-language label	**In force**

THE LOGIC

For an importer the label is a **border** issue, not just a shop-shelf issue: goods that arrive without the required label can be held or re-exported. That is why Bade (Week 7, Part H5) tells importers to settle labeling with the exporter **before** shipment.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which labeling regulation is in force today?**
   - A. Permendag 22/2010
   - B. Permendag 67/2013
   - C. Permendag 25/2021
   - D. Permendag 62/2009

2. RECALL Permendag 67/2013 in one line

Answers 1. C **2.** Indonesian labels on electronics, building materials and vehicle parts; imports labeled before entering the customs area; approval letter SKPLBI. No longer in force.

CHAPTER 40 · PART J · LAWS & FLOWS (COMPANION TO THE VIDEO "THE PAPER TRAIL")

UU 17/2008 on Shipping and PM 90/2013 on air cargo

UU 17/2008 (Pelayaran). It defines a **port** with the same wording as Week 2, slide 9: land and surrounding waters with set boundaries where ships dock and goods are loaded and unloaded. It also sets the cabotage principle: cargo moving between Indonesian ports must travel on Indonesian-flagged ships crewed by Indonesians. International export and import voyages may use foreign carriers, but the port and cargo handling still run under this Law.

Permenhub PM 90/2013. Safety of carrying dangerous goods by aircraft. It made CASR (Civil Aviation Safety Regulations) Part 92 binding, in line with the ICAO (International Civil Aviation Organization) Technical Instructions. Airlines also apply the IATA Dangerous Goods Regulations. For the shipper this means classifying, packing, marking and labeling the goods and signing the **Shipper's Declaration for Dangerous Goods**, the Week 5 document.

Status: PM 90/2013 was revoked and replaced by PM 32/2022 on 12 October 2022. The shipper's duties continue under the new number.

CHECK YOURSELF

Answer from memory, then check below.

1. **Permenhub PM 90/2013 regulates:**
   - A. Port tariffs
   - B. The safety of carrying dangerous goods by aircraft (CASR Part 92)
   - C. Freight forwarder licensing
   - D. Sea cabotage
2. **The cabotage principle in UU 17/2008 means that:**
   - A. Foreign ships may not enter Indonesian ports
   - B. Sea transport between Indonesian ports must use Indonesian-flagged ships with Indonesian crew
   - C. Exports must be carried by Indonesian ships
   - D. Ports must be owned by the state
3. RECALL **PM 90/2013**

Answers 1. B **2.** B **3.** Permenhub on safety of carrying dangerous goods by aircraft (CASR Part 92, ICAO Technical Instructions). Revoked and replaced by PM 32/2022.

CHAPTER 41 · PART J · LAWS & FLOWS (COMPANION TO THE VIDEO "THE PAPER TRAIL")

The Indonesian export flow, step by step

Each step needs the output of the one before it. The right-hand column shows which law or lecture week the step comes from.

#	STEP	KEY DOCUMENTS	LAW / WEEK
1	Legal identity	NIB, NPWP; ET or PE for regulated goods	Permendag 23/2023; W1–W2
2	The deal	Sales contract or PO; an Incoterm such as FOB or CIF	W4
3	Payment security	L/C opened by the buyer's bank	W4–W5
4	Prepare and book	Commercial invoice, P/L (Packing List); space booked through a freight forwarder	W5
5	Customs export declaration	PEB filed through CEISA (Customs-Excise Information System and Automation); LS first if the Lampiran requires it	Permendag 23/2023 + 11/2024; W2
6	Customs clearance	NPE (Nota Pelayanan Ekspor, Export Service Note)	Customs law; W2
7	Load and sail	B/L (Bill of Lading)	UU 17/2008; W5
8	Proof of origin	SKA from an IPSKA	Permendag 24/2018 (39/2020); W5
9	Get paid	Document set presented to the bank under the L/C	W4–W5

THE LOGIC

Step 5 is the legal moment of export: export means releasing goods from the customs area (Week 2), and the PEB registration date proves when that happened. That is exactly how Permendag 11/2024 measured the 31 December 2024 copper deadline.

CHECK YOURSELF

Answer from memory, then check below.

1. **Why is the PEB registration date, not the sales contract date, used to prove when an export happened?**
   - A. Because contracts are not legally binding
   - B. Because export legally means releasing goods from the customs area, and the PEB records that release
   - C. Because the PEB is signed by the buyer
   - D. Because the contract date is confidential
2. **In the Indonesian export flow, which document does customs issue after checking the PEB to clear the goods for loading?**
   - A. SPPB
   - B. NPE (Nota Pelayanan Ekspor)
   - C. PIB
   - D. B/L
3. RECALL **The 9-step export flow**

Answers 1. B **2.** B **3.** Identity (NIB, ET/PE) → contract + Incoterm → L/C → invoice, packing list, forwarder → PEB via CEISA (+LS) → NPE → loading, B/L → SKA → documents to bank, payment.

CHAPTER 42 · PART J · LAWS & FLOWS (COMPANION TO THE VIDEO "THE PAPER TRAIL")

The Indonesian import flow, step by step

#	STEP	KEY DOCUMENTS	LAW / WEEK
1	Eligibility and restrictions	NIB acting as the API (Angka Pengenal Importir, Importer Identification Number); check Lartas (Larangan dan Pembatasan, prohibitions and restrictions): import approval, Indonesian label (Permendag 25/2021), new goods only (UU 7/2014 Pasal 47)	W2, W7
2	Purchase and payment	PO or contract, Incoterm, L/C if needed	W4, W7
3	Shipping documents	B/L, commercial invoice, P/L, CoO (e.g. Form D) to claim the FTA tariff	W5, W7
4	Arrival	Carrier's inward manifest (BC (Bea dan Cukai, Customs and Excise) 1.1)	Customs law
5	Import declaration	PIB (BC 2.0), filed by the importer or a PPJK	W1 (customs broker), W2
6	Self-assess and pay	BM (Bea Masuk, Import Duty), PPN (Pajak Pertambahan Nilai, Value Added Tax), PPh 22 (Pajak Penghasilan Pasal 22, Income Tax under Article 22)	PMK 4/2025 self-assessment; W2
7	Customs lane	(Green) cleared on documents · (Yellow) document check · (Red) physical inspection	Customs risk management
8	Release	SPPB (Surat Persetujuan Pengeluaran Barang, Goods Release Approval)	Customs law
9	Out of the port	Goods sold labeled and legally imported	UU 7/2014

EXAM TRAP

The PIB is filed and the duties paid **before** release, not after. The order is manifest → PIB → payment → lane → SPPB. An answer that releases goods first and collects duty later describes a bonded zone or a special facility, not a normal import.

CHECK YOURSELF

Answer from memory, then check below.

1. Which order of import steps is correct?

A. PIB → SPPB → payment → manifest

B. Manifest → PIB → payment of duties and taxes → customs lane → SPPB

C. SPPB → PIB → manifest → payment

D. Payment → SPPB → PIB → lane

2. An import shipment is assigned to the red lane. What happens?

A. It is released on documents only

B. Only the documents are checked

C. The goods are physically inspected before release

D. It is re-exported automatically

3. RECALL **The 9-step import flow**

Answers 1. B **2.** C **3.** Identity (NIB as API) + lartas → PO/L/C → shipping docs + CoO → manifest (BC 1.1) → PIB (BC 2.0) → pay BM, PPN, PPh 22 → lane → SPPB → goods out.

PART K

EVERY REGULATION BY LEVEL:
INTERNATIONAL, NATIONAL, REGIONAL
(MEMORIZE)

CHAPTER 43 · PART K · EVERY REGULATION BY LEVEL: INTERNATIONAL, NATIONAL, REGIONAL (MEMORIZE)

“Federal, state, local”? Indonesia has three different levels

Week 2’s deck is titled **Federal, State, International and Foreign Law** because Bade writes for the United States, a federation where each state has its own lawmaking power. Indonesia is a **unitary state** (UUD 1945 Pasal 1(1): *Negara Kesatuan*). There is no federal level. Translate the textbook’s words like this:

BADE / U.S. WORD	INDONESIAN EQUIVALENT	WHO MAKES THE RULES
International law	**International**	Treaties Indonesia has joined (WTO, ASEAN, other FTAs) and private rules that bind by contract (Incoterms, UCP 600 (Uniform Customs and Practice for Documentary Credits))
Federal law	**National (central government, *Pemerintah Pusat*)**	The DPR and the President (UU), the President (PP, Perpres), ministers (Permendag, PMK, Permenhub)
State law + local law	**Regional (*daerah*): province, then regency/city**	Governors, regents, mayors and regional parliaments (Perda (Peraturan Daerah, Regional Regulation))
Foreign law	**Foreign** (the other country’s rules)	The buyer’s or seller’s country, e.g. U.S. EAR or EU product rules

THE BIG DIFFERENCE TO REMEMBER

In the U.S. the **border** is federal but the **sales contract** is state law (the UCC, Uniform Commercial Code, adopted state by state). In Indonesia **both** are national: customs and trade rules come from central government, and contract law comes from the national Civil Code, the KUHPerdata (Kitab Undang-Undang Hukum Perdata). Indonesian regions cannot make their own export or import rules. They control the **place** (land use, local permits, local levies), not the **border**.

QUESTION	UNITED STATES (BADE, WEEK 2)	INDONESIA
Who controls exports and imports?	Federal government only (Constitution: Congress regulates foreign commerce; states may not tax imports or exports)	Central government only (UU 7/2014 Trade, UU 10/1995 Customs). Regions may levy only the taxes and charges on the closed list in UU 1/2022, so no regional "export tax"
Which law makes the sales contract valid?	State law: UCC Article 2, varies by state	National: KUHPerdata Pasal 1320 (four conditions: agreement, capacity, a definite object, a lawful cause) and Pasal 1338 (freedom of contract: a valid contract binds like law)
UN sales convention (CISG)	The U.S. is a party	**Indonesia is not a party.** Parties should choose the governing law and the forum (court or arbitration) in the contract
Local level	States and cities: business licences, zoning, sales tax	Provinces and regencies/cities: spatial plans, local permits, local levies

CHECK YOURSELF

Answer from memory, then check below.

1. **Indonesia has no federal level. How do Bade's "federal" and "state/local" levels map onto Indonesia?**
   - A. Federal = provinces; state = regencies
   - B. Federal = ASEAN; state = central government
   - C. Federal = central (national) government; state/local = provinces and regencies/cities
   - D. There is no equivalent at all

2. **In the U.S., sales contracts are governed by state law (the UCC). Which law decides whether an Indonesian export sales contract is valid?**
   - A. The national Civil Code (KUHPerdata), Pasal 1320
   - B. Each province's Perda
   - C. Permendag 23/2023
   - D. The CISG, automatically

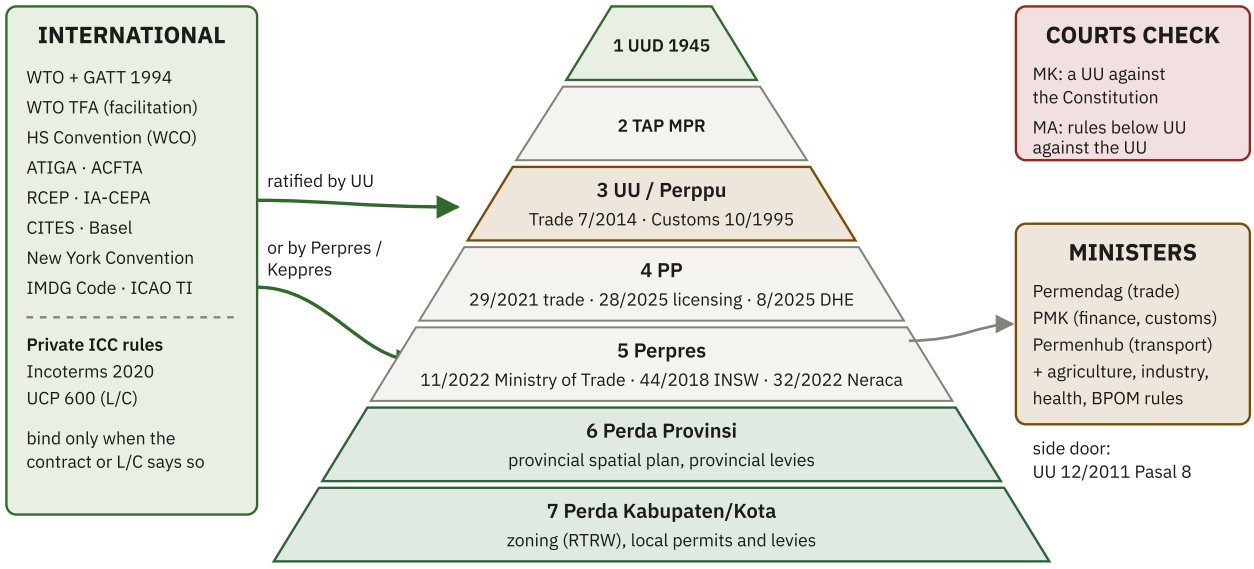
3. RECALL Three levels of Indonesian trade rules (and the mnemonic)

Answers 1. C **2.** A **3.** Treaty, Law, Land: international (treaties, ICC rules), national/central (UUD → UU → PP → Perpres → Permen), regional (Perda: land, permits, local levies). No federal level: Indonesia is a unitary state.

CHAPTER 44 · PART K · EVERY REGULATION BY LEVEL: INTERNATIONAL, NATIONAL, REGIONAL (MEMORIZE)

The hierarchy in one picture

Indonesian rules form a ladder set by **UU 12/2011** on Making Laws and Regulations (amended by UU 15/2019 and 13/2022). Pasal 7 lists the ladder. A lower rule may not conflict with a higher one. Ministerial regulations such as Permendag are not on the ladder itself. Pasal 8 lets them in "by a side door": they bind when a higher law orders them or when they fall within the minister's authority. Treaties enter through ratification under **UU 24/2000** on International Agreements, either by a UU or by a presidential act (Perpres, or Keppres for older treaties).



Mnemonic "UTU + 4P": UUD → TAP MPR → UU, then four P's getting smaller: PP → Perpres → Perda Provinsi → Perda Kab/Kota.

Blue = international/constitution · orange = Laws · grey = central executive · green = regional · a lower rule may not conflict with a higher one.

ABBREVIATIONS IN THIS FIGURE: **TAP MPR** Ketetapan Majelis Permusyawaratan Rakyat, decree of the People's Consultative Assembly · **Perppu** Peraturan Pemerintah Pengganti Undang-Undang, emergency regulation in lieu of a Law · **TFA** Trade Facilitation Agreement · **WCO** World Customs Organization · **RCEP** Regional Comprehensive Economic Partnership · **IA-CEPA** Indonesia–Australia Comprehensive Economic Partnership Agreement · **INSW** Indonesia National Single Window · **DHE** Devisa Hasil Ekspor, export proceeds · MK Mahkamah Konstitusi, Constitutional Court · MA Mahkamah Agung, Supreme Court · **RTRW** Rencana Tata Ruang Wilayah, regional spatial plan

HOW TO USE THE LADDER IN AN EXAM ANSWER

Name the level, then the rule, then why it sits there. Example: "The copper export deadline is set in a **ministerial regulation** (Permendag 11/2024), which rests on **UU 7/2014** (restrictions must have a legal basis) and ultimately on **UUD 1945 Pasal 33** (natural resources are controlled by the state for the people's welfare)."

CHECK YOURSELF

Answer from memory, then check below.

1. **Where does a Permendag (ministerial regulation) fit in the hierarchy?**
   - A. Above a Law (UU)
   - B. At the same level as the Constitution
   - C. Below a Perda
   - D. It is not on the Pasal 7 ladder; Pasal 8 makes it binding when a higher rule orders it or it is within the minister's authority

2. **The rule that copper concentrate may be exported only until 31 December 2024 ultimately rests on which higher rules?**
   - A. UUD 1945 Pasal 33 and UU 3/2020 on Minerals and Coal (process and refine domestically)
   - B. The CISG
   - C. UU 17/2008 on Shipping
   - D. Perda of Papua

3. RECALL **UU 24/2000**

Answers 1. D **2.** A **3.** Law on International Agreements: treaties are ratified by UU or by presidential act (Perpres; Keppres for older ones).

CHAPTER 45 · PART K · EVERY REGULATION BY LEVEL: INTERNATIONAL, NATIONAL, REGIONAL (MEMORIZE)

Level 1 · International: treaties and private rules

Mnemonic: **"WTO + 5 C's"**. The WTO sets the rules of the game, then five groups: **Codes** (HS), **Contracts & cash** (Incoterms, UCP 600, CISG, New York Convention), **Clubs** (ATIGA, ACFTA, RCEP, IA-CEPA), **Creatures & waste** (CITES, Basel) and **Cargo danger** (IMDG, ICAO).

RULE (AND HOW INDONESIA JOINED)	FULL NAME	WHAT IT DOES	SIMPLE EXAMPLE
WTO Agreement + GATT 1994 ratified by UU 7/1994	Marrakesh Agreement Establishing the World Trade Organization, including the General Agreement on Tariffs and Trade	MFN (Most-Favoured-Nation: treat all members equally), national treatment, bound tariff ceilings; export or import bans only under listed exceptions	Indonesia may not charge Japanese steel a higher duty than Korean steel, unless an FTA or a WTO exception applies
WTO TFA ratified by UU 17/2017	WTO Agreement on Trade Facilitation (in force 2017)	Faster, more transparent clearance: single window, pre-arrival processing, risk-based inspection	Customs lanes (green/yellow/red) and the INSW single window come from this logic
WTO Customs Valuation Agreement part of the WTO package; applied through UU 10/1995	Agreement on Implementation of GATT Article VII	Duty is calculated on the **transaction value**, the price actually paid, with set adjustments	An importer pays duty on the real invoice price, not on a price customs imagines; under-invoicing is fined (PMK 4/2025 sanctions customs-value errors)

RULE (AND HOW INDONESIA JOINED)	FULL NAME	WHAT IT DOES	SIMPLE EXAMPLE
HS Convention ratified by Keppres 35/1993; tariff book BTKI 2022 by PMK 26/2022	International Convention on the Harmonized Commodity Description and Coding System (WCO)	One product code worldwide (6 digits); Indonesia adds digits in its tariff book	The Lampiran of Permendag 11/2024 lists goods by HS code, e.g. copper concentrate under heading 2603
Incoterms 2020 private ICC rules, no ratification	International Commercial Terms of the International Chamber of Commerce	Split cost, risk and tasks between seller and buyer	"FOB Tanjung Priok Incoterms 2020": risk passes when goods are on board in Jakarta
UCP 600 private ICC rules (2007)	Uniform Customs and Practice for Documentary Credits	Rules for letters of credit: banks deal in **documents**, not goods	The B/L date is later than the L/C allows, so the bank may refuse to pay even though the goods are fine
CISG Indonesia has not joined	UN Convention on Contracts for the International Sale of Goods (Vienna, 1980)	Uniform contract rules for sales between member countries	An Indonesian exporter selling to the U.S. should write "governed by the laws of …" into the contract, because no automatic uniform law covers both sides
New York Convention ratified by Keppres 34/1981; procedure in UU 30/1999 Arbitration	Convention on the Recognition and Enforcement of Foreign Arbitral Awards (1958)	Foreign arbitration awards can be enforced in Indonesia (registered at the Central Jakarta District Court)	A Singapore arbitration award against an Indonesian buyer that refused to pay can be enforced in Jakarta
ATIGA ratified by Perpres 2/2010	ASEAN Trade in Goods Agreement (2009)	Near-zero tariffs inside ASEAN for goods that meet the origin rules	Indonesian coffee to Malaysia at 0% with SKA **Form D**

RULE (AND HOW INDONESIA JOINED)	FULL NAME	WHAT IT DOES	SIMPLE EXAMPLE
ACFTA framework ratified by Keppres 48/2004	ASEAN–China Free Trade Area	Preferential tariffs between ASEAN and China	Indonesian bird's nest to China with SKA **Form E**
RCEP ratified by UU 24/2022	Regional Comprehensive Economic Partnership (ASEAN + China, Japan, Korea, Australia, New Zealand)	One set of origin rules across 15 countries, so inputs from all members count as originating	Shoes made in Indonesia with Korean materials can still qualify for the RCEP rate in Japan
IA-CEPA ratified by UU 1/2020	Indonesia–Australia Comprehensive Economic Partnership Agreement	Bilateral tariff cuts and quotas	Australian feeder cattle or wheat entering Indonesia at preferential terms
CITES ratified by Keppres 43/1978	Convention on International Trade in Endangered Species of Wild Fauna and Flora	Permits for trade in listed animals and plants	Exporting farmed arowana fish or agarwood needs a CITES permit
Basel Convention ratified by Keppres 61/1993	Basel Convention on the Control of Transboundary Movements of Hazardous Wastes and their Disposal	Waste may cross borders only with the importing country's prior consent	In 2019 Indonesia sent back containers of "waste paper" mixed with plastic and hazardous waste
IMDG Code · ICAO Technical Instructions applied through UU 17/2008, UU 1/2009 and PM 32/2022	International Maritime Dangerous Goods Code (IMO); ICAO Technical Instructions for the Safe Transport of Dangerous Goods by Air	Classify, pack, mark and declare dangerous goods	Lithium batteries shipped by air need the Shipper's Declaration for Dangerous Goods (Week 5)

EXAM TRAP

Incoterms and UCP 600 are **not laws or treaties**. They are private rules of the International Chamber of Commerce and bind only because the contract or the L/C refers to them. WTO, ATIGA and RCEP bind Indonesia as a **state** because they were ratified.

CHECK YOURSELF

Answer from memory, then check below.

1. **In 2019 Indonesia returned containers of "waste paper" mixed with plastic and hazardous waste. Which treaty supports that?**
   - A. CITES
   - B. The New York Convention
   - C. The Basel Convention (ratified by Keppres 61/1993)
   - D. UCP 600

2. **Which instrument ratified ATIGA, the source of the SKA Form D?**
   - A. Perpres 2/2010
   - B. UU 7/1994
   - C. Keppres 48/2004
   - D. UU 24/2022

3. RECALL **International: "WTO + 5 C's"**

Answers 1. C **2.** A **3.** WTO/GATT (UU 7/1994) + Codes (HS) · Contracts & cash (Incoterms, UCP 600, CISG ✗, New York Conv.) · Clubs (ATIGA, ACFTA, RCEP, IA-CEPA) · Creatures & waste (CITES, Basel) · Cargo danger (IMDG, ICAO).

CHAPTER 46 · PART K · EVERY REGULATION BY LEVEL: INTERNATIONAL, NATIONAL, REGIONAL (MEMORIZE)

Level 2 · National: from the Constitution down to ministers

This is where almost every export and import rule lives. Read the table top to bottom: it follows the ladder.

Constitution and Laws (UU)

NO./YEAR	FULL NAME	WHAT IT DOES	SIMPLE EXAMPLE
UUD 1945	Undang-Undang Dasar Negara Republik Indonesia Tahun 1945 (the Constitution)	Pasal 33: the state controls natural resources for the people's welfare. Pasal 23A: taxes (and duties) need a Law. Pasal 11: treaties need DPR approval. Pasal 17(3): ministers run their sectors (cited by Permendag 11/2024)	Bans on exporting raw ore rest on Pasal 33
UU 12/2011 (jo. 15/2019, 13/2022)	Pembentukan Peraturan Perundang-undangan (Making Laws and Regulations)	Sets the hierarchy (Pasal 7) and the place of ministerial rules (Pasal 8)	Explains why a Permendag must not contradict UU 7/2014
UU 24/2000	Perjanjian Internasional (International Agreements)	How Indonesia signs and ratifies treaties, by UU or by presidential act	RCEP was ratified by UU 24/2022; ATIGA by Perpres 2/2010
UU 7/1994	Pengesahan Agreement Establishing the World Trade Organization	Makes WTO rules binding on Indonesia	Cited first in Permendag 11/2024's legal basis

NO./YEAR	FULL NAME	WHAT IT DOES	SIMPLE EXAMPLE
UU 10/1995 jo. UU 17/2006	Kepabeanan (Customs)	Customs area, declarations (PEB, PIB), duties, customs value, inspection, sanctions. Smuggling (Pasal 102): 1 to 10 years' prison and a fine of Rp 50 million to Rp 5 billion	Goods are "exported" when released from the customs area after the PEB (Week 2 definition)
UU 11/1995 jo. UU 39/2007	Cukai (Excise)	Excise on tobacco, alcohol and other listed goods, collected at import or production	Imported wine must carry an excise stamp (*pita cukai*) before sale
UU 7/2014 jo. UU 6/2023	Perdagangan (Trade), amended by Cipta Kerja	Pasal 50: everything may be exported or imported unless prohibited, restricted or otherwise set by law. Pasal 51 and 52: prohibited goods. Pasal 54: restrictions. Pasal 6 labels, 47 new goods, 104–112 sanctions (Part J)	Why the Lampiran lists only **controlled** goods: free is the default
UU 6/2023	Penetapan Perppu 2/2022 tentang Cipta Kerja menjadi Undang-Undang (Job Creation)	Rewrote licensing as risk-based (NIB through OSS) and amended the Trade, Customs-related and Halal laws	The NIB replaced the old SIUP and TDP named on deck 02 slide 10
UU 17/2008 · UU 1/2009	Pelayaran (Shipping) · Penerbangan (Aviation)	Ports, ships, cabotage · airports, air cargo, dangerous goods by air	Domestic legs by Indonesian ships; air cargo safety under PM 32/2022
UU 3/2020 (amending UU 4/2009)	Pertambangan Mineral dan Batubara (Mineral and Coal Mining)	Minerals must be processed and refined in Indonesia (downstreaming)	The reason Permendag 11/2024 allowed copper concentrate exports only until 31 December 2024

NO./YEAR	FULL NAME	WHAT IT DOES	SIMPLE EXAMPLE
UU 20/2014	Standardisasi dan Penilaian Kesesuaian (Standardization and Conformity Assessment)	Mandatory SNI (Standar Nasional Indonesia) for listed products, checked by conformity bodies (LPK, LS-Pro)	Imported toys and helmets need the SNI mark before release
UU 33/2014 (amended by UU 6/2023)	Jaminan Produk Halal (Halal Product Assurance)	Products sold in Indonesia must be halal-certified or labelled non-halal, phased in by product group	Imported snacks need a halal certificate recognised by Indonesia's halal agency
UU 21/2019	Karantina Hewan, Ikan, dan Tumbuhan (Animal, Fish and Plant Quarantine)	Health certificates and quarantine checks at entry and exit points	Imported apples need a phytosanitary certificate and quarantine inspection
UU 24/1999	Lalu Lintas Devisa dan Sistem Nilai Tukar (Foreign Exchange Flows and Exchange Rate System)	Foreign exchange is free in principle, but must be reported; the basis for export-proceeds rules	Exporters report export proceeds through banks to Bank Indonesia
VAT and income tax laws (latest by UU 7/2021 HPP)	UU PPN (Value Added Tax) and UU PPh (Income Tax), amended by Harmonisasi Peraturan Perpajakan	Imports pay PPN and PPh 22; exported goods are VAT 0%	The import flow's "pay BM, PPN, PPh 22" step (Part J6)
KUHPerdata (Staatsblad 1847 No. 23, still in force)	Kitab Undang-Undang Hukum Perdata (Civil Code)	Contract law: Pasal 1320 validity, 1338 freedom of contract, 1457 sale of goods	An emailed PO plus written acceptance forms a valid contract if the four 1320 conditions are met (Week 4 offer and acceptance)

Government Regulations (PP) and Presidential Regulations (Perpres)

NO./YEAR	FULL NAME	WHAT IT DOES	SIMPLE EXAMPLE
PP 29/2021	Penyelenggaraan Bidang Perdagangan (Implementing the Trade Sector)	The detailed rules under UU 7/2014: export and import licensing, commodity balance, used goods, trade in services	The legal step between UU 7/2014 and Permendag 23/2023
PP 28/2025 (replaced PP 5/2021)	Penyelenggaraan Perizinan Berusaha Berbasis Risiko (Risk-Based Business Licensing)	One business identity (NIB) through OSS; licences scaled to risk	A new exporter gets its NIB online before applying for ET or PE
PP 40/2021 · PP 41/2021	Kawasan Ekonomi Khusus (Special Economic Zones, KEK) · Kawasan Perdagangan Bebas dan Pelabuhan Bebas (Free Trade Zones and Free Ports, KPBPB)	Zones with tax and customs facilities	Goods entering Batam's free trade zone are not charged import duty or VAT until they move into the rest of Indonesia
PP 36/2023 jo. PP 8/2025	Devisa Hasil Ekspor dari Kegiatan Pengusahaan, Pengelolaan, dan/atau Pengolahan Sumber Daya Alam (export proceeds from natural resources)	From 1 March 2025, exporters of natural-resource goods (mining except oil and gas, plantations, forestry, fisheries) keep **100%** of export proceeds in Indonesian banks for **12 months**	A palm-oil exporter receives US$1 million and must place it in a special account in Indonesia
Perpres 11/2022	Kementerian Perdagangan (Ministry of Trade)	Sets the ministry's tasks, including foreign trade policy	Why the Minister of Trade (not Finance) issues export and import policy
Perpres 44/2018	Indonesia National Single Window (INSW)	One electronic portal linking customs and the licensing ministries	An importer's permits from several ministries are checked automatically against its PIB

NO./YEAR	FULL NAME	WHAT IT DOES	SIMPLE EXAMPLE
Perpres 32/2022	Neraca Komoditas (Commodity Balance)	National supply-and-demand data that decides how much of a commodity may be imported or exported	Import approvals for sugar or salt follow the commodity balance

Ministerial regulations: Permendag, PMK, Permenhub and other ministries

NO./YEAR	FULL NAME	WHAT IT DOES	SIMPLE EXAMPLE
Permendag 23/2023, amended by **11/2024** (course text), 21/2024, 9/2025, 5/2026 and 12/2026 (5th); coal and ferroalloy parts moved out in 2026 (history)	Kebijakan dan Pengaturan Ekspor (Export Policy and Regulation)	Restricted ("certain") export goods and their instruments: ET, PE, LS (Lampiran I)	Swiftlet nests need ET-SBW and a KH-12 certificate (Part B6; renamed KH-2 by Permendag 5/2026)
Permendag 22/2023 (4th amendment: 6/2026, in force 1 April 2026)	Barang yang Dilarang untuk Diekspor (Goods Prohibited from Export)	The prohibited-export list	Unprocessed rattan, raw ore, cultural-heritage objects; rice was removed from the list in 2026
Permendag 16/2025 + sector rules **17–24/2025** (in force 29 August 2025)	Kebijakan dan Pengaturan Impor (Import Policy and Regulation), with separate rules for textiles, agriculture, salt and fish, chemicals, electronics, certain industrial goods, consumer goods, and used goods and non-hazardous waste	Replaced Permendag 36/2023 (as amended by 8/2024); sets which imports need an import approval (Persetujuan Impor), a technical recommendation or an LS	Importing used capital machinery is handled under 24/2025, which covers non-new goods

NO./YEAR	FULL NAME	WHAT IT DOES	SIMPLE EXAMPLE
Permendag 47/2025 (in force 1 January 2026)	Barang yang Dilarang untuk Diimpor (Goods Prohibited from Import)	Replaced 18/2021 jo. 40/2022; lists banned imports	Used clothing, used bags and sacks, ozone-depleting substances
Permendag 24/2018 (+39/2020)	Certificate of Origin (SKA) for Indonesian goods	Part J2	Form D to ASEAN
Permendag 25/2021	Goods that must carry an Indonesian-language label	Part J3	Imported electronics labelled in Bahasa Indonesia
PMK 155/PMK.04/2022	Ketentuan Kepabeanan di Bidang Ekspor (Customs Provisions on Export); replaced PMK 145/2007	How to file the PEB, inspection, loading and cancelling exports	The PEB through CEISA and the NPE (Part J5)
PMK 26/PMK.010/2022	Classification system and import duty rates: the BTKI 2022 tariff book (in force 1 April 2022)	The 8-digit HS codes and the duty rate for each	Find the duty on an imported laptop by its HS code
PMK 38/2024 (amended by PMK 68/2025)	Penetapan Barang Ekspor yang Dikenakan Bea Keluar dan Tarif Bea Keluar (Export Duty)	Lists goods that pay export duty and the rates	Crude palm oil and some mineral concentrates pay export duty
PMK 4/2025	Barang kiriman (consignments)	Part B7: defines consignments, self-assessment, sanctions for wrong customs value	An online shop's small parcels from abroad
Permenhub PM 32/2022 (replaced PM 90/2013)	Dangerous goods by air (CASR Part 92)	Part J4	Perfume and batteries as air cargo

NO./YEAR	FULL NAME	WHAT IT DOES	SIMPLE EXAMPLE
Permen ESDM 6/2024	Completing domestic metal-refining facilities (smelters)	Cited by Permendag 11/2024; links the export deadline to smelter progress	Copper concentrate exports tied to smelter completion
Other ministries ("lartas" gatekeepers)	Agriculture, Industry, Health, Forestry/Environment, Marine Affairs and Fisheries, and BPOM (Badan Pengawas Obat dan Makanan, Food and Drug Authority)	Technical recommendations (*pertimbangan teknis*), health and quarantine permits, timber legality, SNI certification	Imported medicines need BPOM approval; exported timber needs legality documents

NUMBER PEGS THAT MAKE THESE STICK

"7 opens trade": UU 7/1994 joined the WTO and UU 7/2014 is the Trade Law. **"17 moves things":** UU 17/2006 (customs amendment), UU 17/2008 (shipping), UU 17/2017 (WTO facilitation). **"24 crosses borders on paper":** UU 24/1999 (foreign exchange), UU 24/2000 (treaties), Permendag 24/2018 (Certificate of Origin), UU 24/2022 (RCEP). **"22 says no, 23 says how":** Permendag 22/2023 prohibits exports, 23/2023 regulates them. **"16 + 8, and 47 bans":** import policy 16/2025 plus eight sector rules (17–24/2025); 47/2025 is the banned-imports list.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which Law sets the penalty for smuggling (1 to 10 years' prison and Rp 50 million to Rp 5 billion)?**
   - A. UU 7/2014 on Trade
   - B. UU 24/2000
   - C. UU 23/2014
   - D. UU 10/1995 on Customs as amended by UU 17/2006

2. Which regulation contains today's list of goods PROHIBITED from export?

A. Permendag 23/2023

B. Permendag 22/2023 (latest amended by 6/2026)

C. PMK 38/2024

D. Permendag 16/2025

3. RECALL **UU 10/1995 jo. 17/2006**

Answers 1. D **2.** B **3.** Customs Law: customs area, PEB/PIB, duties, value, inspection. Smuggling: 1–10 years and Rp 50 million–5 billion.

CHAPTER 47 · PART K · EVERY REGULATION BY LEVEL: INTERNATIONAL, NATIONAL, REGIONAL (MEMORIZE)

Level 3 · Regional: provinces, regencies and cities

Regional governments cannot decide what may cross the border. Foreign trade policy, customs and tariffs are central matters. Regions still matter because every exporter needs a **place**: land, a factory, a warehouse, a local road, a local harbour.

RULE	FULL NAME	WHAT IT DOES	SIMPLE EXAMPLE
UU 23/2014 (amended by UU 9/2015 and UU 6/2023)	Pemerintahan Daerah (Regional Government)	Splits government affairs between central, provincial and regency/city levels. Foreign trade stays central; regions handle local trade, small harbours, local permits and supervision	A provincial or city trade office (Dinas Perdagangan) can be appointed as an IPSKA and issue SKA certificates for local exporters
UU 1/2022	Hubungan Keuangan antara Pemerintah Pusat dan Pemerintahan Daerah (Central–Regional Fiscal Relations)	A **closed list** of taxes and charges (*retribusi*) regions may impose	A regency cannot invent an "export levy" on coffee leaving its area; it can charge for using a regional harbour or market
Perda RTRW	Peraturan Daerah tentang Rencana Tata Ruang Wilayah (regional spatial plan)	Zones where industry, warehouses and ports may be built	A furniture exporter in Jepara needs land in an industrial zone before its NIB-based location approval is granted
Perda on levies and local permits	Regional regulations on *retribusi*, building approval (PBG) and local environmental approvals	Local fees and permits for buildings and operations	A new cold-storage warehouse for shrimp exports needs a building approval from the regency

RULE	FULL NAME	WHAT IT DOES	SIMPLE EXAMPLE
Special regions	Free trade zones (Batam, Bintan, Karimun, Sabang) under PP 41/2021; Aceh's Qanun (Aceh's Perda) under UU 11/2006	Different customs treatment run by central-created authorities (e.g. BP Batam), not by the province	Electronics assembled in Batam for export use imported parts free of duty
Supreme Court review	UUD 1945 Pasal 24A; UU 12/2011	A Perda that conflicts with a higher rule can be struck down by the Mahkamah Agung	A Perda charging a fee on every container leaving a port without a legal basis could be challenged

EXAM TRAP

If a question asks "which level decides whether a product may be exported?", the answer is always **central government** (UU 7/2014 and Permendag). A governor or regent can make an export **easier or harder in practice** (land, permits, local fees), but cannot ban or license the export itself.

CHECK YOURSELF

Answer from memory, then check below.

1. **A regency passes a Perda charging a levy on all coffee leaving the regency for export. What is the problem?**
   - A. None: regions set export policy
   - B. Only the governor may set export levies
   - C. Regions may only impose the taxes and charges on the closed list in UU 1/2022, export policy is central, and the Perda can be struck down by the Supreme Court
   - D. It needs WTO approval first

2. (RECALL) **Regional level: what can a province or regency control?**

Answers 1. C **2.** Land use (Perda RTRW), building and local permits, local levies on the closed list of UU 1/2022, local harbours. Not export or import policy. Provincial/city trade offices can act as IPSKA (issue SKA).

CHAPTER 48 · PART K · EVERY REGULATION BY LEVEL: INTERNATIONAL, NATIONAL, REGIONAL (MEMORIZE)

Memorize it: mnemonics and the one-page cheat table

Three levels: "Treaty, Law, Land"

Treaty = international (rules between countries) · **L**aw = national (rules for the border and the contract) · **L**and = regional (rules for the place you operate).

Ladder: "UTU + 4P"

UUD → TAP MPR → UU/Perppu → PP → Perpres → Perda Provinsi → Perda Kab/Kota. Ministers (Permen) come in through the side door, Pasal 8.

International: "WTO + 5 C's"

Codes (HS) · Contracts & cash (Incoterms, UCP 600, CISG ✗, New York) · Clubs (ATIGA, ACFTA, RCEP, IA-CEPA) · Creatures & waste (CITES, Basel) · Cargo danger (IMDG, ICAO).

Export goods: "Free unless P or R"

UU 7/2014 Pasal 50: free unless **P**rohibited (Permendag 22/2023) or **R**estricted (Permendag 23/2023 with ET, PE, LS). Old 1998 scheme: Bebas, Diatur, Diawasi, Dilarang ("B-3D").

LEVEL	NO./YEAR	NAME	ONE-LINE HOOK
Intl	UU 7/1994	WTO + GATT	MFN, national treatment, bound tariffs
Intl	UU 17/2017	WTO TFA	faster clearance, single window
Intl	Keppres 35/1993	HS Convention	one product code worldwide
Intl	ICC 2020	Incoterms	who pays, who bears risk (private rules)
Intl	ICC 600 (2007)	UCP 600	L/C: banks check documents only
Intl	—	CISG	Indonesia NOT a party, so choose the law
Intl	Keppres 34/1981	New York Convention	foreign arbitration awards enforceable
Intl	Perpres 2/2010	ATIGA	ASEAN 0%, Form D
Intl	Keppres 48/2004	ACFTA	ASEAN–China, Form E

LEVEL	NO./YEAR	NAME	ONE-LINE HOOK
Intl	UU 24/2022 · UU 1/2020	RCEP · IA-CEPA	15-country origin rules · Australia deal
Intl	Keppres 43/1978 · 61/1993	CITES · Basel	endangered species · hazardous waste
Nat	UUD 1945	Constitution	Pasal 33 resources · 23A taxes by law · 11 treaties
Nat	UU 12/2011	Making Laws	the ladder (Pasal 7) + side door (Pasal 8)
Nat	UU 24/2000	International Agreements	how treaties are ratified
Nat	UU 10/1995 jo. 17/2006	Customs	PEB/PIB, duties, smuggling 1–10 yrs
Nat	UU 11/1995 jo. 39/2007	Excise	tobacco, alcohol, excise stamps
Nat	UU 7/2014 jo. 6/2023	Trade	free unless prohibited or restricted (Pasal 50)
Nat	UU 6/2023	Cipta Kerja	risk-based licensing, NIB
Nat	UU 17/2008 · UU 1/2009	Shipping · Aviation	cabotage · air cargo
Nat	UU 3/2020	Minerba	refine before export
Nat	UU 20/2014 · 33/2014 · 21/2019	SNI · Halal · Quarantine	standards, halal, health checks at the border
Nat	UU 24/1999	Foreign exchange	free flows, reported to Bank Indonesia
Nat	KUHPerdata 1320/1338	Civil Code	valid contract, freedom of contract
Nat	PP 29/2021	Trade sector	details of UU 7/2014
Nat	PP 28/2025	Risk-based licensing	NIB through OSS (replaced PP 5/2021)
Nat	PP 40/2021 · 41/2021	KEK · KPBPB	special zones, Batam

LEVEL	NO./YEAR	NAME	ONE-LINE HOOK
Nat	PP 36/2023 jo. 8/2025	Export proceeds	100% kept 12 months (natural resources)
Nat	Perpres 11/2022 · 44/2018 · 32/2022	Kemendag · INSW · Neraca	ministry · single window · commodity balance
Nat	Permendag 23/2023 jo. 11/2024	Export policy	ET, PE, LS; copper deadline
Nat	Permendag 22/2023	Prohibited exports	"22 says no"
Nat	Permendag 16/2025 + 17–24/2025	Import policy	general + 8 sector rules (from 29 Aug 2025)
Nat	Permendag 47/2025	Prohibited imports	used clothing, used bags
Nat	Permendag 24/2018 · 25/2021	SKA · labels	origin certificate · Bahasa Indonesia labels
Nat	PMK 155/2022 · 26/2022 · 38/2024 · 4/2025	Export customs · BTKI · export duty · consignments	the Finance Minister's customs toolkit
Nat	PM 32/2022	Dangerous goods by air	replaced PM 90/2013
Reg	UU 23/2014	Regional Government	who does what; foreign trade stays central
Reg	UU 1/2022	Central–regional finance	closed list of local taxes, no export levy
Reg	Perda RTRW, levies, PBG	Regional regulations	land, buildings, local fees

Sources: the Mengingat list of Permendag 11/2024; official texts and status pages on jdih.kemendag.go.id, jdih.kemenkeu.go.id, peraturan.bpk.go.id and pasal.id (checked October 2026); Bade (2015) ch. 1. Rules marked with 2025–2026 dates came after the course decks, so answer exam questions from the slides first and use these to add depth.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which order matches the hierarchy in UU 12/2011 Pasal 7?**
   A. UU → UUD → PP → Perpres → Perda
   B. UUD 1945 → Permendag → UU → PP
   C. UUD 1945 → TAP MPR → UU/Perppu → PP → Perpres → Perda Provinsi → Perda Kabupaten/Kota
   D. Perpres → PP → UU → UUD

2. **Under the 1998 scheme, "diatur" goods could be exported only by registered exporters, and "diawasi" goods needed the Minister's approval. What became of these two classes?**
   A. They were abolished with no trace
   B. They became prohibited goods
   C. They became free goods
   D. They merged into "restricted" goods and survive as the ET and PE requirements in the Lampiran

3. RECALL **Hierarchy in UU 12/2011 Pasal 7 ("UTU + 4P")**

Answers 1. C **2.** D **3.** UUD 1945 → TAP MPR → UU/Perppu → PP → Perpres → Perda Provinsi → Perda Kabupaten/Kota. Permen enter by Pasal 8.

CHAPTER 49 · PART K · EVERY REGULATION BY LEVEL: INTERNATIONAL, NATIONAL, REGIONAL (MEMORIZE)

Quiz: what each regulation does, its exact title, and how it changed

This quiz drills the three things exam questions on regulations usually test: **what a regulation covers**, its **exact official title**, and its **amendment history** (which later rule changed it, and what it changed). Questions are drawn at random from the 44 regulations in Part K. Every answer shows the full card, so a wrong answer still teaches you the rule.

HOW INDONESIAN TITLES ARE BUILT

Learn these six patterns and most titles become guessable.

- **Base rule:** type + *Nomor* + *Tahun* + *tentang* + subject: `Undang-Undang Nomor 7 Tahun 2014 tentang Perdagangan`.
- **Amendments:** *Perubahan atas* (1st), *Perubahan Kedua atas* (2nd), *Ketiga* (3rd), *Keempat* (4th), *Kelima* (5th), followed by the full title of the rule being changed. Example: Permendag 9/2025 is *Perubahan Ketiga atas Peraturan Menteri Perdagangan Nomor 23 Tahun 2023 tentang Kebijakan dan Pengaturan Ekspor*.
- ***jo.*** (juncto, "read together with") joins a rule and its amendment: UU 10/1995 jo. UU 17/2006.
- **Replacement** (*mencabut*, revoke): the new rule often keeps the **same subject** in its title, so only the number changes. PP 5/2021 → PP 28/2025 (risk-based licensing); Permendag 36/2023 → 16/2025 (import policy).
- **Treaties:** *Pengesahan* (ratification) + the treaty's name: UU 24/2022 tentang Pengesahan Regional Comprehensive Economic Partnership Agreement.
- **Emergency law made permanent:** *Penetapan Peraturan Pemerintah Pengganti Undang-Undang … menjadi Undang-Undang* (UU 6/2023). PMK numbers carry the unit: `PMK.04` customs, `PMK.010` fiscal policy (tariffs and duties).

The quiz itself runs in the online notebook. This is its answer sheet.

Answer sheet: all 44 regulations with exact titles and histories

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
International	**UU 7/1994**	*Undang-Undang Nomor 7 Tahun 1994 tentang Pengesahan Agreement Establishing the World Trade Organization (Persetujuan Pembentukan Organisasi Perdagangan Dunia)*	Makes Indonesia a WTO member: most-favoured-nation treatment, national treatment, bound tariff ceilings, and trade bans only under listed exceptions	none in this quiz
International	**UU 17/2017**	*Undang-Undang Nomor 17 Tahun 2017 tentang Pengesahan Protocol Amending the Marrakesh Agreement Establishing the World Trade Organization*	Ratifies the WTO Trade Facilitation Agreement: faster, more transparent clearance, single window, pre-arrival processing, risk-based inspection	none in this quiz
International	**Keppres 35/1993**	*Keputusan Presiden Nomor 35 Tahun 1993 tentang Pengesahan International Convention on the Harmonized Commodity Description and Coding System*	Joins the HS Convention: one 6-digit product code used worldwide, which Indonesia extends to 8 digits in its tariff book	none in this quiz

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
International	**Incoterms 2020**	*International Commercial Terms of the International Chamber of Commerce (private rules, no ratification)*	Private ICC rules that split delivery, cost, risk and customs tasks between seller and buyer; bind only if the contract names them	• **Incoterms 2010** · previous edition: 11 rules including DAT (Delivered at Terminal) • **Incoterms 2020** · replaced 2010: DAT renamed DPU (Delivered at Place Unloaded); CIP now needs the widest insurance, ICC (A), while CIF stays at ICC (C); FCA can ask for an on-board bill of lading; parties may use their own transport

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
International	**UCP 600**	*Uniform Customs and Practice for Documentary Credits, ICC Publication No. 600 (2007)*	Private ICC rules for letters of credit: banks deal in documents, not goods; bind because the L/C says it is subject to UCP 600	• **UCP 500** · previous version (1993): banks had a "reasonable time, not exceeding seven banking days" to check documents; revocable credits still existed • **UCP 600** · replaced UCP 500 (from 1 July 2007): a fixed maximum of five banking days to examine documents; every credit is irrevocable; "honour" defined to cover payment at sight, deferred payment and acceptance
International	**CISG (Vienna, 1980)**	*United Nations Convention on Contracts for the International Sale of Goods (Indonesia has NOT joined)*	Uniform sales-contract rules between member countries; Indonesia is not a party, so contracts must choose a governing law	none in this quiz

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
International	**Keppres 34/1981**	*Keputusan Presiden Nomor 34 Tahun 1981 tentang Pengesahan Convention on the Recognition and Enforcement of Foreign Arbitral Awards*	Lets foreign arbitration awards be enforced in Indonesia, registered at the Central Jakarta District Court (procedure in UU 30/1999)	none in this quiz
International	**Perpres 2/2010**	*Peraturan Presiden Nomor 2 Tahun 2010 tentang Pengesahan ASEAN Trade in Goods Agreement*	Near-zero tariffs inside ASEAN for goods that meet the origin rules, claimed with SKA Form D	none in this quiz
International	**UU 24/2022**	*Undang-Undang Nomor 24 Tahun 2022 tentang Pengesahan Regional Comprehensive Economic Partnership Agreement*	One set of origin rules across 15 Asia-Pacific countries (ASEAN plus China, Japan, Korea, Australia, New Zealand)	none in this quiz
International	**UU 1/2020**	*Undang-Undang Nomor 1 Tahun 2020 tentang Pengesahan Indonesia-Australia Comprehensive Economic Partnership Agreement*	Bilateral tariff cuts and quotas between Indonesia and Australia, e.g. feeder cattle and wheat	none in this quiz

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**UUD 1945**	*Undang-Undang Dasar Negara Republik Indonesia Tahun 1945*	The Constitution: Pasal 33 puts natural resources under state control, Pasal 23A requires taxes and duties to be set by Law, Pasal 11 requires DPR approval for treaties	none in this quiz

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**UU 12/2011**	*Undang-Undang Nomor 12 Tahun 2011 tentang Pembentukan Peraturan Perundang-undangan*	Sets the hierarchy of Indonesian regulations (Pasal 7) and lets ministerial regulations bind through the "side door" (Pasal 8)	• **UU 15/2019** · Perubahan atas UU 12/2011 (1st amendment): added monitoring and review of Laws after they are passed, and gave the law ministry the job of harmonising draft regulations • **UU 13/2022** · Perubahan Kedua atas UU 12/2011 (2nd amendment): added the omnibus method (one law amending many), allowed fixing technical errors after DPR approval, and strengthened meaningful public participation
National	**UU 24/2000**	*Undang-Undang Nomor 24 Tahun 2000 tentang Perjanjian Internasional*	How Indonesia makes and ratifies treaties: by a Law for major subjects (trade, borders, sovereignty), otherwise by a presidential act	none in this quiz

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**UU 10/1995**	*Undang-Undang Nomor 10 Tahun 1995 tentang Kepabeanan*	Customs: the customs area, export and import declarations (PEB, PIB), import duty, customs value, inspection and smuggling penalties	• **UU 17/2006** · Perubahan atas UU 10/1995 tentang Kepabeanan (1st amendment): introduced export duty (bea keluar), added export smuggling (Pasal 102A) and raised smuggling penalties from at most 8 years and Rp 500 million to 1–10 years and Rp 50 million–5 billion
National	**UU 11/1995**	*Undang-Undang Nomor 11 Tahun 1995 tentang Cukai*	Excise on tobacco, alcohol and other listed goods, paid with excise stamps (pita cukai) at import or production	• **UU 39/2007** · Perubahan atas UU 11/1995 tentang Cukai (1st amendment): raised the maximum excise rate (tobacco up to 57% of the retail price) and gave tobacco-producing regions a 2% share of tobacco excise revenue

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**UU 7/2014**	*Undang-Undang Nomor 7 Tahun 2014 tentang Perdagangan*	The umbrella trade law: export and import are free unless prohibited or restricted (Pasal 50), labels in Bahasa Indonesia (Pasal 6), new goods only for imports (Pasal 47), criminal sanctions (Pasal 104–112)	• **UU 11/2020** · Cipta Kerja (first Job Creation Law): amended UU 7/2014 to use risk-based business licensing instead of separate trade licences; the Constitutional Court ruled it conditionally unconstitutional in 2021 (MK 91/PUU-XVIII/2020) • **UU 6/2023** · Penetapan Perppu 2/2022 tentang Cipta Kerja menjadi Undang-Undang: re-enacted the Job Creation amendments after the court ruling; this is the version of UU 7/2014 in force now ("UU 7/2014 jo. UU 6/2023")

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**UU 6/2023**	*Undang-Undang Nomor 6 Tahun 2023 tentang Penetapan Peraturan Pemerintah Pengganti Undang-Undang Nomor 2 Tahun 2022 tentang Cipta Kerja menjadi Undang-Undang*	Job Creation: risk-based licensing (NIB through OSS) and amendments to dozens of laws, including Trade, Halal and Regional Government	none in this quiz
National	**UU 4/2009**	*Undang-Undang Nomor 4 Tahun 2009 tentang Pertambangan Mineral dan Batubara*	Mining: licences (IUP, IUPK) and the duty to process and refine minerals in Indonesia before export (downstreaming)	• **UU 3/2020** · Perubahan atas UU 4/2009 (1st amendment): moved mining licensing from the regions to the central government, kept the domestic refining duty, and allowed exports of some processed but unrefined minerals for at most 3 more years (Pasal 170A)
National	**UU 17/2008**	*Undang-Undang Nomor 17 Tahun 2008 tentang Pelayaran*	Shipping: ports, ships, and cabotage (cargo between Indonesian ports must go on Indonesian-flagged ships)	none in this quiz

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**UU 1/2009**	*Undang-Undang Nomor 1 Tahun 2009 tentang Penerbangan*	Aviation: airports, air cargo and dangerous goods by air	none in this quiz
National	**UU 20/2014**	*Undang-Undang Nomor 20 Tahun 2014 tentang Standardisasi dan Penilaian Kesesuaian*	Mandatory SNI (Indonesian National Standard) for listed products, checked by conformity assessment bodies	none in this quiz
National	**UU 33/2014**	*Undang-Undang Nomor 33 Tahun 2014 tentang Jaminan Produk Halal*	Products sold in Indonesia must be halal-certified or labelled non-halal, phased in by product group	• **UU 6/2023** · Cipta Kerja amendment: shortened certification deadlines and allowed micro and small businesses to self-declare halal status
National	**UU 21/2019**	*Undang-Undang Nomor 21 Tahun 2019 tentang Karantina Hewan, Ikan, dan Tumbuhan*	Quarantine: health certificates and checks for animals, fish and plants at entry and exit points	none in this quiz

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**UU 24/1999**	*Undang-Undang Nomor 24 Tahun 1999 tentang Lalu Lintas Devisa dan Sistem Nilai Tukar*	Foreign exchange is free in principle but must be reported to Bank Indonesia; the basis for export-proceeds rules	none in this quiz
National	**UU 7/2021**	*Undang-Undang Nomor 7 Tahun 2021 tentang Harmonisasi Peraturan Perpajakan*	Tax harmonisation: amended the VAT (PPN) and income tax (PPh) laws that tax imports at the border; VAT rose from 10% to 11% on 1 April 2022	none in this quiz
National	**KUHPerdata**	*Kitab Undang-Undang Hukum Perdata (Burgerlijk Wetboek, Staatsblad 1847 No. 23)*	The Civil Code: contract validity (Pasal 1320), freedom of contract (Pasal 1338) and sale of goods (Pasal 1457)	none in this quiz
National	**PP 29/2021**	*Peraturan Pemerintah Nomor 29 Tahun 2021 tentang Penyelenggaraan Bidang Perdagangan*	Detailed rules under UU 7/2014: export and import licensing, the commodity balance, used goods, trade in services	none in this quiz

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**PP 28/2025**	*Peraturan Pemerintah Nomor 28 Tahun 2025 tentang Penyelenggaraan Perizinan Berusaha Berbasis Risiko*	Risk-based business licensing through OSS: one NIB per business, with licences scaled to risk	• **PP 24/2018** · older OSS rule: first electronic integrated licensing (OSS 1.0) • **PP 5/2021** · replaced PP 24/2018: introduced risk-based licensing under the Job Creation Law • **PP 28/2025** · replaced PP 5/2021 (same title): added a deadline (service level) for every licence and "fiktif positif": a licence counts as approved if the authority misses its deadline
National	**PP 36/2023**	*Peraturan Pemerintah Nomor 36 Tahun 2023 tentang Devisa Hasil Ekspor dari Kegiatan Pengusahaan, Pengelolaan, dan/atau Pengolahan Sumber Daya Alam*	Export proceeds (DHE) from natural resources must be brought into and kept in Indonesian banks	• **PP 8/2025** · Perubahan atas PP 36/2023 (1st amendment): from 1 March 2025 exporters of mining (except oil and gas), plantation, forestry and fishery goods keep 100% of export proceeds for 12 months, up from 30% for 3 months

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**Perpres 32/2022**	*Peraturan Presiden Nomor 32 Tahun 2022 tentang Neraca Komoditas*	The national commodity balance: supply-and-demand data that decides how much may be imported or exported	none in this quiz
National	**Perpres 44/2018**	*Peraturan Presiden Nomor 44 Tahun 2018 tentang Indonesia National Single Window*	One electronic portal linking customs with the licensing ministries	none in this quiz
National	**Perpres 11/2022**	*Peraturan Presiden Nomor 11 Tahun 2022 tentang Kementerian Perdagangan*	Sets up the Ministry of Trade and its tasks, including foreign trade policy	none in this quiz

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**Permendag 23/2023**	*Peraturan Menteri Perdagangan Nomor 23 Tahun 2023 tentang Kebijakan dan Pengaturan Ekspor*	Restricted ("certain") export goods and their tools: ET, PE and LS, listed in Lampiran I	• **Permendag 11/2024** · Perubahan atas (1st amendment) · the course text: let copper, iron, lead and zinc concentrates and anode slime be exported until 31 December 2024 by firms building smelters (Pasal 49) • **Permendag 21/2024** · Perubahan Kedua (2nd): set the export rules for marine sedimentation sand, opened together with 20/2024 • **Permendag 9/2025** · Perubahan Ketiga (3rd): copper concentrate after 2024 only in listed cases, plus a force-majeure exception for firms whose finished smelter needs repair; dropped the 30-day deadline and sanction for reporting licence changes • **Permendag 5/2026** · Perubahan

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
				Keempat (4th), from 1 April 2026: simplified permits: industrial tin no longer needs ET, coal ET made easier, kratom ET valid 3 years, and the bird's-nest health certificate code changed from KH-12 to KH-2 • **Permendag 12/2026** · Perubahan Kelima (5th), from 29 April 2026: gave the Minister fast powers to suspend, freeze and revoke export licences, sent through INATRADE and INSW

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**Permendag 22/2023**	*Peraturan Menteri Perdagangan Nomor 22 Tahun 2023 tentang Barang yang Dilarang untuk Diekspor*	The prohibited-export list, e.g. unprocessed rattan, raw ore, cultural-heritage objects	• **Permendag 10/2024** · Perubahan atas (1st), from 1 June 2024: rewrote Pasal 6: copper, iron, lead and zinc concentrates and anode slime banned from 1 January 2025, matching 11/2024's deadline • **Permendag 20/2024** · Perubahan Kedua (2nd): took marine sedimentation sand out of the absolute ban, so it may be exported once domestic needs are met • **Permendag 8/2025** · Perubahan Ketiga (3rd): allowed refined mining products such as titanium slag, and a force-majeure exception for copper concentrate • **Permendag 6/2026** · Perubahan Keempat (4th), from 1 April 2026: removed rice from the

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
				export ban and redefined solder tin by its physical form

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**Permendag 16/2025**	*Peraturan Menteri Perdagangan Nomor 16 Tahun 2025 tentang Kebijakan dan Pengaturan Impor*	General import policy: which imports need an import approval, a technical recommendation or a surveyor report; eight sector rules (17–24/2025) sit beside it	• **Permendag 36/2023** · old import policy (same title), in force 10 March 2024: moved checks on many imports from after the border to the border and required more technical recommendations (pertek) • **Permendag 7/2024** · Perubahan Kedua atas 36/2023 (2nd): removed limits on passengers' and migrant workers' personal goods after public complaints • **Permendag 8/2024** · Perubahan Ketiga atas 36/2023 (3rd), May 2024: after about 26,000 containers piled up at ports, dropped the technical-recommendation requirement for many goods (electronics, cosmetics, footwear, clothing, bags), but not textiles

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
				• **Permendag 16/2025** · replaced 36/2023 and all its amendments, from 29 August 2025: one general import rule plus eight sector rules (17–24/2025)
National	**Permendag 47/2025**	*Peraturan Menteri Perdagangan Nomor 47 Tahun 2025 tentang Barang yang Dilarang untuk Diimpor*	The prohibited-import list, e.g. used clothing, used bags and sacks, ozone-depleting substances	• **Permendag 18/2021** · Barang Dilarang Ekspor dan Barang Dilarang Impor: one list for both banned exports and banned imports • **Permendag 40/2022** · Perubahan atas 18/2021 (1st amendment) • **Permendag 22/2023** · took over the export half: banned exports moved to their own regulation • **Permendag 47/2025** · replaced 18/2021 jo. 40/2022, from 1 January 2026: banned imports now have their own regulation

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**Permendag 24/2018**	*Peraturan Menteri Perdagangan Nomor 24 Tahun 2018 tentang Ketentuan dan Tata Cara Penerbitan Surat Keterangan Asal untuk Barang Asal Indonesia*	How the SKA (Certificate of Origin) for Indonesian goods is issued by an IPSKA, e.g. Form D for ASEAN	• **Permendag 19/2019** · 1st amendment • **Permendag 59/2019** · 2nd amendment • **Permendag 39/2020** · 3rd amendment (the one in the video topic list) • **Permendag 34/2023** · 4th amendment

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**Permendag 25/2021**	*Peraturan Menteri Perdagangan Nomor 25 Tahun 2021 tentang Penetapan Barang yang Wajib Menggunakan atau Melengkapi Label Berbahasa Indonesia*	Which goods must use or carry a label in Bahasa Indonesia (carrying out UU 7/2014 Pasal 6)	• **Permendag 62/2009** · Kewajiban Pencantuman Label pada Barang: created the duty to label goods • **Permendag 22/2010** · amended 62/2009 • **Permendag 67/2013** · Kewajiban Pencantuman Label dalam Bahasa Indonesia pada Barang: replaced both: imports had to carry the Indonesian label before entering the customs area, with label approval (SKPLBI) • **Permendag 73/2015** · replaced 67/2013 • **Permendag 25/2021** · replaced 73/2015: current list of goods that must carry an Indonesian-language label

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**PMK 155/PMK.04/2022**	*Peraturan Menteri Keuangan Nomor 155/PMK.04/2022 tentang Ketentuan Kepabeanan di Bidang Ekspor*	Customs procedure for exports: filing the PEB, inspection, loading and cancelling exports	• **PMK 145/PMK.04/2007** · old export customs rule (same title), amended several times: the earlier export-customs procedure • **PMK 155/PMK.04/2022** · replaced 145/2007 and its amendments: current export-customs procedure, with the PEB filed through CEISA
National	**PMK 26/PMK.010/2022**	*Peraturan Menteri Keuangan Nomor 26/PMK.010/2022 tentang Penetapan Sistem Klasifikasi Barang dan Pembebanan Tarif Bea Masuk atas Barang Impor*	The BTKI 2022 tariff book: 8-digit HS codes and the import duty rate for each	• **PMK 6/PMK.010/2017** · BTKI 2017: tariff book based on HS 2017 • **PMK 26/PMK.010/2022** · BTKI 2022, from 1 April 2022: replaced BTKI 2017 to follow the HS 2022 edition

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
National	**PMK 38/2024**	*Peraturan Menteri Keuangan Nomor 38 Tahun 2024 tentang Penetapan Barang Ekspor yang Dikenakan Bea Keluar dan Tarif Bea Keluar*	Which exports pay export duty (bea keluar) and at what rate, e.g. crude palm oil and some mineral concentrates	• **PMK 68/2025** · Perubahan atas PMK 38/2024: added pine resin (getah pinus) to the goods that pay export duty, at 25%
National	**PM 32/2022**	*(dangerous goods by air, CASR Part 92)*	Dangerous goods by air (CASR Part 92), in line with the ICAO Technical Instructions	• **PM 90/2013** · old rule: made CASR Part 92 on carrying dangerous goods by aircraft binding • **PM 32/2022** · replaced PM 90/2013 on 12 October 2022: the same shipper duties continue under the new number
Regional	**UU 23/2014**	*Undang-Undang Nomor 23 Tahun 2014 tentang Pemerintahan Daerah*	Splits government affairs between central, provincial and regency/city levels; foreign trade stays central	• **UU 9/2015** · Perubahan Kedua atas UU 23/2014 (2nd amendment) • **UU 6/2023** · Cipta Kerja amendment: pulled several business-licensing powers into central, risk-based licensing

LEVEL	NO./YEAR	EXACT TITLE	WHAT IT REGULATES	AMENDMENTS AND WHAT CHANGED
Regional	**UU 1/2022**	*Undang-Undang Nomor 1 Tahun 2022 tentang Hubungan Keuangan antara Pemerintah Pusat dan Pemerintahan Daerah*	The closed list of taxes and charges (retribusi) regions may impose, so no regional "export levy"	• **UU 28/2009 + UU 33/2004** · Pajak Daerah dan Retribusi Daerah · Perimbangan Keuangan: the old separate laws on regional taxes and on central–regional revenue sharing • **UU 1/2022** · replaced both: one law for central–regional finance, with fewer and simpler regional taxes and charges

Titles and amendment histories checked on jdih.kemendag.go.id, jdih.kemenkeu.go.id, peraturan.bpk.go.id and paralegal.id (October 2026). Amendments dated 2025–2026 came after the course decks: know them for depth, but answer from the slides when a question follows the course text (Permendag 23/2023 jo. 11/2024).

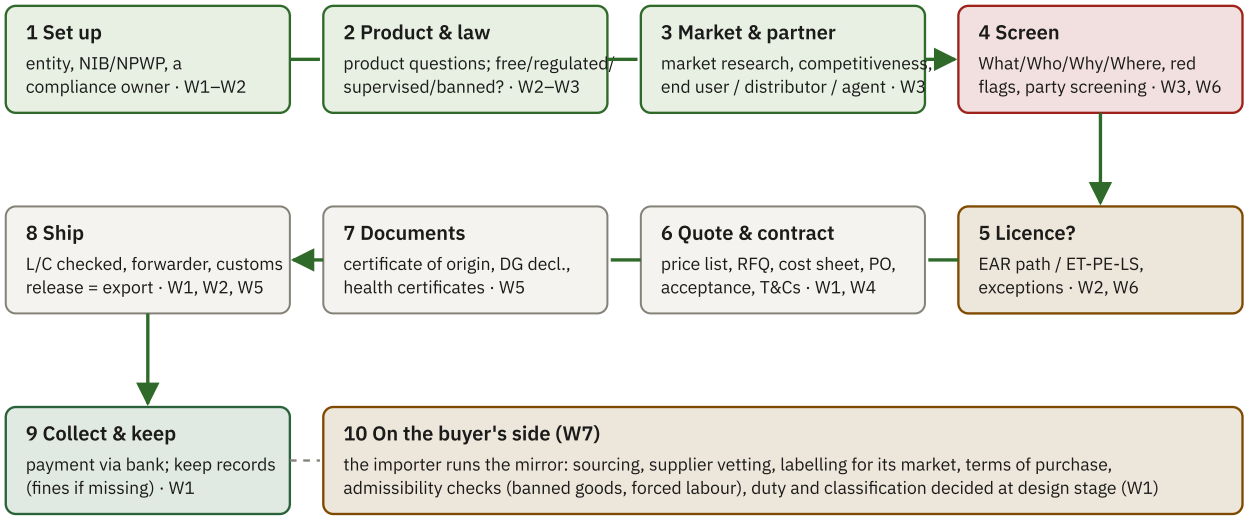
PART I

SYNTHESIS ACROSS THE COURSE

CHAPTER 50 · PART I · SYNTHESIS ACROSS THE COURSE

One export transaction, every week in order

Follow one shipment from idea to payment. Each step belongs to a lecture week, and each produces something the next step needs.

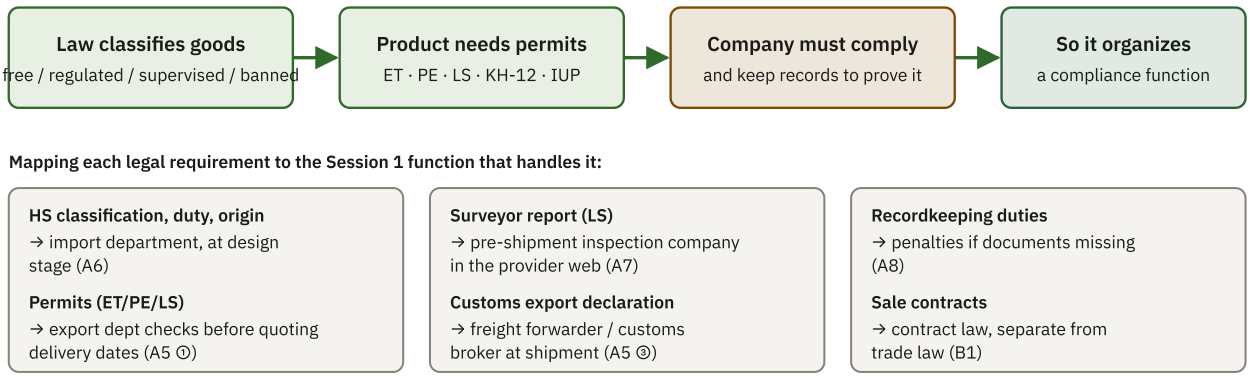


ABBREVIATIONS IN THIS FIGURE: **NIB** Nomor Induk Berusaha, Business Identification Number · **PO** Purchase Order · **RFQ** Request for Quotation · **L/C** Letter of Credit · **T&Cs** Terms and Conditions · **DG** Dangerous Goods · **EAR** Export Administration Regulations

FIGURE 50.1 **Why screening (4) comes before quoting (6):** if the buyer is a denied party or the product needs a licence, the quote's price and delivery date would be wrong. Bade's quotation flow (A5 ①) asks Finance and Manufacturing for input for the same reason.

CHAPTER 51 · PART I · SYNTHESIS ACROSS THE COURSE

How Week 1 and the law connect



ABBREVIATIONS IN THIS FIGURE: **ET** Eksportir Terdaftar, Registered Exporter · **PE** Persetujuan Ekspor, Export Approval · **LS** Laporan Surveyor, Surveyor's Report · **KH-12** animal-product sanitary certificate · **IUP** Izin Usaha Pertambangan, Mining Business Licence · **HS** Harmonized System

CHECK YOURSELF

Answer from memory, then check below.

1. RECALL ET, PE, LS

Answers 1. ET = Eksportir Terdaftar (registered exporter: who). PE = Persetujuan Ekspor (export approval: how much, where). LS = Laporan Surveyor (surveyor's verification of the shipment).

CHAPTER 52 · PART I · SYNTHESIS ACROSS THE COURSE

Exam-ready reasoning: the chains to remember

1 · Compliance → profit

Specialized staff prevent fines, delays and seizures; that is why a compliance-oriented program is called profitable.

2 · Volume → specialization

One person in a small firm; separate export and import departments as volume and insourcing grow.

3 · Export orders differ

Delivery, payment security, insurance, packing all change, so many departments must give input, so someone must coordinate.

4 · Hub pattern

In quotation, order entry, shipment and collection, the export department collects input, consolidates and passes it on.

5 · Design decides duty

Classification, duty, FTA eligibility, valuation and origin follow from how a product is made, so import compliance starts at design.

6 · Intent decides the fine

Missing records: intentional = lesser of $100k or 75%; negligent = lesser of $10k or 40%.

7 · Federal border, state contract

Crossing the border is national law; the sale contract is state (private) law. Add international and foreign law on top.

8 · Risk decides the permit

Export = release from the customs area. Free → regulated → supervised → prohibited; regulated goods need ET (who), PE (how much), LS (verify the cargo).

9 · Product + volume decide procedure

Component, spare, finished, set, modified, used: these decide documents and foreign customs treatment. Bigger volume → formal agreement, secure payment, agents.

10 · Four tests of export control

What, Who, Why, Where. Fail one and the deal is blocked. Red flags are things that "do not fit" a normal buyer.

11 · Writing protects the seller

UCC (Uniform Commercial Code): sales over US$500 enforceable by the seller only in writing. Email orders need the seller's T&Cs (Terms and Conditions) attached.

12 · Control when the contract forms

Price list "not an offer"; check RFQ (Request for Quotation) fine print; cost sheet before quoting; no agreement until the seller accepts the PO. Conduct accepts all the offer's terms.

13 · Ownership splits distributor and agent

Distributor buys, owns, bears resale risk, sets its own price. Agent only solicits orders. FCPA: the exporter is liable if it knew of bribes.

14 · Delegate work, not liability

Exporter is responsible for the forwarder's errors. Certificate of origin ≠ origin label. DG (Dangerous Goods), precursor and health documents protect carriers and destination countries.

15 · EAR in order

Scope → other agency → de minimis (10%/25%) → ECCN + Country Chart → 10 prohibitions → exception → licence. NLR is declared under penalty of perjury.

16 · Import mirrors export

Sourcing, supplier vetting, labelling, terms of purchase. Buy FOB/CIF/landed to make the seller handle its own export law. Buying commission not dutiable.

Test yourself in this notebook's Quiz, Flashcards and Mock exam tabs (with answer key).

GLOSSARY

EVERY ABBREVIATION AND TERM

APPENDIX · GLOSSARY · EVERY ABBREVIATION AND TERM

Glossary: abbreviations in full

Every abbreviation used in this report and the practice page, written out in full with a one-line meaning. Indonesian terms give the Indonesian full form first, then the English meaning.

Indonesian law, licences and documents

API Angka Pengenal Importir	Importer identity number. Under risk-based licensing through OSS, the NIB now also serves as the API.
BC Bea dan Cukai	The Directorate General of Customs and Excise; also the prefix of customs form codes (BC 1.1 = inward manifest, BC 2.0 = PIB).
BM Bea Masuk	Customs duty on imported goods, based on the customs value and the tariff rate for the HS code.
BPOM Badan Pengawas Obat dan Makanan	Indonesia's food and drug authority; approves imports of food, medicines and cosmetics.
BTKI Buku Tarif Kepabeanan Indonesia	The tariff book: 8-digit HS codes and import duty rates. BTKI 2022 was set by PMK 26/2022.
CASR Civil Aviation Safety Regulations	Indonesia's civil aviation safety rules. Part 92 covers carrying dangerous goods by air.
CEISA Customs-Excise Information System and Automation	Indonesian customs' online system through which the PEB and PIB are filed.
DHE Devisa Hasil Ekspor	Foreign-currency export proceeds. Under PP 8/2025, natural-resource exporters keep 100% in Indonesia for 12 months.
DPR Dewan Perwakilan Rakyat	Indonesia's parliament. It makes Laws (UU) together with the President.
EEZ Exclusive Economic Zone (Zona Ekonomi Eksklusif, ZEE)	Sea area up to 200 nautical miles from the coast where a country has economic rights; certain places in it are part of the customs area.

ET Eksportir Terdaftar	Registered Exporter: a status permit that screens WHO may export a controlled product. Valid for a period.
HS Harmonized System (Harmonized Commodity Description and Coding System)	The World Customs Organization's international product code. The first 6 digits are global; Indonesia adds digits for its 8-digit tariff code (Pos Tarif/HS).
INSW Indonesia National Single Window	One electronic portal linking customs with the licensing ministries (Perpres 44/2018).
IPSKA Instansi Penerbit Surat Keterangan Asal	Government-authorized agency that checks applications (made online through e-SKA) and issues Certificates of Origin.
IUP Izin Usaha Pertambangan	Mining Business Licence, issued under the energy and mineral resources ministry.
IUPK Izin Usaha Pertambangan Khusus	Special Mining Business Licence.
K3L Keamanan, Kesehatan, Keselamatan, Lingkungan	Security, health, safety and environment: the main reasons the government gives for restricting trade.
K3LM Keamanan, Kesehatan, Keselamatan, Lingkungan, Moral bangsa	K3L plus the morals of the nation.
KEK Kawasan Ekonomi Khusus	Special Economic Zone with tax and customs facilities (PP 40/2021).
Kepmenperindag Keputusan Menteri Perindustrian dan Perdagangan	Ministerial decree from before 2004, when industry and trade shared one ministry. 558/MPP/Kep/12/1998 set the four classes of export goods.
Keppres Keputusan Presiden	Presidential Decree. Older treaties were ratified by Keppres, e.g. Keppres 35/1993 for the HS Convention.
KH-12 Sertifikat Sanitasi Produk Hewan (form KH-12)	Sanitary certificate for animal products issued by the agricultural quarantine authority for each shipment.

KPBPB Kawasan Perdagangan Bebas dan Pelabuhan Bebas	Indonesia's free trade zones (Batam, Bintan, Karimun, Sabang) under PP 41/2021; goods entering are free of import duty and VAT.
KUHPerdata Kitab Undang-Undang Hukum Perdata	Indonesia's Civil Code (the Dutch-era Burgerlijk Wetboek). Pasal 1320 sets the four conditions for a valid contract; Pasal 1338 freedom of contract.
LPK Lembaga Penilaian Kesesuaian	Conformity Assessment Body: tests or inspects products against a standard. (Slide 6 of deck 02 writes it as "LPM".)
LS Laporan Surveyor	Surveyor's Report: an appointed surveyor verifies or traces the actual shipment (type, grade, quantity) before loading.
LS-Pro Lembaga Sertifikasi Produk	Product Certification Body: certifies that a product meets a standard such as SNI (Indonesian National Standard).
MODI Minerba One Data Indonesia	The mining ministry's data system in which tin and mineral exporters must be registered.
NIB Nomor Induk Berusaha	Business Identification Number issued through OSS. It replaced SIUP and TDP and also serves as the importer identity number.
NPE Nota Pelayanan Ekspor	Customs approval issued after the PEB has been checked; it clears the goods to be loaded for export.
NPWP Nomor Pokok Wajib Pajak	Taxpayer Identification Number.
OSS Online Single Submission	Indonesia's online, risk-based business licensing system that issues the NIB.
PE Persetujuan Ekspor	Export Approval: permits HOW MUCH may be exported, to where and through which port, based on the Neraca Komoditas.

PEB Pemberitahuan Ekspor Barang	Export goods declaration filed with Indonesian customs. The regulation calls it the customs export declaration (Pemberitahuan Pabean Ekspor); its registration date proves when an export happened.
Perda Peraturan Daerah	A regulation made by a regional parliament with the governor (province) or regent/mayor (regency/city). Bottom of the legal ladder; cannot make export or import policy.
Permendag Peraturan Menteri Perdagangan	Regulation of the Minister of Trade: sets the detailed rules, e.g. Permendag 23/2023 on Export Policy and Regulation, amended by Permendag 11/2024.
Permenhub Peraturan Menteri Perhubungan	Ministerial regulation on transport, numbered with the prefix PM, e.g. PM 90/2013 on dangerous goods by air.
Perppu Peraturan Pemerintah Pengganti Undang-Undang	An emergency regulation the President issues in place of a Law; it has the rank of a UU and must be approved by the DPR. Cipta Kerja passed through Perppu 2/2022 into UU 6/2023.
Perpres Peraturan Presiden	Presidential Regulation, e.g. Perpres 11/2022 on the Ministry of Trade.
PIB Pemberitahuan Impor Barang	Import goods declaration filed with Indonesian customs; import duty is assessed on it.
PM Peraturan Menteri (Ministry of Transportation numbering)	Prefix in the numbers of Ministry of Transportation regulations, e.g. PM 90 Tahun 2013, PM 32 Tahun 2022.
PMK Peraturan Menteri Keuangan	Regulation of the Minister of Finance: covers customs and tax, e.g. PMK 4/2025 on consignment goods.
PP Peraturan Pemerintah	Government Regulation: issued by the President to carry out a Law, e.g. PP 29/2021 on the trade sector.
PPh 22 Pajak Penghasilan Pasal 22	Prepaid income tax collected on imports; the importer later credits it against its annual income tax.

PPJK Pengusaha Pengurusan Jasa Kepabeanan	A licensed customs broker in Indonesia: clears goods through customs on the trader's behalf.
PPN Pajak Pertambahan Nilai	Value Added Tax (VAT); on imports it is collected at the border together with import duty.
RI Republik Indonesia	Republic of Indonesia, as in "Permendag RI".
RTRW Rencana Tata Ruang Wilayah	Regional spatial plan set by Perda: where industry, warehouses and ports may be built.
SBW Sarang Burung Walet	Edible swiftlet nests, group I of Lampiran I.
SIUP Surat Izin Usaha Perdagangan	Trading Business Licence under the older licensing system (now replaced by NIB).
SKA Surat Keterangan Asal	Certificate of Origin for Indonesian goods, issued by an IPSKA under Permendag 24/2018 (as amended, including 39/2020). Preferential forms such as Form D and Form E unlock lower FTA tariffs.
SKPLBI Surat Keterangan Pencantuman Label dalam Bahasa Indonesia	Approval of the Indonesian-language label that Permendag 67/2013 required before covered goods were sold or imported.
SNI Standar Nasional Indonesia	Indonesian National Standard. Mandatory SNI products (e.g. toys, helmets) need certification before sale or import (UU 20/2014).
SPPB Surat Persetujuan Pengeluaran Barang	Customs approval that lets imported goods leave the port once the PIB, duties and taxes and any inspection are cleared.
TAP MPR Ketetapan Majelis Permusyawaratan Rakyat	Decree of the MPR, the People’s Consultative Assembly. Second rung of the legal ladder in UU 12/2011, below the Constitution.
TDP Tanda Daftar Perusahaan	Company Registration Certificate under the older system (now replaced by NIB).

UU Undang-Undang	A Law (statute) made by the House of Representatives (DPR) together with the President, e.g. UU 7/2014 on Trade.
UUD 1945 Undang-Undang Dasar Negara Republik Indonesia Tahun 1945	The 1945 Constitution of the Republic of Indonesia: the highest law, at the top of the legal hierarchy.

Indonesian terms (not abbreviations, but used throughout)

Asas cabotage Asas cabotage	Rule in UU 17/2008: sea transport between Indonesian ports must use Indonesian-flagged ships crewed by Indonesian citizens.
Daerah Pabean	Customs area: Indonesia's land, waters and airspace plus certain places in the EEZ and continental shelf.
Lampiran	Annex or attachment to a regulation. Lampiran I of Permendag 11/2024 lists the controlled export goods.
Lartas Larangan dan Pembatasan	The bans and permit requirements an import or export must clear, e.g. import approval, mandatory Indonesian label, new goods only.
Mengingat	"Considering" section of a regulation: lists the higher laws it is based on.
Neraca Komoditas	National commodity balance: the government's estimate of supply and demand for a commodity, used to decide export and import approvals.
Pasal	Article of a regulation, e.g. Pasal 49 on mineral concentrates.
Pos Tarif	Tariff line: the 8-digit HS-based code for a product.
PT / CV Perseroan Terbatas / Commanditaire Vennootschap	Indonesian business forms: PT is a limited liability company; CV is a limited partnership.

Trade, documents and trade terms

B/L Bill of Lading	The carrier’s document for sea cargo: receipt for the goods, evidence of the contract of carriage, and document of title.
CEO Chief Executive Officer	The company's top executive.
CHA Customs House Agent	India's licensed customs broker (Indonesian equivalent: PPJK).
CIF Cost, Insurance and Freight	Incoterm (sea only): seller delivers on board at the port of shipment (risk passes there) but pays freight and minimum insurance to the named port of destination.
CIP Carriage and Insurance Paid To	Incoterm: like CIF but for any transport mode; minimum insurance ICC (A).
CoO Certificate of Origin	Document proving where goods were made. Indonesia’s version is the SKA.
DG Dangerous Goods	Hazardous materials (explosives, flammables, gases, etc.) that need special declarations for transport.
EXW Ex Works	Incoterm: seller makes goods available at its own premises; buyer does everything else, even export clearance. Bade's "ex-factory".
FCA Free Carrier	Incoterm: seller delivers to the buyer's carrier at a named place, export-cleared. Used instead of FOB for containers, air and road.
Fe, Cu, Pb, Zn Iron, Copper, Lead, Zinc	Chemical symbols used for the metal content of the mineral concentrates in Article 49.
FOB Free On Board	Incoterm (sea only): seller delivers when goods are on board the vessel at the named port of shipment; cost and risk pass to the buyer there.
FTA Free Trade Agreement	A treaty that cuts tariffs between member countries for goods that meet its rules of origin.

ICC International Chamber of Commerce · Institute Cargo Clauses	Two meanings. (1) The International Chamber of Commerce publishes Incoterms. (2) ICC (A), (B), (C) are the Institute Cargo Clauses, standard marine cargo insurance covers: (A) is widest ("all risks"), (C) is narrowest.
IEC Import Export Code	India's 10-digit trader registration code (the deck's example of a trader ID).
Incoterms International Commercial Terms	Standard trade terms published by the International Chamber of Commerce (ICC); current edition Incoterms 2020.
KYC Know Your Customer	Checking who a buyer is and what it will do with the product, to spot red flags.
L/C Letter of Credit	A bank's promise to pay the exporter once it presents the documents the credit requires.
LO Learning Outcome	A course learning outcome, e.g. LO1: explain the concept of export and import.
MCQ Multiple-Choice Question	A question with answer options A–D.
P/L Packing List	List of the packages in a shipment with their contents, weights and marks.
PAN Permanent Account Number	India's tax identification number, needed before an IEC.
PO Purchase Order	The buyer's written order stating goods, quantity, price and terms.
R&D Research and Development	Research and development work; one of the exceptions in Article 49.
RFQ Request for Quotation	The buyer's request asking the seller to quote a price, quantity and delivery date.
S4S Surfaced Four Sides	Timber planed smooth on all four sides; a technical criterion for exporting processed wood.

T&Cs Terms and Conditions	The seller's or buyer's standard contract terms, often in fine print.
UCP 600 Uniform Customs and Practice for Documentary Credits, ICC Publication No. 600	The International Chamber of Commerce rules for letters of credit (2007). Private rules: they apply because the L/C says so.
VP Vice President	A senior executive heading a function, e.g. VP Export/Import Operations.

International organisations and agreements

ACFTA ASEAN–China Free Trade Area	Free trade area between ASEAN and China. Its preferential certificate of origin is Form E.
AGOA African Growth and Opportunity Act	U.S. programme giving duty-free access to eligible African countries.
ASEAN Association of Southeast Asian Nations	Regional group including Indonesia and Malaysia.
ATIGA ASEAN Trade in Goods Agreement	ASEAN's free trade agreement for goods. Its preferential certificate of origin is Form D.
CISG United Nations Convention on Contracts for the International Sale of Goods	UN convention (Vienna, 1980) with uniform rules for international sales contracts. The U.S. is a party; Indonesia is not.
CITES Convention on International Trade in Endangered Species of Wild Fauna and Flora	Treaty controlling trade in endangered plants and animals.
CWC Chemical Weapons Convention	Treaty banning chemical weapons; its inspections qualify for licence exception GOV.
DGR Dangerous Goods Regulations	IATA's rulebook for dangerous goods by air.
GATT General Agreement on Tariffs and Trade	The WTO's core agreement on trade in goods: most-favoured-nation treatment, national treatment, bound tariffs.

GSP Generalized System of Preferences	Programme giving reduced or zero duty to imports from developing countries.
IA-CEPA Indonesia–Australia Comprehensive Economic Partnership Agreement	Bilateral trade agreement between Indonesia and Australia; ratified by UU 1/2020.
IATA DGR International Air Transport Association Dangerous Goods Regulations	Rules for carrying dangerous goods by air.
ICAO International Civil Aviation Organization	UN agency that sets international aviation standards, including the Technical Instructions for carrying dangerous goods by air.
IMDG Code International Maritime Dangerous Goods Code	Rules for carrying dangerous goods by sea.
MFN Most-Favoured-Nation	WTO principle: a tariff advantage given to one member must be given to all, except under FTAs and listed exceptions.
NAFTA North American Free Trade Agreement	Trade agreement between the US, Canada and Mexico (replaced by the USMCA in 2020).
PRC People's Republic of China	Excluded from the "foreign government buyer" documentation waiver.
RCEP Regional Comprehensive Economic Partnership	Free trade agreement of ASEAN with China, Japan, Korea, Australia and New Zealand; ratified by UU 24/2022.
TFA Trade Facilitation Agreement	WTO agreement (in force 2017) on faster, more transparent customs clearance; ratified by Indonesia through UU 17/2017.
UN United Nations	Publishes the International Trade Statistics Yearbook.
WCO World Customs Organization	The world body of customs administrations; maintains the HS code.

WTO World Trade Organization	Sets global trade rules; Indonesia ratified its founding agreement in UU 7/1994.

U.S. laws, agencies and export-control codes

ATF Bureau of Alcohol, Tobacco, Firearms and Explosives	U.S. agency whose rules include labelling of alcohol and tobacco imports.
BAG Baggage	EAR licence exception for personal effects, household goods, vehicles and tools of trade.
BIS Bureau of Industry and Security	U.S. Department of Commerce agency that administers the EAR and issues export licences.
CCL Commerce Control List	The EAR's list of controlled items, each with an ECCN.
CFR Code of Federal Regulations	The compiled U.S. federal rules. 10 CFR Part 110 covers nuclear equipment exports; Part 810 covers nuclear technology.
CIV Civil end users	EAR licence exception for civilian (non-military) end users.
DEA Drug Enforcement Administration	U.S. agency that controls drugs and precursor chemicals (DEA Form 486). The slide writes "Agency".
DOT Department of Transportation	U.S. agency for hazardous materials transport rules.
EAR Export Administration Regulations	U.S. Department of Commerce rules that decide whether an export of dual-use goods needs a licence.
ECCN Export Control Classification Number	The 5-character code of an item on the Commerce Control List (e.g. 3A001).
EEI Electronic Export Information	The U.S. electronic export filing; a "no licence required" claim in it is made under penalty of perjury.

FCPA Foreign Corrupt Practices Act	U.S. law banning payments to foreign officials to win or keep business; the exporter is liable if it knew its agent paid a bribe.
FSIS Food Safety and Inspection Service	USDA unit for meat and poultry; Form 9060-6.
FTZ Foreign Trade Zone	A U.S. area treated as outside customs territory for duty purposes; goods there are still subject to the EAR.
GBS Group B Shipments	EAR licence exception for shipments to Country Group B.
GFT Gifts	EAR licence exception for gifts and humanitarian donations.
GOV Government	EAR licence exception for government end users and international organisations.
ITAR International Traffic in Arms Regulations	U.S. State Department rules for defence articles and services.
LVS Low Value Shipments	EAR licence exception for small-value shipments.
NLR No License Required	The EAR determination that an export needs no licence.
OFAC Office of Foreign Assets Control	U.S. Treasury office that runs sanctions and embargoes (e.g. Cuba, Iran, North Korea).
PPQ Plant Protection and Quarantine	USDA unit; Form PPQ 577 is the Federal Phytosanitary Certificate.
RPL Replacement	EAR licence exception for servicing and replacement parts.
TMP Temporary	EAR licence exception for temporary exports, imports, re-exports.
TSU Technology and Software, Unrestricted	EAR licence exception for basic operating and sales technology and software.

U.S. CBP U.S. Customs and Border Protection	The U.S. customs authority (always spelled out in this pack).
UCC Uniform Commercial Code	U.S. state-adopted law on sales; a sale over US$500 is enforceable by the seller only if in writing.
USDA United States Department of Agriculture	Issues animal, plant and food export certificates.
USML United States Munitions List	The list of defence items controlled under ITAR.

Built from lecture decks 01–07 (Weeks 1–7): Organizing for Export and Import Operation; Federal, State, International, and Foreign Law; Exporting Procedures and Documentation; Exporting Sales Documentation; Other Export Documentation; Export Controls and Licenses; Importing Procedures and Documentation; plus Permendag RI No. 11 Tahun 2024 and Lampiran I. Notes marked "context, not on the slides" are added background; check with your lecturer whether the exam expects them.

ENPR6304032 · TRADE TERMS · INCOTERMS® 2020

FOB and CIF

*Two of the most common trade terms in sea freight, both defined in Incoterms (International Commercial Terms), the rulebook of trade terms published by the International Chamber of Commerce (ICC). Both answer the same three questions: **where** the seller has delivered, **who pays** for each leg of the journey, and **who bears the loss** if the goods are damaged on the way. The diagrams below follow one shipment from the seller's factory to the buyer's warehouse.*

FOB

FREE ON BOARD · NAMED PORT OF SHIPMENT

The seller delivers when the goods are **loaded on board the vessel** nominated by the buyer at the named port of shipment, cleared for export. From that moment the **buyer** bears all risk and pays all further costs, including ocean freight and insurance.

CIF

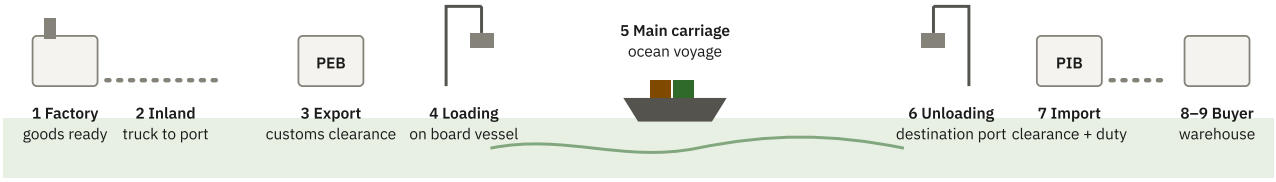
COST, INSURANCE AND FREIGHT · NAMED PORT OF DESTINATION

The seller delivers the same way, **on board at the port of shipment**, but must also **pay the freight** and **buy minimum insurance** to the named port of destination. Risk still passes to the buyer at loading, even though the seller has paid for the voyage.

CHAPTER 1 · FOB & CIF · INCOTERMS® 2020

The journey both terms share

Every sea shipment passes the same nine stages. A trade term simply draws lines on this journey: one line for **cost** (who pays) and one for **risk** (who loses if something goes wrong).

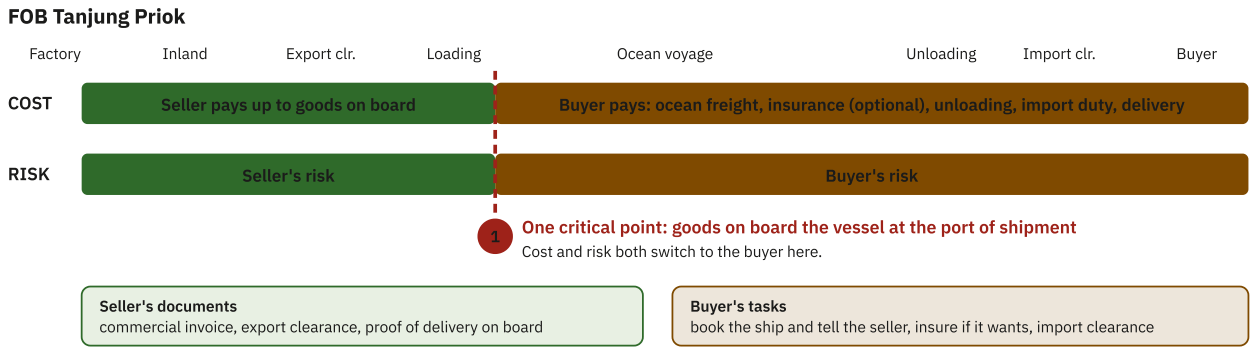


PEB = Indonesian export declaration (Pemberitahuan Ekspor Barang) · PIB = import declaration (Pemberitahuan Impor Barang)

CHAPTER 2 · FOB & CIF · INCOTERMS® 2020

FOB: Free On Board

Write it as **FOB [named port of shipment] Incoterms® 2020**, for example *FOB Tanjung Priok*. The named place is in the **seller's** country.



ABBREVIATIONS IN THIS FIGURE: **FOB** Free On Board

Seller Buyer Transfer point

THE LOGIC

FOB is the term for a buyer who wants to **control the voyage**: it chooses the shipping line, negotiates freight, and decides whether and how much to insure. The seller's job ends at its own port, which it knows well. That is why Week 1 says importers buying from foreign manufacturers who "sell FOB" must understand **ocean shipping, insurance and customs**: under FOB, those are the importer's jobs.

CHECK YOURSELF

Answer from memory, then check below.

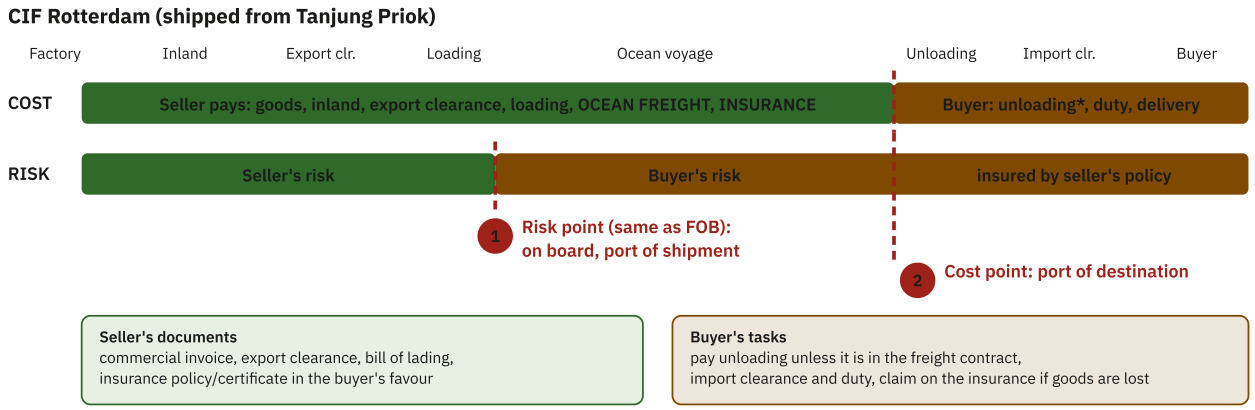
1. **Under FOB Tanjung Priok, the ship sinks mid-ocean. Who bears the loss?**
   - A. The seller, because it has not been paid yet
   - B. The buyer, because risk passed when the goods were loaded on board
   - C. The shipping line, always
   - D. Seller and buyer equally

Answers 1. B

CHAPTER 3 · FOB & CIF · INCOTERMS® 2020

CIF: Cost, Insurance and Freight

Write it as **CIF [named port of destination] Incoterms® 2020**, for example *CIF Rotterdam*. The named place is in the **buyer's** country, but the seller still delivers in its own country.



ABBREVIATIONS IN THIS FIGURE: **FOB** Free On Board · **CIF** Cost, Insurance and Freight

Seller Buyer Two critical points

* unloading is the seller's cost only if its freight contract includes it

THE CIF TRAP

CIF names the **destination** port, so students often think the seller is responsible until the goods arrive. It is not. CIF has **two** critical points: **risk** passes at loading in the seller's country (point 1), while **costs** run to the destination port (point 2). If the ship sinks mid-ocean, the loss is the buyer's. The buyer is protected only because the seller had to buy insurance **for the buyer's benefit**.

CIF insurance: the minimum the seller must buy

RULE	REQUIREMENT UNDER INCOTERMS® 2020	WHY
Level of cover	Minimum cover: **Institute Cargo Clauses (C)**, the narrowest standard cover (major casualties such as fire, sinking, collision)	The seller buys a policy it will never claim on, so it only has to buy the cheapest standard cover. The buyer can ask (and pay) for more, e.g. ICC (A) "all risks"

RULE	REQUIREMENT UNDER INCOTERMS® 2020	WHY
Amount	At least **110**% of the contract price	The extra 10% covers the buyer's expected profit and costs
Currency	Same currency as the contract	So the claim matches the price paid
Who can claim	The buyer (or anyone holding the goods' rights)	Because the risk is the buyer's from loading
Period	From the delivery point to at least the named destination port	Covers the whole stretch where the buyer bears risk but the seller paid the freight

CHECK YOURSELF

Answer from memory, then check below.

1. RECALL CIF minimum insurance

Answers 1. Institute Cargo Clauses (C), at least 110% of the contract price, in the contract currency, claimable by the buyer.

CHAPTER 4 · FOB & CIF · INCOTERMS® 2020

FOB and CIF side by side

TASK OR COST	FOB	CIF
Packing, inland transport to port	**Seller**	**Seller**
Export licences and export customs clearance	**Seller**	**Seller**
Loading on board	**Seller**	**Seller**
Choosing ship, contract of carriage	**Buyer**	**Seller**
Ocean freight	**Buyer**	**Seller**
Marine insurance	**Buyer (not obliged)**	**Seller (min. ICC C, 110%)**
Risk of loss during the voyage	**Buyer**	**Buyer**
Unloading at destination	**Buyer**	**Buyer, unless in seller's freight contract**
Import clearance, import duty and taxes	**Buyer**	**Buyer**
Named place in the term	Port of **shipment**	Port of **destination**
Critical points	One (cost = risk)	Two (risk at loading, cost at destination)

ONE SENTENCE TO REMEMBER

CIF = FOB + freight + insurance paid by the seller. Same delivery, same risk point, same customs split. The only difference is **who buys the voyage**.

CHECK YOURSELF

Answer from memory, then check below.

1. RECALL CIF: two critical points

Answers 1. Risk passes at loading in the seller's country; costs paid by the seller run to the destination port.

CHAPTER 5 · FOB & CIF · INCOTERMS® 2020

How the price is built: from FOB to CIF

A quotation is only comparable if you know which costs it includes. This is why Week 4 insists on a **cost sheet** before quoting. Worked through below.

Goods at factory (US$)	Inland transport + export clearance + loading (US$)	Ocean freight (US$)
10,000	**650**	**1,200**

Insurance premium rate (%)
0.3

Goods at factory (ex-works)	US$10,000
+ inland, export clearance, loading	US$650
= FOB price (seller's cost ends here)	**US$10,650**
+ ocean freight	US$1,200
+ insurance premium on 110% of CIF (US$13,078 insured)	US$39
= CIF price	**US$11,889**

Insurance is charged on 110% of the CIF price, which itself includes the premium, so CIF = (FOB + freight) ÷ (1 − 1.1 × rate).

A worked example. The online notebook lets you change these values.

Why this matters in Indonesia (context, not on the slides): Indonesian export values (PEB (Pemberitahuan Ekspor Barang, export declaration)) are recorded on an **FOB** basis, while import duty is calculated on the customs value at **CIF**. So the same shipment of US$10,650 FOB pays duty on about US$11,890 when imported. A 10% duty would be about US$1,189, not US$1,065.

CHAPTER 6 · FOB & CIF · INCOTERMS® 2020

Test the logic: four what-ifs

Crane drops the container while loading

If it falls **before** the goods are on board: **seller's** loss under both FOB and CIF. Delivery is not yet complete.

Ship sinks mid-ocean

Buyer's loss under both. Under FOB the buyer recovers only if it bought its own insurance. Under CIF it claims on the policy the seller bought.

Freight rates double after the contract

FOB: the **buyer** pays the higher rate. CIF: the **seller** absorbs it, because the CIF price was fixed including freight.

Seller cannot get an export permit

Seller's problem under both, because export clearance is the seller's task. This is why Week 7 advises buying FOB port of export or CIF rather than ex-factory.

CHECK YOURSELF

Answer from memory, then check below.

1. **After signing a CIF contract, ocean freight rates double. Who absorbs the increase?**
   - A. The buyer
   - B. The seller, because the CIF price already includes freight
   - C. The insurer
   - D. Customs

Answers 1. B

CHAPTER 7 · FOB & CIF · INCOTERMS® 2020

Exam traps and course links

SEA ONLY

FOB and CIF are for **sea and inland waterway** transport only. For containers handed to a carrier at a container terminal, or for air and road, Incoterms recommends **FCA (Free Carrier)** (instead of FOB) and **CIP (Carriage and Insurance Paid To)** (instead of CIF), because the seller loses control of the container before it is loaded on the ship. Under CIP the minimum insurance is the wider ICC (A).

"FOB PLANT" IN WEEK 7 IS NOT INCOTERMS FOB

Bade (deck 07, slide 19) lists "ex-factory, **FOB plant**, CIF, landed" and warns these abbreviations "can also be sources of confusion". "FOB plant" is an older American usage meaning delivery at the seller's factory, close to ex-works. Under Incoterms, FOB always names a **port**. Always write the full term: **FOB [port] Incoterms® 2020**.

WHAT INCOTERMS DO NOT COVER

Week 7 says every purchase must settle **title, risk of loss, price and payment**. Incoterms deal with delivery, risk and costs only. They do **not** transfer ownership (title) or set the payment method. Those must be written into the sales contract (Week 4).

Version note: the slides do not name an Incoterms edition. Bade (2015) was written under Incoterms 2010. FOB and CIF are the same in substance in 2010 and 2020, including CIF's ICC (C) minimum. The 2020 change raised the minimum insurance for **CIP** only.

CHECK YOURSELF

Answer from memory, then check below.

1. RECALL FOB/CIF vs FCA/CIP

Answers 1. FOB and CIF are for sea and inland waterway only. For containers, air or road use FCA instead of FOB and CIP instead of CIF (CIP minimum insurance ICC A).

APPENDIX · FOB & CIF · INCOTERMS® 2020

Abbreviations on this page

Each abbreviation written out in full. The full study-pack glossary is at the end of Export-Import Foundations and in the Glossary tab of Export-Import Practice.

PEB Pemberitahuan Ekspor Barang	Export goods declaration filed with Indonesian customs. The regulation calls it the customs export declaration (Pemberitahuan Pabean Ekspor); its registration date proves when an export happened.
PIB Pemberitahuan Impor Barang	Import goods declaration filed with Indonesian customs; import duty is assessed on it.
Incoterms International Commercial Terms	Standard trade terms published by the International Chamber of Commerce (ICC); current edition Incoterms 2020.
EXW Ex Works	Incoterm: seller makes goods available at its own premises; buyer does everything else, even export clearance. Bade's "ex-factory".
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CIP Carriage and Insurance Paid To	Incoterm: like CIF but for any transport mode; minimum insurance ICC (A).

ICC International Chamber of Commerce · Institute Cargo Clauses	Two meanings. (1) The International Chamber of Commerce publishes Incoterms. (2) ICC (A), (B), (C) are the Institute Cargo Clauses, standard marine cargo insurance covers: (A) is widest ("all risks"), (C) is narrowest.

Course sources: deck 01 slide 24 (foreign manufacturers sell FOB), deck 07 slides 19–21 (ex-factory, FOB plant, CIF, landed; buy FOB port of export, CIF or landed). Rules: ICC Incoterms® 2020. Part of the ENPR6304032 study pack, alongside this notebook's walkthrough and practice tabs.

The Paper Trail

The laws behind every export and import, and how the paperwork flows: a narrated explainer for Weeks 1 to 7 (10:32), with captions in the picture. The narration is a synthetic voice..



Watch or download it from the Watch tab of the online notebook.

ENPR6304032 · COURSEWORK

Assignments

The written assignments submitted for this course, set out as chapters. Each one is linked from the walkthrough chapter it draws on.

CHAPTER 1 · ASSIGNMENT · EXPORT LAW AND THE GATT

Permendag No. 11 of 2024 and the GATT ban on quantitative export restrictions

THE QUESTIONS

1. *What is discussed in the Decree of the Minister of Trade No. 11 of 2024 concerning Export Policies and Regulations? Provide a case example.*
2. *Discuss how the provisions of the Minister of Trade Decree No. 11 of 2024 concerning Export Policies and Regulations are viewed from the perspective of the General Agreement on Tariffs and Trade (GATT-WTO), particularly the article prohibiting quantitative export restrictions. Provide an example.*

Answer

When national rice stocks dwindled due to adverse weather conditions, the Indonesian government temporarily suspended the issuance of Export Approvals (PE) for organic rice to partner countries. Although importing nations argued that this violated Article XI:1 of the GATT, Indonesia could legally justify the policy under WTO rules, specifically Article XI:2(a) of the GATT, as a measure to secure domestic food supplies.

- **Ministry of Trade Regulation provisions:** rice exports (encompassing general rice, organic rice, and specialty varieties such as Basmati or Hom Mali) must align with the national commodity balance and meet established criteria regarding broken grain content.
- **GATT-WTO perspective:** restrictions or suspensions of rice export quotas could potentially be deemed a violation of Article XI:1 of the GATT (quantitative restrictions). However, Indonesia can justify such measures under Article XI:2(a) of the GATT, which provides an exception for preventing or alleviating critical shortages of essential foodstuffs in the interest of national food security.

CHAPTER 2 · ASSIGNMENT · EXPORT DOCUMENTS (STUDY CASE)

Bridging the e-SKA and the Dangerous Goods Declaration so a shipment avoids the Red Channel

THE CASE QUESTION

How can exporters bridge the naming difference between the Ministry of Trade's e-SKA (based on HS Code) and the DGD (based on transport safety rules) so it does not trigger a Red Channel at Customs, and what solution do Indonesian regulations support?

1. The problem

- **e-SKA:** a trade document proving Indonesian origin for tariff preferences. Goods must be described according to the invoice and HS Code.
- **DGD:** a transport safety document. Goods must be described by Proper Shipping Name (PSN) and UN Number.
- **Conflict:** the same product has two official names, for example "Solvent-based wall paint, HS 3208" on the e-SKA and "PAINT, UN1263, Class 3" on the DGD. When data is synchronized in INSW, this looks like a mismatch and the documents are held.

2. Legal basis

- **Certificate of Origin rules:** Minister of Trade Regulation No. 24 of 2018, as last amended by No. 39 of 2020, governs SKA issuance. Goods descriptions follow the invoice and HS Code. *Note:* Permendag No. 24 of 2021 regulates distributor and agent agreements, not e-SKA or HS Codes.
- **Law No. 17 of 2008 on Shipping, Articles 44 to 48:** dangerous goods must be transported according to regulations, classified by class (e.g. Class 3 flammable liquids), packed and labelled according to the IMDG Code, and reported to the Harbor Master.
- **Minister of Transportation Regulation PM 90 of 2013 (air):** packages must be marked with the PSN and UN Number (point 6.3), and the shipper's declaration must be signed by licensed personnel and written in English and Indonesian (points 7.1 and 7.2).

UPDATE SINCE SUBMISSION

The course study pack (Part J of the walkthrough) records two later changes to the rules cited above:

- Permendag 24/2018 is still the base rule for issuing the SKA, but it was amended again after 39/2020: Permendag 34/2023 is its fourth amendment. See The Certificate of Origin: Permendag 24/2018 and 39/2020.
- PM 90/2013 was revoked and replaced by PM 32/2022 on 12 October 2022. The shipper's duties continue under the new number. See UU 17/2008 on Shipping and PM 90/2013 on air cargo.

Both naming standards are legally required, so neither can be replaced by the other.

3. Recommended solution

1. **Keep both names.** The e-SKA uses the trade description and HS Code. The DGD uses the PSN and UN Number.
2. **Use the invoice and packing list as the bridge.** Write both identities in one line, e.g. "Solvent-based wall paint, HS 3208.20, PAINT, UN1263, Class 3, PG II".
3. Keep the HS Code consistent across the invoice, export declaration (PEB), and e-SKA, along with matching quantities and weights.
4. **Cross-reference documents** by listing the same invoice and B/L or AWB numbers on the DGD.
5. Attach the **Safety Data Sheet (SDS)** showing both the trade name and the PSN/UN Number.

4. Supporting case: risk of non-compliance

The Saintara article (Fakhrurrozi & Widodo, 2022) shows how strictly dangerous goods documentation is enforced.

- **Permit procedure:** the shipping agent applies to the Head of KSOP with a B/L copy, origin-of-goods letter, manifest, stowage plan, and crew list. The LALA section checks and approves it, and KPLP officers supervise the operation. Each permit covers one activity.
- **Law:** Article 216(1) of Law 17/2008 requires Harbor Master approval for handling dangerous goods. Under Article 322, a ship's captain who violates this faces up to 6 months in prison or a fine of up to Rp100 million.
- **Court ruling No. 159/Pid.Sus/2020/PN Tgg:** the captain was fined Rp10,000,000 (or 3 months' confinement if unpaid) plus Rp2,000 in court costs.

Errors in dangerous goods documents can lead to held shipments and legal sanctions, so each document must be correct for its own purpose.

Conclusion

The best solution is not to force the e-SKA and DGD to use the same product name. The e-SKA keeps the trade description and HS Code under the Ministry of Trade's origin rules, while the DGD keeps the PSN and UN Number under Law No. 17 of 2008 and PM 90 of 2013. The two are linked through an invoice and packing list showing both identities, consistent HS Codes, cross-referenced document numbers, and an SDS.

This shows Customs that the difference comes from each document's function, not from any inconsistency in the goods, which reduces the risk of document holds and further inspection as long as all information is accurate and verifiable.

CHAPTER 3 · ASSIGNMENT · EXPORT CONTROLS (CASE STUDY)

The extraterritorial reach of the U.S. Export Administration Regulations (EAR) and its implications for Indonesia

> QUESTION 1
> *The EAR is a domestic law of the United States, but it can apply extraterritorially. Explain what is meant by extraterritorial and why the EAR can reach Indonesian jurisdiction.*

The Export Administration Regulations (EAR) are U.S. regulations issued and administered by the Bureau of Industry and Security (BIS) of the U.S. Department of Commerce. Their legal basis is the Export Control Reform Act of 2018 (ECRA), and they are codified in Title 15 of the Code of Federal Regulations, Parts 730 to 774 (Export Administration Regulations, 2026; Export Control Reform Act of 2018, 2018). The EAR control the export, re-export, and in-country transfer of commercial and dual-use goods, software, and technology.

1.1 Meaning of "extraterritorial"

A law is extraterritorial when a country applies it to persons, property, or activities located outside its own national territory. Normally, U.S. domestic law applies only within the United States. The EAR are different because they also apply to certain transactions that take place entirely in other countries, as long as the item involved is "subject to the EAR."

1.2 Why the EAR can reach Indonesia

The key principle is that the EAR follow the item, not the nationality or location of the company. According to the course material, the first step in any export analysis is to determine whether an item is "subject to" the EAR, and that scope is very broad (Bade, 2015; Karim, 2025). Under 15 C.F.R. § 734.3, items subject to the EAR include:

- Items located in the United States, including items in U.S. foreign trade zones or moving in transit through the United States.
- **U.S.-origin items wherever located.** A U.S.-made server or machine remains subject to the EAR after it arrives in Indonesia, so selling it on to a third country is a "re-export" that may require authorization.
- **Foreign-made items with U.S. content above the de minimis level.** A product made in Indonesia becomes subject to the EAR if its controlled U.S.-origin content

exceeds the permitted threshold. The threshold is 25 percent for most countries, including Indonesia, and 10 percent for embargoed destinations (Karim, 2025).

- **Foreign-produced direct products of certain U.S. technology or software.** Some items made outside the United States are covered because they were produced with specified U.S. technology, software, or equipment (Export Administration Regulations, 2026, § 734.9).

The Ten General Prohibitions confirm this reach. They prohibit, among other things, re-exporting controlled items without a license, re-exporting foreign-made items that contain more than de minimis controlled U.S. content, dealing with parties under a denial order, and exporting to prohibited end users or end uses (Karim, 2025; Export Administration Regulations, 2026, § 736.2). These prohibitions apply to "any person," including an Indonesian company.

1.3 How the EAR are enforced against parties in Indonesia

The EAR do not give U.S. authorities the power to act inside Indonesian territory, and Indonesian courts do not enforce U.S. export regulations. The reach of the EAR is therefore practical rather than territorial. It works through three channels:

1. **Access to U.S.-origin items.** BIS can add a foreign company to the Entity List or issue a denial order. Every other party in the world is then prohibited from supplying that company with items subject to the EAR, which can cut it off from U.S. technology (BIS, n.d.-b).
2. **Penalties linked to U.S. exposure.** Fines and other sanctions can be enforced when a company has U.S. assets, U.S. business partners, or uses the U.S. financial system.
3. **Contracts.** U.S. suppliers usually require Indonesian buyers to sign end-user statements and re-export clauses, so EAR obligations become contractual obligations that are enforceable under Indonesian contract law.

1.4 Example involving Indonesia

An Indonesian company buys specialized equipment manufactured in the United States. Later, it wants to resell the equipment to a buyer in another country. Even though the equipment is physically in Indonesia, the resale is a re-export under the EAR. Whether a license is needed depends on the item's Export Control Classification Number (ECCN), the destination, the end user, the end use, and whether a license exception applies.

1.5 Relationship with Indonesian law

The EAR do not replace or override Indonesian law. The two systems apply side by side. Indonesian exports are governed by Law No. 7 of 2014 on Trade and by Minister of Trade Regulation No. 23 of 2023 on Export Policy and Regulation, as amended by Regulation No. 11 of 2024. These rules require registered exporter status (Eksportir Terdaftar), export approval (Persetujuan Ekspor), and surveyor reports (Laporan Surveyor) for specific goods such as non-pharmaceutical precursors, mining products, and coal (Kementerian Perdagangan Republik Indonesia [Kemendag], 2024). A single shipment can therefore be subject to Indonesian export requirements and, if the item is subject to the EAR, to U.S. requirements at the same time.

Conclusion

The EAR are extraterritorial because their application is determined by the item, not by where the item is located. The rules follow U.S.-origin goods overseas and also cover certain foreign-made products that contain controlled U.S. content or were made with U.S. technology. The United States cannot enforce the EAR inside Indonesia directly, but it can effectively enforce them through access to U.S. technology, penalties, and supplier contracts. Indonesian companies that handle such items must therefore comply with U.S. export controls in addition to Indonesian law.

> QUESTION 2
> *What is the real impact for Indonesia in the IT, manufacturing and electronics sectors, and in the commodity and logistics sectors?*

The real impact of the EAR is that Indonesian businesses may face U.S. export control requirements even though they operate outside the United States. This happens when a product contains controlled U.S.-origin components, uses certain U.S. technology, or is intended for a restricted destination, end user, or end use. The EAR are not a ban on Indonesian exports, and many products traded by Indonesian companies are not subject to the EAR at all.

2.1 IT, manufacturing, and electronics

Main impact: technology access, production costs, and market access.

- **IT and data centers.** Advanced computing chips, high-performance servers, and some networking equipment and encryption software are controlled under the EAR. In January 2025, BIS issued the AI Diffusion Rule, which would have placed

limits on how many advanced AI chips could be shipped to most countries, including Indonesia. BIS rescinded that rule in May 2025, but it issued guidance at the same time. That guidance warns that using certain Chinese-made advanced chips anywhere in the world may violate the EAR and lists red flags for chips being diverted to restricted users (Bureau of Industry and Security [BIS], 2025). In practice, Indonesian data center and cloud operators face closer due diligence from U.S. chip suppliers and must provide end-use and end-user information.

- **Manufacturing.** Indonesian factories using U.S.-origin machinery, industrial software, or technical data must check the EAR before they transfer, resell, or send that equipment abroad. Servicing and replacement parts may be covered by License Exception RPL, but only if its conditions are met (Karim, 2025).
- **Electronics.** Companies assembling computers, circuit boards, or other electronic products must check whether the de minimis rule or a foreign direct product rule brings their finished products under the EAR. If it does, exports to certain destinations or customers may need a U.S. license.
- **Business consequences.** Classification, screening, and licensing take time and money. This raises administrative costs and can delay equipment purchases, production upgrades, and shipments.

Example: an Indonesian electronics manufacturer imports a controlled U.S. component and builds it into a product for export. Before shipping, the company must check the component's ECCN, calculate the U.S. content against the de minimis threshold, and screen the destination and end user.

2.2 Commodity sector

Main impact: mostly indirect, through equipment, software, and company ownership.

Indonesia's main commodities, such as nickel products, coal, copper, and palm oil, are Indonesian-origin goods with no U.S. content, so they are generally not subject to the EAR. For these goods, the more important export controls are Indonesian. For example, Regulation No. 11 of 2024 allowed copper, iron, lead, and zinc concentrates to be exported only until 31 December 2024. After that date, these concentrates may be exported only for research and development, re-export, or certain industrial purposes (Kemendag, 2024, Art. 49). The same regulation lists nickel ore and its concentrates among mining goods that may be exported only for those limited purposes (Kemendag, 2024, Lampiran I, Section XVI).

The EAR still affect the commodity sector in the following ways:

- **Mining and smelting equipment.** Specialized U.S.-origin processing equipment, sensors, and industrial control software remain subject to the EAR after they arrive in Indonesia.
- **Company ownership.** Chinese companies control roughly three quarters of Indonesia's nickel smelting capacity (Nangoy, 2025). In September 2025, BIS issued the "Affiliates Rule," which extends Entity List restrictions to any company that is 50 percent or more owned by a listed party. The rule was suspended for one year as part of a U.S.-China trade arrangement, and the suspension runs until 9 November 2026 unless BIS extends it (Egan et al., 2025). If the rule comes back into force, an Indonesian smelter that is majority-owned by a listed Chinese parent could lose access to U.S.-origin equipment, software, and spare parts.
- **Investment and operating costs.** Additional compliance checks can delay the purchase of specialized machinery or the expansion of processing plants.

Example: an Indonesian mineral processing company buys U.S.-origin equipment. It must check the EAR if it later moves that equipment to another country or sells it to a different user. The nickel or copper product it produces is not controlled by the EAR just because U.S. equipment was used.

2.3 Logistics, shipping, and supply chains

Main impact: more compliance checks, possible shipment delays, and greater documentation responsibility.

- **Freight forwarders and exporters.** They must establish whether goods are subject to the EAR and whether a license is needed. When "NLR" (no license required) is declared in export documentation, the declaration is made under penalty of perjury, and a wrong determination can be penalized (Karim, 2025).
- **Re-exports and transshipment.** Shipping an EAR-controlled item from Indonesia to another country is a re-export. General Prohibition 8 also restricts moving controlled items through or unloading them in certain countries (Karim, 2025).
- **Changes in destination or buyer.** Changing the buyer, destination, or end user while goods are in a warehouse can change whether the transaction is permitted.
- **Knowledge of violations.** General Prohibition 10 prohibits proceeding with a transaction when a party knows a violation has occurred or is about to occur, so a forwarder that ignores obvious red flags can also be liable (Export Administration Regulations, 2026, § 736.2).

- **Supply chain transparency.** Businesses need clearer records of product origin, U.S. content, classification, destination, and end user.

2.4 Summary of the real impact

Table 1. Impact of the EAR on Indonesian sectors

SECTOR	MAIN IMPACT OF THE EAR	POSSIBLE BUSINESS CONSEQUENCE
IT and data centers	Controls on advanced computing chips, servers, and certain software and technology, plus BIS guidance on diversion and prohibited end users	Stricter supplier due diligence, end-use certificates, and possible delays in acquiring or transferring technology
Manufacturing	Rules on servicing, transferring, or re-exporting U.S.-origin machinery and technical data	Higher compliance costs and possible production delays
Electronics	De minimis and foreign direct product rules for products with U.S. content or U.S. technology	Extra checks before exporting finished products, especially to restricted destinations or end users
Commodities	Mostly indirect: U.S.-origin equipment and software, and restrictions linked to the ownership of a company	Possible loss of access to U.S.-origin equipment or software for certain companies or projects
Logistics	Re-export, transit, and party screening obligations	Shipment delays, documentation costs, and liability for forwarders who ignore red flags

Note. Compiled by the authors from the analysis in Sections 2.1 to 2.3.

Conclusion

The EAR do not impose a blanket restriction on Indonesian exports. They create compliance obligations for specific goods, technologies, and transactions that have a link to U.S. export controls. The IT, manufacturing, and electronics sectors feel the impact directly through components and technology. The commodity sector is affected mainly indirectly, through U.S.-origin equipment and, potentially, through the ownership of companies. The logistics sector faces more screening and documentation duties. The practical challenge for Indonesia is to keep its access to international technology and markets while complying with both U.S. export controls and Indonesian law.

QUESTION 3

Is there a risk of violations if Indonesia ignores the EAR?

Yes. The Indonesian state itself is not bound by U.S. regulations and cannot "violate" the EAR, but Indonesian companies and individuals can. The risk arises when they export, re-export, or transfer items that are subject to the EAR without the required authorization, or when they deal with restricted parties. The risk does not apply to every Indonesian company, only to those whose goods, software, technology, or business partners have a link to U.S. export controls.

3.1 Potential consequences

1. **Civil penalties.** BIS can impose fines of up to USD 374,474 per violation or twice the value of the transaction, whichever is greater. This amount applied from 15 January 2025 and is adjusted every year for inflation (BIS, n.d.-b).
2. **Criminal penalties.** Willful violations can lead to fines of up to USD 1 million per violation, imprisonment of up to 20 years, or both (BIS, n.d.-b; Export Control Reform Act of 2018, 2018).
3. **Loss of export privileges.** BIS can issue a denial order, or a Temporary Denial Order lasting up to 180 days, and can add a company to the Entity List. Under General Prohibition 4, other companies anywhere in the world are then prohibited from dealing with that company in transactions involving EAR items (BIS, n.d.-b; Karim, 2025).
4. **Supply chain disruption.** Shipments of controlled goods can be delayed or stopped if authorization is missing, and suppliers may stop selling to a company they consider high risk.
5. **Reputational and national risk.** Companies can lose partners and access to U.S. technology. If Indonesia is seen as a route for diverting controlled items, the United States may apply stricter licensing to all Indonesian buyers.

3.2 Example involving Indonesia

An Indonesian electronics distributor imports controlled U.S.-origin components and re-exports them to a buyer in a third country that is on the Entity List, without a license. Even though the transaction happens outside the United States, the distributor could face BIS enforcement, civil fines, and placement on the Entity List. The forwarder that handled the shipment could also be liable if it ignored clear warning signs.

Conclusion

Ignoring the EAR creates legal, financial, and operational risks for Indonesian businesses, and these risks can also harm Indonesia's reputation as a trading partner. The practical solution is to determine whether a transaction is subject to the EAR, check whether a license or license exception is needed, and comply with both U.S. export controls and Indonesian law.

> QUESTION 4
> *What mitigations does Indonesia need to take to be compliant with the EAR?*

Mitigation is needed at two levels: the government, which sets the national framework, and companies, which carry out individual transactions.

4.1 Government level

1. **Complete a national strategic trade management framework.** At the Southeast Asia Forum on Export Controls (SEAFEC) in Jakarta in September 2026, the Minister of Trade stated that Indonesia is building a risk-based strategic trade management system based on UN Security Council Resolution 1540, to be implemented in phases (Kemendag, 2026). Finishing this framework, including a clear list of controlled dual-use goods, would give exporters legal certainty and increase trading partners' confidence in Indonesian products.
2. **Build on existing legal tools.** Law No. 7 of 2014 on Trade allows the government to prohibit exports to protect national security (Undang-Undang Nomor 7 Tahun 2014, 2014, Art. 50). The current export regulation already controls sensitive goods through registered exporter status, export approval, and surveyor reports. For example, non-pharmaceutical precursors require a recommendation from the Ministry of Industry (Kemendag, 2024, Lampiran I, Section XI). The same mechanism could be extended to strategic goods.
3. **Strengthen customs and transshipment monitoring.** Customs authorities can add risk profiles for dual-use items to their systems so that suspicious re-exports and transshipments are detected early.
4. **Provide guidance and training.** The government and industry associations should offer guidance in Bahasa Indonesia, training, and help desks, especially for micro, small, and medium enterprises that rely on U.S. technology.
5. **Maintain dialogue with the United States.** Regular government-to-government communication helps Indonesia anticipate rule changes, such as the possible return

of the Affiliates Rule in November 2026, and lowers the risk of Indonesia being treated as a diversion route.

4.2 Company level

BIS identifies eight elements of an effective export compliance program: management commitment, risk assessment, export authorization, recordkeeping, training, audits, handling of violations and corrective actions, and building and maintaining the program (BIS, n.d.-a). Indonesian companies can apply them as follows:

1. **Establish an export compliance program.** Management should assign clear responsibilities, provide resources, and conduct a risk assessment at least once a year (BIS, n.d.-a).
2. **Determine jurisdiction and classification.** Following the steps in the course material, companies should first check whether another U.S. agency controls the item and whether it is subject to the EAR, then identify its ECCN on the Commerce Control List and check the Country Chart. If they are unsure, they can request an advisory opinion from BIS, which is normally given within 30 days (Bade, 2015; Karim, 2025).
3. **Screen destinations, end users, and end uses.** Customers and other parties should be checked against U.S. restricted party lists, such as the Entity List and the Denied Persons List, and the final destination and intended use should be verified.
4. **Use license exceptions correctly or apply for a license.** If a license is required, companies should first check whether a license exception such as LVS, GBS, CIV, TMP, RPL, GOV, GFT, TSU, or BAG applies, keep documents that prove the exception is valid, and otherwise apply to BIS for a license (Karim, 2025). They should not assume that every U.S.-origin product needs a license, or that every product made outside the United States is exempt.
5. **Train employees and keep records.** Purchasing staff, engineers, sales teams, and freight forwarders should receive regular training. Records of classifications, screening results, licensing decisions, and shipping documents must generally be kept for five years (Export Administration Regulations, 2026, Part 762).
6. **Include export control clauses in contracts.** Contracts with suppliers and customers should include end-use statements and re-export restrictions so that obligations pass along the supply chain.
7. **Audit regularly and correct violations.** Companies should review their procedures periodically, investigate possible violations, take corrective action, and consider

voluntary self-disclosure to BIS, which can reduce penalties (BIS, n.d.-a; Export Administration Regulations, 2026, § 764.5).

Conclusion

Indonesia can reduce EAR-related risks if the government completes its strategic trade management framework and supports businesses, while companies build compliance programs that cover classification, screening, licensing, training, recordkeeping, and audits. These measures help Indonesian companies keep their access to international technology, avoid penalties and shipment delays, and protect their global supply chain relationships. Compliance with the EAR does not replace compliance with Indonesian law, so companies must meet their obligations under both systems.

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CHAPTER 4 · ASSIGNMENT · IMPORT LABELLING AND PAYMENT

Why import labels are applied at the factory, and why the letter of credit suits document-based trade

QUESTION 1

Why must import labelling regulations be fulfilled at the factory?

Import labeling regulations include requirements such as local-language text, ingredient lists, safety warnings, and energy efficiency ratings. These requirements must be fulfilled at the factory in the country of origin for the following reasons:

- **Compliance is checked at the point of entry.** Many countries require goods to be correctly labeled at the moment they enter the country. In Indonesia, for example, Ministry of Trade regulations require imported goods to already carry an Indonesian-language label when they enter the Indonesian customs area. Since the legal checkpoint is the border, the label must be applied before the goods are shipped.
- **Consumer protection.** Labels allow consumers to read safety instructions, warnings, and usage guidelines in their own language. Labeling at the factory ensures that every unit is compliant before it reaches the market.
- **Cost and efficiency.** Applying labels on the production line is much cheaper and faster than unpacking, relabeling, and repacking goods after they arrive.
- **Quality control and verification.** Labels applied under controlled factory conditions are more accurate and consistent. They can also be checked by a third-party inspector before shipment, giving the importer proof that the goods are compliant.
- **Avoiding rejection at customs.** Shipments with missing or incorrect labels can be refused entry, held, re-exported, or destroyed, which creates heavy losses for the importer.

Why labels are generally not applied at the port of destination

Ports are designed for cargo handling, inspection, and customs clearance. They are not packaging or manufacturing facilities. Relabeling at the port is generally not allowed as a way to fix non-compliant goods because of:

- **Port congestion.** Large-scale unpacking and relabeling would slow down port operations and delay other cargo. It would also cost the importer storage and

demurrage charges while the goods wait.

- **Risk of tampering and evasion.** If importers could bring in unlabeled goods and "fix" them later, it would create a loophole for smuggling, counterfeit products, and avoiding technical standards.

Some countries do allow limited relabeling in bonded warehouses or free trade zones under customs supervision. However, this is an exception and should not be relied on as a normal business practice.

> QUESTION 2
> *Why is the Letter of Credit (L/C) well-aligned with document handling?*

International trade is largely document-based, and the Letter of Credit fits this system well. Under UCP 600 (Article 5), the international rules for L/Cs, banks deal only with documents and not with the actual goods. The L/C supports document handling in the following ways:

- **Payment depends on correct documents.** The issuing bank promises to pay the seller only when the seller presents the documents required in the L/C. These usually include the commercial invoice, bill of lading, packing list, and certificate of origin.
- **Strict compliance.** The documents must match the terms of the L/C exactly. If there is a discrepancy, the bank can refuse payment. This pushes the seller to prepare accurate documents.
- **Control over the goods.** The bill of lading is a document of title. Whoever holds it can claim the goods, so the buyer only gains control of the goods after the bank has checked the documents.
- **Protection against non-compliance.** The importer can require extra documents in the L/C, such as an inspection certificate or labeling compliance certificate from an independent surveyor. This links back to Question 1. If the seller cannot prove that labeling was done correctly at the factory, the bank will not release payment.
- **Reducing the need for trust.** The buyer and seller may not know or trust each other. The L/C solves this by replacing the buyer's credit with the bank's credit. The seller is assured of payment, and the buyer is protected from paying for goods that were not shipped as agreed.

Limitation: because banks only check documents, an L/C cannot guarantee that the goods themselves are compliant. It only confirms that the documents say so. This is

why requiring a certificate from an independent inspector is important. L/Cs are also more expensive and slower than other payment methods, so they are most useful in new trade relationships or high-risk shipments.

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UPDATE SINCE SUBMISSION

The course study pack lists Permendag 22/2010 and 67/2013 as no longer in force. The labelling rules run 62/2009 → 22/2010 → 67/2013 → 73/2015 → 25/2021, and only Permendag 25/2021 is current. See Indonesian labels: from 22/2010 to 25/2021.

Concept quiz

Pick an answer for each question, then check yourself against the answers and explanations that follow.

1. **Why does the lecture describe a compliance-oriented export/import program as "therefore, profitable"?**
   - A. Compliant firms pay lower income tax
   - B. Avoiding fines, delays and seizures keeps operations smooth and efficient, which protects profit
   - C. The government subsidizes compliant exporters
   - D. Compliance staff also generate sales leads

2. **In a small company, how are export and import functions usually handled?**
   - A. By a separate export department and import department
   - B. Always by an outside customs broker
   - C. By one person who performs all the relevant functions
   - D. By the CEO personally

3. **Besides higher volume, what else makes the export/import department expand?**
   - A. Bringing in-house work that used to be contracted to brokers, forwarders, consultants or packers
   - B. Moving the head office
   - C. Hiring a new CEO
   - D. Switching from sea freight to air freight

4. **In the 7-step import cycle, which step comes directly after "payment terms and negotiation"?**
   - A. Product selection
   - B. Hiring a customs agent
   - C. Issuing the purchase order as per the deal
   - D. Product distribution

5. **Why is payment and negotiation called the most important step in the import cycle?**
   - A. It is the step where goods are cleared through customs
   - B. It sets the final deal: price for the quality, import duties, and how risk is shared
   - C. It is the only step that needs a lawyer
   - D. It decides which retailer will sell the product

6. **What does the customs house agent (CHA) do for an importer in the slides' example?**
   A. Designs the product
   B. Receives the documents, pays import duty on the importer's behalf, clears the goods and arranges delivery to the warehouse
   C. Finds overseas buyers
   D. Issues the letter of credit

7. **According to the slides, in many companies the export department starts in which function?**
   A. Legal
   B. Finance
   C. Sales or marketing
   D. Manufacturing

8. **In the textbook export organization chart, the Export Manager sits under which department?**
   A. Marketing
   B. Legal
   C. Purchasing
   D. Personnel

9. **At the quotation stage, which department supplies payment terms, credit checks, credit closing and bid bonds?**
   A. Engineering
   B. Marketing
   C. Finance
   D. Manufacturing

10. **At order entry, the export department verifies the customer's purchase order by matching it to:**
    A. The bill of lading
    B. The quotation
    C. The commercial invoice
    D. The insurance certificate

11. In the shipment flow, what does Finance check before goods are sent?

A. That the customer's letter of credit has been opened
B. That the factory has finished production
C. That the translator is available
D. That marketing has booked the order

12. In the collection flow, "dunning" means:

A. Sending statements and payment reminders to customers who have not yet paid
B. Paying the freight forwarder
C. Auditing the export department
D. Shipping replacement goods

13. According to the slides, when does import compliance begin?

A. When the goods arrive at the port
B. When the customs broker is hired
C. At the product design stage
D. When the importer receives the invoice

14. An importer intentionally fails to produce records requested by U.S. Customs. The goods' appraised value is US$200,000. What is the maximum fine?

A. US$150,000
B. US$100,000
C. US$80,000
D. US$10,000

15. An importer negligently fails to produce records. The appraised value is US$20,000. What is the maximum fine?

A. US$10,000
B. US$15,000
C. US$8,000
D. US$20,000

16. In the U.S. system described in the textbook, international sales contracts and distributor agreements are governed mainly by:

A. Federal law
B. State law
C. WTO rules only
D. The importing country's law only

17. What is the legal definition of export used in the lecture?

A. Selling goods to a foreign buyer
B. Receiving payment in foreign currency
C. Releasing goods from the customs area
D. Loading goods on a ship

18. Which reason is given for PROHIBITING the export of certain goods?

A. To meet domestic needs
B. To increase added value
C. Items of cultural value
D. To open market access

19. In the Lampiran of Permendag 11/2024, what does a PE (Persetujuan Ekspor) control?

A. Whether the company is a registered exporter
B. The permitted quantity, HS code, port and destination, based on the commodity balance
C. A surveyor's physical inspection of the cargo
D. The sanitary condition of food products

20. Under amended Article 49 of Permendag 23/2023, from 1 January 2025 copper concentrate (≥15% Cu) may be exported only:

A. Freely, without any permit
B. For research and development, re-export, or industrial products whose main raw material is imported and/or metal scrap
C. To ASEAN countries
D. With an ET only

21. According to Bade, why must an exporter first ask whether its product is a component, spare part, raw material or finished good?

A. Because only finished goods can be exported
B. Because the answers decide manufacturing and marketing methods, documents, export procedures and treatment under foreign customs law
C. Because the answers determine the exporter's income tax
D. Because freight forwarders refuse unclassified goods

22. Why does exporting a USED product create a special problem?

A. Used goods always need a letter of credit
B. Some countries prohibit used imports or require independent appraisals of value, which can delay the sale
C. Used goods cannot be insured
D. Used goods must be shipped by air

23. A company expects a large, ongoing flow of exports. Which arrangement does Bade say it may need?

A. Only a purchase order and acceptance
B. A formal international sales agreement, more secure payment, special shipping/packing, agents or distributors, after-sales service
C. No documentation, because volume is high
D. Only a pro forma invoice

24. Which is NOT one of the four factors of export competitiveness on the slides?

A. Production factors (HR, capital, technology)
B. Product quality
C. Logistics infrastructure
D. The exporter's brand logo

25. In U.S. export controls, "end-user controls" answer which question?

A. What is being exported?
B. Who is it exported to?
C. Why does the customer want it?
D. Where is it going?

26. A small bakery orders sophisticated computers. Under Know Your Customer, this is a red flag because:

A. Bakeries cannot pay by L/C
B. The product's capabilities do not fit the buyer's line of business
C. Computers are always prohibited exports
D. The order is too small

27. Which item is listed as a red flag on the slides?

A. The buyer requests installation and training
B. A freight forwarding firm is listed as the product's final destination
C. The buyer asks for a written contract
D. The buyer pays through a letter of credit

28. In an export control review, what is the FIRST element?

A. Licence determination
B. Restricted party screening
C. Document marking
D. Contractual clauses

29. Under the U.S. Uniform Commercial Code, a sale above what amount is enforceable by the seller only if it is in writing?

A. US$100
B. US$500
C. US$5,000
D. US$10,000

30. A seller accepts a buyer's email order. What must the acceptance do to protect the seller?

A. Repeat the price only
B. Expressly state that the seller's standard terms and conditions apply, and attach them
C. Be sent by post as well
D. Be signed by a notary

31. A buyer sends a PO and the seller immediately ships without replying. What is the legal effect?

A. No contract exists
B. A contract is formed by conduct, and the acceptance includes all the terms of the buyer's offer (PO)
C. The seller's standard terms automatically apply
D. The contract is void because it was not signed

32. Why should a price list state that it is NOT an offer to sell?

A. To avoid tax
B. To prevent the buyer from accepting it and creating an unexpected binding agreement
C. Because price lists are illegal offers
D. To allow the price to be in foreign currency

33. What is the purpose of a cost sheet when preparing a quotation?

A. To calculate the buyer's import duty
B. To capture all extra export and shipping costs so the quote does not lead to a sale with too little or no profit
C. To list the buyer's terms and conditions
D. To replace the commercial invoice

34. What best distinguishes a distributor from a sales agent?

A. The agent buys the goods; the distributor does not
B. The distributor buys, takes ownership and bears the risk of resale; the agent only solicits orders
C. Both take ownership
D. Only agents can be located abroad

35. Under antitrust law in most countries, a seller may NOT:

A. Limit the distributor's territory
B. Limit the distributor's customers
C. Require the distributor to resell at a specific price
D. Sign a written distributor agreement

36. Under the FCPA, when does a U.S. exporter violate the law because of its agent's payment to a foreign official?

A. Never, the agent alone is liable
B. When the exporter knew (or should have realized from unusual circumstances) the agent was doing it
C. Only if the payment exceeds US$500
D. Only if the official is in an embargoed country

37. An exporter's freight forwarder makes an error on an export document. Who is legally responsible?

A. Only the forwarder
B. The exporter
C. The carrier
D. The buyer

38. Who typically certifies a certificate of origin signed by the exporter?

A. The freight forwarder
B. The local chamber of commerce
C. The importing country's customs
D. The carrier

39. Besides customs entry, why might a certificate of origin be required?

A. To claim preferential tariffs under a trade agreement such as NAFTA
B. To calculate freight
C. To prove insurance cover
D. To register the exporter

40. Which rules require a shipper's declaration for dangerous goods?

A. UCC and FCPA
B. U.S. Hazardous Materials Transportation Act, IATA Dangerous Goods Regulations, IMDG Code
C. EAR and ITAR
D. GSP and AGOA

41. Exporters of precursor and essential chemicals in the U.S. must file:

A. PPQ Form 577
B. DEA Form 486, in some cases 15 days before export
C. FSIS Form 9060-6
D. A shipper's export declaration only

42. The Federal Phytosanitary Certificate (PPQ 577) certifies that:

A. Meat is fit for consumption
B. Live plants are free from plant pests
C. Animals are free of communicable diseases
D. Goods originate in the U.S.

43. What is the FIRST question in deciding whether an export licence is required under the EAR?

A. Is there a licence exception?
B. Is the item subject to the EAR?
C. Is the buyer a government?
D. Is the shipment low value?

44. For a foreign-made product going to an EMBARGOED country, the de minimis limit for U.S.-origin content is:

A. 10%
B. 25%
C. 50%
D. 0%

45. A foreign-made product worth US$40,000 contains US$8,000 of controlled U.S. content and is going to a non-embargoed country. Is it above de minimis?

A. Yes, 20% exceeds 10%
B. No, 20% is below the 25% limit
C. Yes, any U.S. content counts
D. No, de minimis does not apply to foreign products

46. Which of these items is NOT subject to the EAR according to the slides?

A. U.S.-origin computers located in Germany
B. Goods in transit through the United States
C. Children's picture books and printed sheet music
D. Foreign products containing U.S. parts above de minimis

47. Licence exception TMP covers:

A. Gifts and donations
B. Temporary exports, imports and re-exports
C. Replacement parts
D. Personal baggage

48. When an exporter declares NLR (no licence required) in its Electronic Export Information:

A. It is a simple guess with no consequence
B. The determination is made under penalty of perjury and errors are penalized
C. The forwarder carries all responsibility
D. Customs must approve it first

49. No buyer supporting documentation is needed for a licence application when the ultimate buyer is:

A. Any private company in Asia
B. A foreign government agency other than the People's Republic of China
C. A freight forwarder
D. A distributor in an embargoed country

50. Why must an importer review product characteristics before importing?

A. To decide the retail price only
B. They decide documentation, procedures and customs treatment, e.g. whether the goods enter duty-free and their classification and duty
C. Because suppliers require it
D. To choose the shipping line

51. If U.S. Customs suspects goods were made with forced labour, how long does the importer have to prove otherwise?

A. 15 days
B. 30 days
C. 3 months
D. 1 year

52. Why is a third-party verification needed for a forced-labour certificate of origin?

A. Customs never reads seller documents
B. Foreign sellers may be willing to sign inaccurate documents
C. It is cheaper
D. It replaces the commercial invoice

53. Why are importers of raw materials more limited in country sourcing than importers of manufactured goods?

A. Raw materials always carry higher duty
B. They can only buy from countries where the product is grown or mined
C. Raw materials need a licence
D. Manufactured goods are never available abroad

54. Imports from which group of countries are prohibited under U.S. Foreign Assets Control Regulations (per the slides)?

A. Australia, Chile, Singapore
B. Cuba, Iran, North Korea, Sudan, Syria
C. Canada and Mexico
D. All GSP beneficiaries

55. An importer will pay a commission to its own purchasing agent abroad. Why sign a separate agency agreement and pay it separately?

A. To avoid income tax
B. Because a buying commission is not dutiable, while a selling commission is; keeping it separate shows customs it is not part of the price
C. Because agents cannot be paid by L/C
D. To qualify for GSP

56. An imported product is not labelled as required by U.S. law. What can happen?

A. Nothing, labels are optional
B. The shipment may be refused entry
C. Customs will relabel it free
D. The seller is fined, not the importer

57. Bade advises buyers usually NOT to buy ex-factory because:

A. Ex-factory is always more expensive
B. The buyer then becomes responsible for complying with the seller's country's export laws, permits and insurance
C. Ex-factory is illegal
D. Customs refuses ex-factory goods

58. Under FOB Tanjung Priok, the ship sinks mid-ocean. Who bears the loss?

A. The seller, because it has not been paid yet
B. The buyer, because risk passed when the goods were loaded on board
C. The shipping line, always
D. Seller and buyer equally

59. Under CIF Rotterdam (shipped from Indonesia), where does risk pass from seller to buyer?

A. At the port of Rotterdam
B. When the goods are on board at the Indonesian port of shipment
C. At the buyer's warehouse
D. When the buyer pays

60. What is the minimum insurance a CIF seller must buy under Incoterms 2020?

A. ICC (A) all risks at 100%
B. ICC (C) at 110% of the contract price
C. No insurance is required
D. ICC (B) at 120%

61. After signing a CIF contract, ocean freight rates double. Who absorbs the increase?

A. The buyer
B. The seller, because the CIF price already includes freight
C. The insurer
D. Customs

62. Which is a valid reason a buyer might still choose to take on more shipping responsibility?

A. The buyer can get cheaper ocean freight or insurance, or already has warehouse-to-warehouse marine insurance
B. The buyer wants to avoid paying duty
C. The seller is a government
D. The goods are prohibited

63. Permendag 39/2020 is best described as:

A. A new import policy replacing Permendag 20/2021
B. The third amendment to Permendag 24/2018 on issuing Certificates of Origin (SKA) for Indonesian goods
C. A rule on Indonesian-language labels
D. A regulation on dangerous goods by air

64. Which labeling regulation is in force today?

A. Permendag 22/2010
B. Permendag 67/2013
C. Permendag 25/2021
D. Permendag 62/2009

65. Under UU 7/2014 Pasal 47, importers must:

A. Use only Indonesian-flagged ships
B. Import goods in new condition, unless the Minister sets an exception
C. Pay import duty after the goods are sold
D. Register every shipment with the DPR

66. What is the maximum criminal sanction in UU 7/2014 for trading goods without the required Indonesian label (Pasal 104)?

A. A written warning only
B. Up to 1 year and/or Rp 500 million
C. Up to 5 years' prison and/or a fine of up to Rp 5 billion
D. Up to 12 years and/or Rp 12 billion

67. The cabotage principle in UU 17/2008 means that:

A. Foreign ships may not enter Indonesian ports
B. Sea transport between Indonesian ports must use Indonesian-flagged ships with Indonesian crew
C. Exports must be carried by Indonesian ships
D. Ports must be owned by the state

68. Permenhub PM 90/2013 regulates:

A. Port tariffs
B. The safety of carrying dangerous goods by aircraft (CASR Part 92)
C. Freight forwarder licensing
D. Sea cabotage

69. A buyer in Malaysia wants the ASEAN preferential tariff on Indonesian goods. Which document should the exporter supply?

A. A non-preferential SKA
B. SKA Form D under ATIGA
C. SKA Form E under ACFTA
D. A packing list stamped by customs

70. Who issues an Indonesian Certificate of Origin (SKA)?

A. The local chamber of commerce
B. The exporter itself, by self-certification only
C. An IPSKA (Instansi Penerbit SKA), a government-authorized issuing agency
D. The buyer's customs office

71. In the Indonesian export flow, which document does customs issue after checking the PEB to clear the goods for loading?

A. SPPB
B. NPE (Nota Pelayanan Ekspor)
C. PIB
D. B/L

72. Which order of import steps is correct?

A. PIB → SPPB → payment → manifest
B. Manifest → PIB → payment of duties and taxes → customs lane → SPPB
C. SPPB → PIB → manifest → payment
D. Payment → SPPB → PIB → lane

73. An import shipment is assigned to the red lane. What happens?

A. It is released on documents only
B. Only the documents are checked
C. The goods are physically inspected before release
D. It is re-exported automatically

74. Why is the PEB registration date, not the sales contract date, used to prove when an export happened?

A. Because contracts are not legally binding
B. Because export legally means releasing goods from the customs area, and the PEB records that release
C. Because the PEB is signed by the buyer
D. Because the contract date is confidential

75. Indonesia has no federal level. How do Bade's "federal" and "state/local" levels map onto Indonesia?

A. Federal = provinces; state = regencies
B. Federal = ASEAN; state = central government
C. Federal = central (national) government; state/local = provinces and regencies/cities
D. There is no equivalent at all

76. In the U.S., sales contracts are governed by state law (the UCC). Which law decides whether an Indonesian export sales contract is valid?

A. The national Civil Code (KUHPerdata), Pasal 1320
B. Each province's Perda
C. Permendag 23/2023
D. The CISG, automatically

77. Which statement about the CISG (UN Sales Convention) is correct?

A. Indonesia ratified it by UU 7/1994
B. It replaces Incoterms
C. It applies only to imports into Indonesia
D. Indonesia is not a party, so exporters should choose the governing law in the contract

78. Why are Incoterms 2020 and UCP 600 binding in a particular deal?

A. Because Indonesia ratified them by UU
B. Because the contract or the letter of credit incorporates them; they are private ICC rules
C. Because the WTO requires them
D. Because Permendag 23/2023 adopts them

79. Which order matches the hierarchy in UU 12/2011 Pasal 7?

A. UU → UUD → PP → Perpres → Perda
B. UUD 1945 → Permendag → UU → PP
C. UUD 1945 → TAP MPR → UU/Perppu → PP → Perpres → Perda Provinsi → Perda Kabupaten/Kota
D. Perpres → PP → UU → UUD

80. Where does a Permendag (ministerial regulation) fit in the hierarchy?

A. Above a Law (UU)
B. At the same level as the Constitution
C. Below a Perda
D. It is not on the Pasal 7 ladder; Pasal 8 makes it binding when a higher rule orders it or it is within the minister's authority

81. How did WTO rules become binding on Indonesia?

A. By UU 7/1994, which ratified the Agreement Establishing the WTO
B. By Permendag 11/2024
C. By UU 7/2014 on Trade
D. They bind automatically without ratification

82. A regency passes a Perda charging a levy on all coffee leaving the regency for export. What is the problem?

A. None: regions set export policy
B. Only the governor may set export levies
C. Regions may only impose the taxes and charges on the closed list in UU 1/2022, export policy is central, and the Perda can be struck down by the Supreme Court
D. It needs WTO approval first

83. Which regulation contains today's list of goods PROHIBITED from export?

A. Permendag 23/2023
B. Permendag 22/2023 (latest amended by 6/2026)
C. PMK 38/2024
D. Permendag 16/2025

84. Since 1 January 2026, the ban on importing used clothing and used bags is found in:

A. Permendag 51/2015
B. UU 17/2008
C. Permendag 25/2021
D. Permendag 47/2025 on Goods Prohibited from Import

85. Which regulations make up Indonesia's import policy since 29 August 2025?

A. Permendag 16/2025 plus eight sector rules, 17–24/2025
B. Permendag 36/2023 as amended by 8/2024
C. PMK 4/2025 alone
D. Perpres 11/2022

86. Under PP 8/2025, a natural-resource exporter must:

A. Convert all proceeds to rupiah immediately
B. Pay 10% export duty
C. Keep 100% of export proceeds in Indonesian banks for 12 months
D. Report proceeds only once a year

87. Which regulation first set the four classes of export goods (free, regulated, supervised, prohibited) shown on the Week 2 slide?

A. UU 7/2014
B. Kepmenperindag 558/MPP/Kep/12/1998 on General Export Provisions (after 182/1998)
C. Permendag 23/2023
D. Permendag 11/2024

88. Under the 1998 scheme, "diatur" goods could be exported only by registered exporters, and "diawasi" goods needed the Minister's approval. What became of these two classes?

A. They were abolished with no trace
B. They became prohibited goods
C. They became free goods
D. They merged into "restricted" goods and survive as the ET and PE requirements in the Lampiran

89. The rule that copper concentrate may be exported only until 31 December 2024 ultimately rests on which higher rules?

A. UUD 1945 Pasal 33 and UU 3/2020 on Minerals and Coal (process and refine domestically)
B. The CISG
C. UU 17/2008 on Shipping
D. Perda of Papua

90. In 2019 Indonesia returned containers of "waste paper" mixed with plastic and hazardous waste. Which treaty supports that?

A. CITES
B. The New York Convention
C. The Basel Convention (ratified by Keppres 61/1993)
D. UCP 600

91. Which Law sets the penalty for smuggling (1 to 10 years' prison and Rp 50 million to Rp 5 billion)?

A. UU 7/2014 on Trade
B. UU 24/2000
C. UU 23/2014
D. UU 10/1995 on Customs as amended by UU 17/2006

92. Which instrument ratified ATIGA, the source of the SKA Form D?

A. Perpres 2/2010
B. UU 7/1994
C. Keppres 48/2004
D. UU 24/2022

Answers and explanations

1. **B.** The slide links smooth, efficient and compliance-oriented to profitable. Compliance is a cause of profit because non-compliance creates costs: penalties, seizures, held shipments and lost customers.
2. **C.** The slides contrast a small company, where one person can do everything, with a large company that may need many dedicated compliance staff. Structure follows volume.
3. **A.** When the company decides to do internally what an outside service provider used to do, those tasks join the department and it grows.
4. **C.** Order: product selection → supplier country → best supplier → payment & negotiation → purchase order → customs agent → distribution. The PO must mirror the negotiated deal, so it can only come after negotiation.
5. **B.** Negotiation fixes price, payment terms, duties and risk sharing. Every later step (PO, clearance, distribution) carries out what was agreed here.
6. **B.** The importer hands the documents to the appointed agent, who handles customs clearance at the port and moves the goods to the importer's warehouse.
7. **C.** Sales or marketing develops foreign leads, or receives foreign enquiries through the website. When the first export order arrives, the special steps it needs lead to a dedicated export function.
8. **B.** The chart places the Export Manager under Legal, which signals that exporting is treated first as a compliance function.
9. **C.** Engineering gives specs, cost and drawings; Marketing gives forecast, planning and sale terms; Finance gives payment terms, credit check, credit closing and bid bond; Manufacturing gives cost and delivery.
10. **B.** The quotation (or pro forma invoice) fixed the price and terms, so the incoming PO is checked against it before an acknowledgment is sent.
11. **A.** Once goods leave, the exporter loses leverage. Confirming the L/C is opened secures payment before control of the goods is given up. Finance also arranges insurance and collection documents.
12. **A.** Marketing handles statements and dunning (reminders) to obtain customer payment, while Finance manages receivables and collection through the bank.
13. **C.** The make-up of a product determines its classification, duty rate, FTA eligibility, valuation and country-of-origin marking. These are fixed at design, so compliance must start there.
14. **B.** Intentional: lesser of US$100,000 or 75% of value. 75% × 200,000 = 150,000. The lesser is US$100,000.

15. **C.** Negligent: lesser of US$10,000 or 40% of value. 40% × 20,000 = 8,000, which is less than 10,000, so the fine is US$8,000.
16. **B.** Exports and imports are governed by federal law, but contract law (sales, distributor and agent agreements) is almost exclusively state law, which varies from state to state.
17. **C.** Export is the activity of releasing goods from the customs area (land, waters, airspace, and certain places in the EEZ and continental shelf). The legal event is the release, not the sale.
18. **C.** Prohibited: scarcity, K3LM concerns, items of cultural value. "Meet domestic needs" is the reason for supervised goods; "added value" is for regulated goods; "market access" is the reason goods are free.
19. **B.** ET registers who may export; PE approves how much and where, issued from the Neraca Komoditas; LS is the surveyor's verification of the shipment.
20. **B.** General export was allowed until 31 December 2024 (proven by the customs export declaration date). After that, only the three exceptions remain, so domestic ore goes to domestic smelters.
21. **B.** The slide states that the appropriate methods of manufacturing and marketing, documentation, export procedures, and treatment under foreign law (including customs law) depend on these product considerations.
22. **B.** The slide notes that if a product is used, some countries prohibit importation or require independent appraisal of value, which can delay the sale.
23. **B.** Small, isolated sales can use POs and PO acceptances. Large quantities justify formal agreements, secure payment, special handling, local agents or distributors and after-sales service.
24. **D.** The four factors are production factors, product quality, logistics infrastructure (roads, ports, airports) and government policy (tariffs, subsidies, FTAs).
25. **B.** What = product controls; Who = end-user controls (denied/sanctioned party lists); Why = end-use controls; Where = destination controls (embargoed countries).
26. **B.** A core red flag is that the product does not fit the buyer. The slide uses exactly this bakery example.
27. **B.** A forwarder as final destination hides who the real end user is. Declining (not requesting) installation and training is also a red flag.
28. **B.** The four elements: 1 restricted party screening, 2 determination of export control status, 3 licence determination, 4 pre/post licensing activity.
29. **B.** The slide: if the sale exceeds $500, an agreement to sell is enforceable by the seller only if it is in writing (with some exceptions).

30. **B.** Email orders usually cover only quantity, price and maybe delivery date. The acceptance should incorporate the seller's T&Cs and attach them, so the buyer cannot claim ignorance.
31. **B.** Formation by conduct: accepting by shipping means accepting all terms and conditions of the offer. A seller who disagrees must negotiate before shipping.
32. **B.** The price list should say it is not an offer, that no agreement exists until a PO is received and approved, and give an expiry date.
33. **B.** Bade strongly recommends a cost sheet so the seller avoids quotations that result in commitments with little or no profit.
34. **B.** Distributors purchase and resell at a higher price. Sales agents do not buy; they seek customers and solicit orders.
35. **C.** A seller cannot fix the distributor's resale price, though it may limit the customers or territories to which the distributor resells.
36. **B.** The exporter is liable if it knew. Requests for special discounts, allowances, commissions or payment to a third party are unusual circumstances that charge it with knowledge.
37. **B.** The exporter is legally responsible for errors by its agent, the forwarder. The forwarder also works from the exporter's information, so errors are often traced back to it.
38. **B.** The exporter signs it, and the local chamber of commerce certifies (for a fee) that, to its knowledge, the goods originate in the stated country.
39. **A.** Preferential duty under a free trade agreement depends on proving origin, so a certificate of origin may be required.
40. **B.** Land/U.S. law, air (IATA DGR) and sea (IMDG Code) rules require the shipper to declare dangerous goods to carriers.
41. **B.** DEA Form 486 is required for precursor and essential chemicals that can be used to make illegal drugs; sometimes 15 days in advance.
42. **B.** PPQ 577 covers plants; the Export/Health Certificate covers animals; FSIS Form 9060-6 leads to the Meat and Poultry Export certificate.
43. **B.** Step one is scope: is the planned activity subject to the EAR? Only then do jurisdiction, classification, prohibitions and exceptions follow.
44. **A.** 10% for embargoed countries; 25% for all other countries.
45. **B.** 8,000 / 40,000 = 20%. The limit for non-embargoed destinations is 25%, so the U.S. content is within de minimis.
46. **C.** Printed matter (books, sheet music, maps, calendars, etc.) is listed as not subject to the EAR. The others are within its broad scope.

47. **B.** TMP = temporary; GFT = gifts; RPL = replacement; BAG = baggage.
48. **B.** The slides stress that NLR is declared under penalty of perjury; incorrect determinations are subject to penalties.
49. **B.** Foreign governments and agencies are exempt from the documentation requirement, except the PRC.
50. **B.** The importing chapter mirrors exporting: product characteristics determine import documentation and treatment under customs law, including duty-free eligibility.
51. **C.** The importer must provide proof within three months, including a certificate of origin signed by the seller, ideally with third-party verification.
52. **B.** The slide warns that sellers may sign inaccurate certificates, so independent verification is needed.
53. **B.** Natural resources exist only in certain places. Manufactured goods can be sourced widely, compared by proximity to materials, labour cost, exchange rate and transport cost.
54. **B.** These countries are prohibited without Treasury approval, with a general policy of denial, and goods are subject to seizure.
55. **B.** Customs valuation treats buying commissions as non-dutiable and selling commissions as dutiable. Separate documentation keeps the buying commission out of the dutiable value.
56. **B.** Shipments not properly labelled may be refused entry, so the importer must tell the exporter the labelling rules before shipment.
57. **B.** Buying FOB port of export, CIF or landed makes the seller handle its own country's export requirements; ex-factory shifts them to the buyer.
58. **B.** Under FOB, delivery and risk transfer happen on board at the port of shipment. A loss during the voyage is the buyer's; it recovers only if it insured the cargo.
59. **B.** CIF names the destination port for costs, but risk passes at loading in the seller's country, the same point as FOB. That is why the seller must buy insurance for the buyer's benefit.
60. **B.** CIF keeps the minimum of Institute Cargo Clauses (C), at least 110% of the contract price. (CIP was raised to ICC A in 2020.)
61. **B.** Under CIF the seller contracts and pays for the freight, and its price was fixed including it. Under FOB the buyer would pay the higher rate.
62. **A.** Slide 23 lists: inexperienced seller, competitors buying ex-factory, affiliated seller, buyer's own blanket marine insurance, buyer's cheaper freight or insurance.
63. **B.** Permendag 24/2018 is the base SKA rule. It was amended by 19/2019, 59/2019, 39/2020 (the third amendment) and later 34/2023.

64. **C.** The chain runs 62/2009 → 22/2010 (amendment) → 67/2013 → 73/2015 → 25/2021. Only 25/2021 is current; 22/2010 and 67/2013 are history.
65. **B.** Pasal 47 requires new goods. It is the legal basis for banning imports of second-hand goods such as used clothing.
66. **C.** Pasal 104 sets up to 5 years and/or Rp 5 billion. The same maximum applies to exporting or importing prohibited goods (Pasal 112).
67. **B.** Cabotage covers domestic sea transport only. International export and import voyages may use foreign carriers.
68. **B.** PM 90/2013 made CASR Part 92 binding, in line with the ICAO Technical Instructions. It was revoked and replaced by PM 32/2022 in October 2022.
69. **B.** Form D is the preferential certificate of origin under the ASEAN Trade in Goods Agreement. Form E is for ASEAN–China trade.
70. **C.** The exporter applies online (e-SKA) to an IPSKA. In Bade's U.S. setting a chamber of commerce certifies; in Indonesia the issuer is the IPSKA.
71. **B.** The NPE is the Export Service Note. SPPB and PIB belong to the import side, and the B/L is issued by the carrier, not customs.
72. **B.** The carrier reports the cargo (manifest), the importer declares (PIB) and pays, customs assigns a lane, then issues the release approval (SPPB).
73. **C.** Green = released on documents, yellow = document check, red = physical inspection.
74. **B.** Week 2 defines export as releasing goods from the customs area. Permendag 11/2024 Article 49 therefore measured the copper deadline by the PEB number and registration date.
75. **C.** Indonesia is a unitary state (UUD 1945 Pasal 1(1)). The U.S. federal level corresponds to the central government; state and local law correspond to the regional level (province, regency/city).
76. **A.** Indonesian contract law is national: KUHPerdata Pasal 1320 sets four conditions (agreement, capacity, a definite object, a lawful cause) and Pasal 1338 freedom of contract.
77. **D.** The U.S. is a CISG party; Indonesia is not. A contract with an Indonesian party should state the governing law and the forum for disputes.
78. **B.** Incoterms and UCP 600 are private rules of the International Chamber of Commerce. They bind only when the contract or L/C refers to them.
79. **C.** Mnemonic "UTU + 4P": UUD, TAP MPR, UU, then PP, Perpres, Perda Provinsi, Perda Kab/Kota.
80. **D.** Ministerial regulations come in through the "side door" of UU 12/2011 Pasal 8. They may not conflict with the Laws above them.

81. **A.** UU 7/1994 ratified the WTO Agreement. It is cited first in the legal basis (Mengingat) of Permendag 11/2024.
82. **C.** Foreign trade policy is central (UU 7/2014, UU 23/2014). Regional levies are limited to a closed list in UU 1/2022, and a Perda that conflicts with higher law can be reviewed by the Mahkamah Agung.
83. **B.** "22 says no, 23 says how": Permendag 22/2023 lists prohibited exports; Permendag 23/2023 regulates restricted exports with ET, PE and LS. PMK 38/2024 is export duty.
84. **D.** Permendag 47/2025 replaced 18/2021 jo. 40/2022. The legal root is UU 7/2014 Pasal 47 (import new goods only).
85. **A.** The 2025 deregulation package replaced Permendag 36/2023 (as amended by 8/2024) with a general rule (16/2025) and sector rules (17–24/2025).
86. **C.** From 1 March 2025, PP 8/2025 (amending PP 36/2023) requires 100% of natural-resource export proceeds (oil and gas excepted) to stay in Indonesia for 12 months.
87. **B.** The four classes come from the 1998 decrees. Permendag 13/2012 revoked 558/1998 and moved to three classes; UU 7/2014 Pasal 50–54 now sets free, prohibited and restricted.
88. **D.** Old diatur ≈ today's ET (Registered Exporter); old diawasi ≈ today's PE (Export Approval). Both are instruments for restricted goods under Permendag 23/2023.
89. **A.** Pasal 33 gives the state control over natural resources; the Minerba law requires domestic processing. Permendag 11/2024 sets the export deadline within that framework.
90. **C.** The Basel Convention controls cross-border movement of hazardous waste: it needs the importing country's prior consent.
91. **D.** Customs Law Pasal 102 (as amended by UU 17/2006) punishes smuggling. UU 7/2014's trade sanctions (labels, prohibited goods) are separate.
92. **A.** ATIGA was ratified by Perpres 2/2010. Keppres 48/2004 is the ASEAN–China framework (Form E); UU 24/2022 is RCEP.

Flashcards

Cover the right-hand column and answer from memory.

Week 1 · Organizing 22 cards

What problem does Session 1 open with?	Companies that start exporting or importing usually give the compliance task to someone in the supply chain group with little or no background in regulatory compliance.
Three factors that shape how export/import work is organized	Company size, volume of exports/imports, and which tasks are done in-house versus contracted to outside providers.
Why does specialization appear as business grows?	Higher volume means each task is repeated often, so it pays to have specialists; tasks once done by one person become narrower.
Import cycle: 7 steps in order	1 Product selection · 2 Supplier country · 3 Best supplier (samples) · 4 Payment terms & negotiation · 5 Purchase order · 6 Hire customs agent · 7 Product distribution.
Step zero before trading (Indian example)	Set up a brand/legal entity kept separate from other businesses, then register for an Import Export Code (IEC), which requires a PAN tax number first.
Why ask several exporters for samples?	To verify that quality matches the price quoted before committing to a supplier (step 3).
Export compliance department: where does it usually start?	In sales or marketing, which finds foreign leads or receives foreign orders via the website.
What changes when an export order arrives instead of a domestic one?	Delivery arrangements, payment guarantee, who insures, plus special manufacturing, credit checking, packaging, shipping and picking. Many departments must give input.
Four stages of export order processing	Quotation → Order entry → Shipment → Collection. In each, the export department is the hub.
Output of the quotation stage	A quotation or pro forma invoice sent to the customer, distributor or sales agent.
What does the export department do at order entry?	Verifies the purchase order, matches it to the quotation, and sends an acknowledgment; then engineering, marketing (booking) and manufacturing act on it.

Shipment stage: Finance's three jobs	Check the customer's L/C is opened, arrange insurance, prepare collection documents.
Shipment stage: who carries goods from the export department to the customer?	The freight forwarder.
Collection stage: two branches	Marketing: statements and dunning → customer payment. Finance: receivables and collection → bank.
Three ways an import department typically starts	Designation as local distributor for a foreign manufacturer; buying foreign products with local sales potential; moving manufacturing abroad and importing the output.
Why must importers buying FOB understand shipping and insurance?	Under FOB the buyer takes over cost and risk once goods are loaded at origin, so ocean freight, insurance and customs become the importer's job.
Five import compliance items decided at design stage	Classification, duty rate, free trade agreement eligibility, proper valuation, country-of-origin marking.
Who sits at the centre of the outside-provider diagram?	The VP/Director of the Export/Import Operations Department, linked to internal departments, customers (via Sales), suppliers (via Purchasing), and outside providers.
Name six outside service providers	Freight forwarders, customs brokers, transport carriers, insurance companies & sureties, packing companies, pre-shipment inspection companies (also banks, translators, consulates, government agencies).
Recordkeeping fine: intentional failure	Up to US$100,000 or 75% of appraised value, whichever is LESS.
Recordkeeping fine: negligent or accidental failure	Up to US$10,000 or 40% of appraised value, whichever is LESS.
Does electronic filing remove the duty to keep paper records?	No. Agencies moved to electronic or web filing, but hard-copy recordkeeping obligations remain.

Week 2 · Law & regulation 22 cards

Federal vs state law in U.S. trade	Federal law governs exports and imports (the border). State law governs contracts: international sales, distributor and sales agent agreements.

Four layers named in the chapter title	Federal, state, international (treaties, WTO) and foreign law (the other country's rules).
K3L / K3LM	Keamanan, Kesehatan, Keselamatan, Lingkungan (+ Moral): security, health, safety, environment (and national morals). The main justification for restricting trade.
Three purposes of export policy (slide 7)	A conducive business climate; healthy business competition; national interests and related international agreements.
Legal definition of export	The activity of releasing goods from the customs area.
What does the customs area include?	Land, waters and airspace above them, plus certain places in the Exclusive Economic Zone and Continental Shelf where customs law applies.
Export requirements listed on the slides	Business licence (SIUP), sector licence from the technical ministry/agency where required, company registration (TDP), taxpayer number (NPWP). Today SIUP/TDP are replaced by the NIB via OSS.
Four classes of export goods	Free · Regulated (diatur) · Supervised (diawasi) · Prohibited (dilarang).
Reasons for regulated export goods	Follow international rules; K3LM; preserve nature (e.g. cloves, wood); increase added value.
Reasons for supervised export goods	Meet domestic needs; preserve nature.
Reasons for prohibited export goods	Scarcity; K3LM concerns; items of cultural value.
Why are some goods free to export?	To encourage exports: open market access, increase competitiveness, diversify products.
Permendag 11/2024: what does it amend and when is it in force?	Amends Permendag 23/2023 on Export Policy and Regulation; signed 30 May 2024, in force 1 June 2024.
ET, PE, LS	ET = Eksportir Terdaftar (registered exporter: who). PE = Persetujuan Ekspor (export approval: how much, where). LS = Laporan Surveyor (surveyor's verification of the shipment).

What is the Neraca Komoditas?	The national commodity balance. PE is issued based on it; if not yet set, on available provisions and data.
Swiftlet nests (SBW): what is required?	ET-SBW plus a KH-12 sanitary certificate for every shipment. Even passenger baggage, border-crossing goods or parcels above 2 kg still need ET and KH-12.
Which products need all three of ET, PE and LS? (examples)	Rough diamonds (HS 7102), pure tin ingots, non-pharmaceutical precursors such as acetone and toluene.
Article 49 change in one sentence	Certain mineral concentrates (iron laterite, copper, lead, zinc, anode slime) could be exported until 31 Dec 2024; from 1 Jan 2025 only for R&D, re-export, or products from imported raw material/scrap.
Five import policy objectives (slide 15)	Protect national interests on K3LM; protect farmers' incomes; encourage domestic products; increase non-oil-and-gas exports; healthy domestic trade and business climate.
PMK 4/2025 (import, 2025)	Re-regulates consignment goods: definition, self-assessment for business-entity importers, and administrative sanctions for customs value errors.
Goods Indonesia prohibits importing (slide 18)	Pornographic products, second-hand goods, and food and drugs that do not meet safety standards.
Challenges of the 2025 import policy	Negotiate fair deals; keep food and basic prices stable; manage negative effects of stopping imports; implement effectively and efficiently.

Week 3 · Export procedures 16 cards

Six product questions before exporting	Component? Spare part? Raw material/commodity/finished? Single or set/system? Needs modification (size, weight, colour)? New or used?
What do the product questions decide?	Manufacturing and marketing methods, documentation, export procedures, and treatment under foreign law including foreign customs law.
Five reasons products need special export licences (grouping)	Security/weapons, drug abuse, health and safety, environment/nature, energy supply.

Small vs large export volume	Small isolated: PO + PO acceptance. Large ongoing: formal sales agreement, secure payment, special shipping/packing, agents/distributors, after-sales service.
Market research: macro and specific factors	Macro: population, economic development, buying power. Specific: competing products in that country.
Export competitiveness: definition	The ability of a country to compete in international trade.
Four factors of export competitiveness	Production factors (HR, capital, technology); product quality; logistics infrastructure; government policy (tariffs, subsidies, FTAs).
Why spend time vetting customers, agents, distributors?	It is cheaper than starting over when a partner cannot pay, cannot perform, or is difficult to work with.
Six steps to identify end users	Verify the buyer; assess the product's use; confirm the destination; screen for red flags; use end-user certificates; maintain records.
What, Who, Why, Where	What = product controls; Who = end-user controls (denied lists); Why = end-use controls; Where = destination controls (embargoes).
Embargoed destinations named on the slides	Cuba, Iran, North Korea, Sudan, Syria.
Carbon fibre example	The same material can make golf clubs or missiles, so end use must be checked (dual use).
Four patterns of red flags	Identity does not fit; product does not fit the buyer or country; money does not fit (cash for expensive item); logistics do not fit (vague dates, forwarder as destination, odd route or packaging).
Four elements of an export control review	1 Restricted party screening · 2 Export control status · 3 Licence determination · 4 Pre/post licensing activity.
When is an item NOT subject to export controls (review element 2)?	It does not meet the definition of export/release/technology/technical data; it is fundamental research; or it is properly released into the public domain.
Control regimes for classification	ITAR (USML category), EAR (ECCN), 10 CFR Part 110, 10 CFR Part 810, OFAC.

Week 4 · Sales documentation 18 cards

Isolated vs ongoing sales	Isolated: one-off transactions, often on forms. Ongoing: international sales (supply), distributor, or sales agent agreements.
UCC rule on written sales	A sale over US$500 is enforceable by the seller only if it is in writing (some exceptions).
"The thinnest ink is better than the brightest memory"	Disputes arise when parties do not document or discuss an issue. A written agreement is a checklist and a record. Modifications must also be written.
Weakness of email orders	Usually only quantity, price, maybe delivery date. Seller's acceptance must incorporate and attach its standard terms and conditions.
Definition of a sales agreement	A contract formed by agreement for the passing of title to goods for a price; mutual assent to the same terms via offer and acceptance.
Three ways a sales agreement forms	Single signed document; exchange of documents (PO / PO acceptance); conduct (seller ships or buyer pays).
When is a single signed agreement best?	Large deals; payment or delivery concerns; government regulations or exchange controls; differences in culture, language, business customs.
Effect of accepting by conduct	The acceptor is bound by all the terms of the offer. To change them, negotiate before shipping or paying.
Document chronology	Price list → RFQ → quotation → PO → PO acknowledgment → PO acceptance → pro forma invoice → commercial invoice → shipment.
Price list: three safeguards	State it is not an offer (no agreement until PO received and approved); expiry date and subject to change; include seller's T&Cs.
RFQ risk	It may carry the buyer's terms in fine print or by reference. Ask for them and check for conflicts before quoting.
PO risk for the seller	If the seller already made an offer, the buyer's PO terms (favouring the buyer) may govern. Seller should say no agreement until it accepts the PO.

Why avoid preprinted stationery-store forms?	Their terms may not reflect the parties' actual intent.
Three agreements for ongoing sales	International sales (supply) agreement with an end user; distributor agreement (buys and resells); sales agent/representative agreement (solicits orders).
Distributor	Buys, takes ownership, bears resale risk, earns by reselling at a higher price. Seller cannot fix its resale price (antitrust) but may limit customers or territories.
Sales agent	Does not buy. Seeks customers and solicits purchase offers for the exporter.
FCPA	U.S. law: illegal for an exporter's agent to pay foreign officials, agencies or parties to obtain or keep business. Exporter liable if it knew.
FCPA warning signs	Agent asks for special discount, allowance or commission, or for payment to someone else.

Week 5 · Other export documents 8 cards

Freight forwarder liability	The exporter is legally responsible for the forwarder's errors, and the forwarder works from the exporter's information, so the exporter must understand every document.
Certificate of origin	Signed by the exporter, certified by the local chamber of commerce (fee); shows where goods were made; may be needed for customs entry or FTA preferences (e.g. NAFTA).
Certificate of origin vs country-of-origin label	Label = marking on product and packaging. Certificate = separate document that can supplement or substitute for the label requirement.
Who to ask first about required documents?	The buyer, for the full list of documents needed for customs entry in the destination; then the forwarder.
Dangerous goods rules	U.S. Hazardous Materials Transportation Act; IATA Dangerous Goods Regulations (air); IMDG Code (sea).
Dangerous goods statement on the invoice	Goods are properly classified, described, packaged, marked, labelled, and in proper condition for carriage under DOT rules.

DEA Form 486	For export/import of precursor and essential chemicals usable for illegal drugs; sometimes 15 days before shipment.
USDA certificates	Export/Health Certificate (animals, Veterinary Services); Federal Phytosanitary Certificate PPQ 577 (plants); FSIS Form 9060-6 → Meat & Poultry Export certificate.

Week 6 · Export controls 15 cards

EAR	Export Administration Regulations (U.S. Department of Commerce). Decide whether an export needs a licence.
What is subject to the EAR?	All goods in the U.S. (incl. FTZs and in transit); U.S.-origin goods anywhere; foreign products with U.S. parts above de minimis; certain foreign direct products of U.S. technology.
What is NOT subject to the EAR?	Printed and recorded matter: books, newspapers, children's picture books, sheet music, calendars, maps, atlases, globes, related films, printed advertising.
De minimis limits	U.S.-origin content: 10% of the foreign product's value for embargoed countries; 25% for all others.
Advisory opinion	If unsure whether a transaction is subject to the EAR, request one; usually answered within 30 calendar days.
When must you apply for a licence?	Subject to the EAR + on the Commerce Control List + an "X" in the Country Chart for the destination + no exception applies.
10 General Prohibitions in four themes	The item (1–3: listed countries, de minimis content, direct products); party/use/place (4–6: denial orders, end uses/users, embargoes); activity/routing (7–8: proliferation, transit); knowledge/orders (9–10).
Before using a licence exception	Check the restrictions in EAR §740.2, confirm the goods qualify, follow the exception's terms and keep supporting documents.
LVS, GBS, CIV	Low Value Shipments; shipments to Country Group B; shipments to civil (non-military) end users.

TMP, RPL, GOV	Temporary; Replacement parts and servicing; Government end users, international organisations, CWC inspections, International Space Station.
GFT, TSU, BAG	Gifts and humanitarian donations; unrestricted Technology and Software (operating, sales, updates, bug fixes); Baggage (personal effects, household goods, vehicles, tools of trade).
NLR	No Licence Required. Declared in the Electronic Export Information under penalty of perjury.
When is no buyer documentation needed for a licence application?	Listed Americas countries; foreign government buyers (not PRC); temporary exhibition/demo/testing; aid agency; supply-shortage controls; software/technology; certain encryption; Special Comprehensive License.
Mnemonic for the order of the 10 General Prohibitions	Can Dogs Dig Deep? Every Elephant Probably Tramples Very Knowingly. 1 Controlled items to listed countries, 2 De minimis US content, 3 Direct product of US technology, 4 Denial Order, 5 End use or end user, 6 Embargoed destinations, 7 Proliferation of weapons, 8 Transit through prohibited countries, 9 Violating licence terms or orders, 10 Knowledge of a violation.
The four questions behind the 10 General Prohibitions (What, Who, How, Know)	What is it, and how American is it? (1–3). Who gets it, for what use, and where? (4–6). How is it used or routed? (7–8). What do I know, and am I following the rules? (9–10).

Week 7 · Import procedures 20 cards

Import product questions	Raw material/component? Finished for resale (modified or not)? Spare part? Single or set? Needs modification for the local market? They decide classification, duty, duty-free eligibility.
U.S. prohibited imports (examples)	White/yellow phosphorus matches, certain fireworks, cultural property, pocket knives, lottery tickets, most endangered species, elephant ivory, counterfeits, treasonous/obscene material, child or forced labour goods.

Forced labour procedure	Suspicion → release withheld, Federal Register notice → 3 months to prove (seller's certificate of origin + third-party verification) → if not, prohibited; re-export or seizure; bad publicity.
Country sourcing: raw vs manufactured	Raw materials: only where grown or mined. Manufactured: compare proximity to raw materials, labour cost, exchange rate, transport cost.
Sourcing information sources	Foreign banks in the U.S.; U.S. banks, law and accounting firms abroad; UN International Trade Statistics Yearbook.
Duty-saving programmes to check when sourcing	FTAs (Australia, Bahrain, Chile, Morocco, Oman, Singapore), GSP, AGOA.
How to vet a supplier	Reputation and performance, factory inspection, references from local customers, personal visits, international credit reports (Graydon, Teikoku, U.S. Commerce).
Extra checks if you will be the supplier's distributor or agent	Has the supplier already appointed another distributor/agent (exclusive or not)? Is the supplier acting as manufacturer's agent or as the buyer's purchasing agent?
Buying vs selling commission	Buying commission (buyer's own agent) is not dutiable; selling commission (seller's agent) is dutiable. Use a separate agency agreement and pay separately.
Container types	Ventilated, refrigerated, flat, open, high-cube. Containers give the best protection against damage and theft.
Labelling consequence	Shipments not properly labelled under U.S. law may be refused entry; importer must tell the exporter before shipment.
Four terms every import purchase must settle	Passage of title, risk of loss, price, payment.
Ex-factory vs FOB/CIF/landed for the buyer	Ex-factory: buyer must handle the seller country's export permits, visas, forex permits, insurance. FOB port of export, CIF or landed: seller handles its own export law.
FOB (Incoterms 2020)	Free On Board [named port of shipment]. Seller delivers when goods are on board the buyer's vessel, export-cleared. Cost and risk pass to the buyer at that point. Buyer pays freight and insures if it wants.

CIF (Incoterms 2020)	Cost, Insurance and Freight [named port of destination]. Seller delivers on board at the shipment port (risk passes there) but pays freight and minimum insurance to the destination port.
CIF: two critical points	Risk passes at loading in the seller's country; costs paid by the seller run to the destination port.
CIF minimum insurance	Institute Cargo Clauses (C), at least 110% of the contract price, in the contract currency, claimable by the buyer.
FOB/CIF vs FCA/CIP	FOB and CIF are for sea and inland waterway only. For containers, air or road use FCA instead of FOB and CIP instead of CIF (CIP minimum insurance ICC A).
"FOB plant" (slide 19, deck 07)	Older American usage meaning delivery at the seller's factory, close to ex-works. Not the same as Incoterms FOB, which always names a port. Write the full term to avoid confusion.
Reasons a buyer may take on more shipping	Seller inexperienced; competitors buy ex-factory; affiliated seller; buyer's own blanket marine insurance; buyer gets cheaper freight or insurance.

Abbreviations 146 cards

What does UUD 1945 stand for, and what is it?	Undang-Undang Dasar Negara Republik Indonesia Tahun 1945. The 1945 Constitution of the Republic of Indonesia: the highest law, at the top of the legal hierarchy.
What does UU stand for, and what is it?	Undang-Undang. A Law (statute) made by the House of Representatives (DPR) together with the President, e.g. UU 7/2014 on Trade.
What does PP stand for, and what is it?	Peraturan Pemerintah. Government Regulation: issued by the President to carry out a Law, e.g. PP 29/2021 on the trade sector.
What does Perpres stand for, and what is it?	Peraturan Presiden. Presidential Regulation, e.g. Perpres 11/2022 on the Ministry of Trade.
What does Permendag stand for, and what is it?	Peraturan Menteri Perdagangan. Regulation of the Minister of Trade: sets the detailed rules, e.g. Permendag 23/2023 on Export Policy and Regulation, amended by Permendag 11/2024.

What does PMK stand for, and what is it?	Peraturan Menteri Keuangan. Regulation of the Minister of Finance: covers customs and tax, e.g. PMK 4/2025 on consignment goods.
What does RI stand for, and what is it?	Republik Indonesia. Republic of Indonesia, as in "Permendag RI".
What does K3L stand for, and what is it?	Keamanan, Kesehatan, Keselamatan, Lingkungan. Security, health, safety and environment: the main reasons the government gives for restricting trade.
What does K3LM stand for, and what is it?	Keamanan, Kesehatan, Keselamatan, Lingkungan, Moral bangsa. K3L plus the morals of the nation.
What does LPK stand for, and what is it?	Lembaga Penilaian Kesesuaian. Conformity Assessment Body: tests or inspects products against a standard. (Slide 6 of deck 02 writes it as "LPM".)
What does LS-Pro stand for, and what is it?	Lembaga Sertifikasi Produk. Product Certification Body: certifies that a product meets a standard such as SNI (Indonesian National Standard).
What does NIB stand for, and what is it?	Nomor Induk Berusaha. Business Identification Number issued through OSS. It replaced SIUP and TDP and also serves as the importer identity number.
What does OSS stand for, and what is it?	Online Single Submission. Indonesia's online, risk-based business licensing system that issues the NIB.
What does NPWP stand for, and what is it?	Nomor Pokok Wajib Pajak. Taxpayer Identification Number.
What does SIUP stand for, and what is it?	Surat Izin Usaha Perdagangan. Trading Business Licence under the older licensing system (now replaced by NIB).
What does TDP stand for, and what is it?	Tanda Daftar Perusahaan. Company Registration Certificate under the older system (now replaced by NIB).
What does PPJK stand for, and what is it?	Pengusaha Pengurusan Jasa Kepabeanan. A licensed customs broker in Indonesia: clears goods through customs on the trader's behalf.

What does PEB stand for, and what is it?	Pemberitahuan Ekspor Barang. Export goods declaration filed with Indonesian customs. The regulation calls it the customs export declaration (Pemberitahuan Pabean Ekspor); its registration date proves when an export happened.
What does PIB stand for, and what is it?	Pemberitahuan Impor Barang. Import goods declaration filed with Indonesian customs; import duty is assessed on it.
What does ET stand for, and what is it?	Eksportir Terdaftar. Registered Exporter: a status permit that screens WHO may export a controlled product. Valid for a period.
What does PE stand for, and what is it?	Persetujuan Ekspor. Export Approval: permits HOW MUCH may be exported, to where and through which port, based on the Neraca Komoditas.
What does LS stand for, and what is it?	Laporan Surveyor. Surveyor's Report: an appointed surveyor verifies or traces the actual shipment (type, grade, quantity) before loading.
What does SBW stand for, and what is it?	Sarang Burung Walet. Edible swiftlet nests, group I of Lampiran I.
What does KH-12 stand for, and what is it?	Sertifikat Sanitasi Produk Hewan (form KH-12). Sanitary certificate for animal products issued by the agricultural quarantine authority for each shipment.
What does IUP stand for, and what is it?	Izin Usaha Pertambangan. Mining Business Licence, issued under the energy and mineral resources ministry.
What does IUPK stand for, and what is it?	Izin Usaha Pertambangan Khusus. Special Mining Business Licence.
What does MODI stand for, and what is it?	Minerba One Data Indonesia. The mining ministry's data system in which tin and mineral exporters must be registered.
What does HS stand for, and what is it?	Harmonized System (Harmonized Commodity Description and Coding System). The World Customs Organization's international product code. The first 6 digits are global; Indonesia adds digits for its 8-digit tariff code (Pos Tarif/HS).

What does EEZ stand for, and what is it?	Exclusive Economic Zone (Zona Ekonomi Eksklusif, ZEE). Sea area up to 200 nautical miles from the coast where a country has economic rights; certain places in it are part of the customs area.
What does "Lampiran" mean?	Annex or attachment to a regulation. Lampiran I of Permendag 11/2024 lists the controlled export goods.
What does "Pasal" mean?	Article of a regulation, e.g. Pasal 49 on mineral concentrates.
What does "Mengingat" mean?	"Considering" section of a regulation: lists the higher laws it is based on.
What does "Daerah Pabean" mean?	Customs area: Indonesia's land, waters and airspace plus certain places in the EEZ and continental shelf.
What does "Neraca Komoditas" mean?	National commodity balance: the government's estimate of supply and demand for a commodity, used to decide export and import approvals.
What does "Pos Tarif" mean?	Tariff line: the 8-digit HS-based code for a product.
What does PT / CV stand for, and what is it?	Perseroan Terbatas / Commanditaire Vennootschap. Indonesian business forms: PT is a limited liability company; CV is a limited partnership.
What does LO stand for, and what is it?	Learning Outcome. A course learning outcome, e.g. LO1: explain the concept of export and import.
What does PO stand for, and what is it?	Purchase Order. The buyer's written order stating goods, quantity, price and terms.
What does RFQ stand for, and what is it?	Request for Quotation. The buyer's request asking the seller to quote a price, quantity and delivery date.
What does L/C stand for, and what is it?	Letter of Credit. A bank's promise to pay the exporter once it presents the documents the credit requires.
What does T&Cs stand for, and what is it?	Terms and Conditions. The seller's or buyer's standard contract terms, often in fine print.

What does FTA stand for, and what is it?	Free Trade Agreement. A treaty that cuts tariffs between member countries for goods that meet its rules of origin.
What does DG stand for, and what is it?	Dangerous Goods. Hazardous materials (explosives, flammables, gases, etc.) that need special declarations for transport.
What does KYC stand for, and what is it?	Know Your Customer. Checking who a buyer is and what it will do with the product, to spot red flags.
What does R&D stand for, and what is it?	Research and Development. Research and development work; one of the exceptions in Article 49.
What does S4S stand for, and what is it?	Surfaced Four Sides. Timber planed smooth on all four sides; a technical criterion for exporting processed wood.
What does VP stand for, and what is it?	Vice President. A senior executive heading a function, e.g. VP Export/Import Operations.
What does CEO stand for, and what is it?	Chief Executive Officer. The company's top executive.
What does IEC stand for, and what is it?	Import Export Code. India's 10-digit trader registration code (the deck's example of a trader ID).
What does PAN stand for, and what is it?	Permanent Account Number. India's tax identification number, needed before an IEC.
What does CHA stand for, and what is it?	Customs House Agent. India's licensed customs broker (Indonesian equivalent: PPJK).
What does Incoterms stand for, and what is it?	International Commercial Terms. Standard trade terms published by the International Chamber of Commerce (ICC); current edition Incoterms 2020.
What does EXW stand for, and what is it?	Ex Works. Incoterm: seller makes goods available at its own premises; buyer does everything else, even export clearance. Bade's "ex-factory".
What does FCA stand for, and what is it?	Free Carrier. Incoterm: seller delivers to the buyer's carrier at a named place, export-cleared. Used instead of FOB for containers, air and road.

What does FOB stand for, and what is it?	Free On Board. Incoterm (sea only): seller delivers when goods are on board the vessel at the named port of shipment; cost and risk pass to the buyer there.
What does CIF stand for, and what is it?	Cost, Insurance and Freight. Incoterm (sea only): seller delivers on board at the port of shipment (risk passes there) but pays freight and minimum insurance to the named port of destination.
What does CIP stand for, and what is it?	Carriage and Insurance Paid To. Incoterm: like CIF but for any transport mode; minimum insurance ICC (A).
What does ICC stand for, and what is it?	International Chamber of Commerce · Institute Cargo Clauses. Two meanings. (1) The International Chamber of Commerce publishes Incoterms. (2) ICC (A), (B), (C) are the Institute Cargo Clauses, standard marine cargo insurance covers: (A) is widest ("all risks"), (C) is narrowest.
What does MCQ stand for, and what is it?	Multiple-Choice Question. A question with answer options A–D.
What does Fe, Cu, Pb, Zn stand for, and what is it?	Iron, Copper, Lead, Zinc. Chemical symbols used for the metal content of the mineral concentrates in Article 49.
What does WTO stand for, and what is it?	World Trade Organization. Sets global trade rules; Indonesia ratified its founding agreement in UU 7/1994.
What does CITES stand for, and what is it?	Convention on International Trade in Endangered Species of Wild Fauna and Flora. Treaty controlling trade in endangered plants and animals.
What does IATA DGR stand for, and what is it?	International Air Transport Association Dangerous Goods Regulations. Rules for carrying dangerous goods by air.
What does DGR stand for, and what is it?	Dangerous Goods Regulations. IATA's rulebook for dangerous goods by air.
What does IMDG Code stand for, and what is it?	International Maritime Dangerous Goods Code. Rules for carrying dangerous goods by sea.

What does NAFTA stand for, and what is it?	North American Free Trade Agreement. Trade agreement between the US, Canada and Mexico (replaced by the USMCA in 2020).
What does GSP stand for, and what is it?	Generalized System of Preferences. Programme giving reduced or zero duty to imports from developing countries.
What does AGOA stand for, and what is it?	African Growth and Opportunity Act. U.S. programme giving duty-free access to eligible African countries.
What does CWC stand for, and what is it?	Chemical Weapons Convention. Treaty banning chemical weapons; its inspections qualify for licence exception GOV.
What does UN stand for, and what is it?	United Nations. Publishes the International Trade Statistics Yearbook.
What does ASEAN stand for, and what is it?	Association of Southeast Asian Nations. Regional group including Indonesia and Malaysia.
What does PRC stand for, and what is it?	People's Republic of China. Excluded from the "foreign government buyer" documentation waiver.
What does UCC stand for, and what is it?	Uniform Commercial Code. U.S. state-adopted law on sales; a sale over US$500 is enforceable by the seller only if in writing.
What does FCPA stand for, and what is it?	Foreign Corrupt Practices Act. U.S. law banning payments to foreign officials to win or keep business; the exporter is liable if it knew its agent paid a bribe.
What does EAR stand for, and what is it?	Export Administration Regulations. U.S. Department of Commerce rules that decide whether an export of dual-use goods needs a licence.
What does ITAR stand for, and what is it?	International Traffic in Arms Regulations. U.S. State Department rules for defence articles and services.
What does USML stand for, and what is it?	United States Munitions List. The list of defence items controlled under ITAR.
What does CCL stand for, and what is it?	Commerce Control List. The EAR's list of controlled items, each with an ECCN.

What does ECCN stand for, and what is it?	Export Control Classification Number. The 5-character code of an item on the Commerce Control List (e.g. 3A001).
What does CFR stand for, and what is it?	Code of Federal Regulations. The compiled U.S. federal rules. 10 CFR Part 110 covers nuclear equipment exports; Part 810 covers nuclear technology.
What does OFAC stand for, and what is it?	Office of Foreign Assets Control. U.S. Treasury office that runs sanctions and embargoes (e.g. Cuba, Iran, North Korea).
What does EEI stand for, and what is it?	Electronic Export Information. The U.S. electronic export filing; a "no licence required" claim in it is made under penalty of perjury.
What does NLR stand for, and what is it?	No License Required. The EAR determination that an export needs no licence.
What does LVS stand for, and what is it?	Low Value Shipments. EAR licence exception for small-value shipments.
What does GBS stand for, and what is it?	Group B Shipments. EAR licence exception for shipments to Country Group B.
What does CIV stand for, and what is it?	Civil end users. EAR licence exception for civilian (non-military) end users.
What does TMP stand for, and what is it?	Temporary. EAR licence exception for temporary exports, imports, re-exports.
What does RPL stand for, and what is it?	Replacement. EAR licence exception for servicing and replacement parts.
What does GOV stand for, and what is it?	Government. EAR licence exception for government end users and international organisations.
What does GFT stand for, and what is it?	Gifts. EAR licence exception for gifts and humanitarian donations.
What does TSU stand for, and what is it?	Technology and Software, Unrestricted. EAR licence exception for basic operating and sales technology and software.
What does BAG stand for, and what is it?	Baggage. EAR licence exception for personal effects, household goods, vehicles and tools of trade.
What does DEA stand for, and what is it?	Drug Enforcement Administration. U.S. agency that controls drugs and precursor chemicals (DEA Form 486). The slide writes "Agency".

What does USDA stand for, and what is it?	United States Department of Agriculture. Issues animal, plant and food export certificates.
What does PPQ stand for, and what is it?	Plant Protection and Quarantine. USDA unit; Form PPQ 577 is the Federal Phytosanitary Certificate.
What does FSIS stand for, and what is it?	Food Safety and Inspection Service. USDA unit for meat and poultry; Form 9060-6.
What does DOT stand for, and what is it?	Department of Transportation. U.S. agency for hazardous materials transport rules.
What does ATF stand for, and what is it?	Bureau of Alcohol, Tobacco, Firearms and Explosives. U.S. agency whose rules include labelling of alcohol and tobacco imports.
What does FTZ stand for, and what is it?	Foreign Trade Zone. A U.S. area treated as outside customs territory for duty purposes; goods there are still subject to the EAR.
What does U.S. CBP stand for, and what is it?	U.S. Customs and Border Protection. The U.S. customs authority (always spelled out in this pack).
What does SKA stand for, and what is it?	Surat Keterangan Asal. Certificate of Origin for Indonesian goods, issued by an IPSKA under Permendag 24/2018 (as amended, including 39/2020). Preferential forms such as Form D and Form E unlock lower FTA tariffs.
What does IPSKA stand for, and what is it?	Instansi Penerbit Surat Keterangan Asal. Government-authorized agency that checks applications (made online through e-SKA) and issues Certificates of Origin.
What does NPE stand for, and what is it?	Nota Pelayanan Ekspor. Customs approval issued after the PEB has been checked; it clears the goods to be loaded for export.
What does SPPB stand for, and what is it?	Surat Persetujuan Pengeluaran Barang. Customs approval that lets imported goods leave the port once the PIB, duties and taxes and any inspection are cleared.
What does CEISA stand for, and what is it?	Customs-Excise Information System and Automation. Indonesian customs' online system through which the PEB and PIB are filed.

What does BC stand for, and what is it?	Bea dan Cukai. The Directorate General of Customs and Excise; also the prefix of customs form codes (BC 1.1 = inward manifest, BC 2.0 = PIB).
What does BM stand for, and what is it?	Bea Masuk. Customs duty on imported goods, based on the customs value and the tariff rate for the HS code.
What does PPN stand for, and what is it?	Pajak Pertambahan Nilai. Value Added Tax (VAT); on imports it is collected at the border together with import duty.
What does PPh 22 stand for, and what is it?	Pajak Penghasilan Pasal 22. Prepaid income tax collected on imports; the importer later credits it against its annual income tax.
What does API stand for, and what is it?	Angka Pengenal Importir. Importer identity number. Under risk-based licensing through OSS, the NIB now also serves as the API.
What does Permenhub stand for, and what is it?	Peraturan Menteri Perhubungan. Ministerial regulation on transport, numbered with the prefix PM, e.g. PM 90/2013 on dangerous goods by air.
What does PM stand for, and what is it?	Peraturan Menteri (Ministry of Transportation numbering). Prefix in the numbers of Ministry of Transportation regulations, e.g. PM 90 Tahun 2013, PM 32 Tahun 2022.
What does CASR stand for, and what is it?	Civil Aviation Safety Regulations. Indonesia's civil aviation safety rules. Part 92 covers carrying dangerous goods by air.
What does SKPLBI stand for, and what is it?	Surat Keterangan Pencantuman Label dalam Bahasa Indonesia. Approval of the Indonesian-language label that Permendag 67/2013 required before covered goods were sold or imported.
What does DPR stand for, and what is it?	Dewan Perwakilan Rakyat. Indonesia's parliament. It makes Laws (UU) together with the President.
What does Lartas stand for, and what is it?	Larangan dan Pembatasan. The bans and permit requirements an import or export must clear, e.g. import approval, mandatory Indonesian label, new goods only.

What does "Asas cabotage" mean?	Rule in UU 17/2008: sea transport between Indonesian ports must use Indonesian-flagged ships crewed by Indonesian citizens.
What does B/L stand for, and what is it?	Bill of Lading. The carrier's document for sea cargo: receipt for the goods, evidence of the contract of carriage, and document of title.
What does P/L stand for, and what is it?	Packing List. List of the packages in a shipment with their contents, weights and marks.
What does CoO stand for, and what is it?	Certificate of Origin. Document proving where goods were made. Indonesia's version is the SKA.
What does ICAO stand for, and what is it?	International Civil Aviation Organization. UN agency that sets international aviation standards, including the Technical Instructions for carrying dangerous goods by air.
What does ATIGA stand for, and what is it?	ASEAN Trade in Goods Agreement. ASEAN's free trade agreement for goods. Its preferential certificate of origin is Form D.
What does ACFTA stand for, and what is it?	ASEAN–China Free Trade Area. Free trade area between ASEAN and China. Its preferential certificate of origin is Form E.
What does BIS stand for, and what is it?	Bureau of Industry and Security. U.S. Department of Commerce agency that administers the EAR and issues export licences.
What does TAP MPR stand for, and what is it?	Ketetapan Majelis Permusyawaratan Rakyat. Decree of the MPR, the People's Consultative Assembly. Second rung of the legal ladder in UU 12/2011, below the Constitution.
What does Perppu stand for, and what is it?	Peraturan Pemerintah Pengganti Undang-Undang. An emergency regulation the President issues in place of a Law; it has the rank of a UU and must be approved by the DPR. Cipta Kerja passed through Perppu 2/2022 into UU 6/2023.
What does Perda stand for, and what is it?	Peraturan Daerah. A regulation made by a regional parliament with the governor (province) or regent/mayor (regency/city). Bottom of the legal ladder; cannot make export or import policy.

What does Keppres stand for, and what is it?	Keputusan Presiden. Presidential Decree. Older treaties were ratified by Keppres, e.g. Keppres 35/1993 for the HS Convention.
What does Kepmenperindag stand for, and what is it?	Keputusan Menteri Perindustrian dan Perdagangan. Ministerial decree from before 2004, when industry and trade shared one ministry. 558/MPP/Kep/12/1998 set the four classes of export goods.
What does KUHPerdata stand for, and what is it?	Kitab Undang-Undang Hukum Perdata. Indonesia's Civil Code (the Dutch-era Burgerlijk Wetboek). Pasal 1320 sets the four conditions for a valid contract; Pasal 1338 freedom of contract.
What does INSW stand for, and what is it?	Indonesia National Single Window. One electronic portal linking customs with the licensing ministries (Perpres 44/2018).
What does DHE stand for, and what is it?	Devisa Hasil Ekspor. Foreign-currency export proceeds. Under PP 8/2025, natural-resource exporters keep 100% in Indonesia for 12 months.
What does KEK stand for, and what is it?	Kawasan Ekonomi Khusus. Special Economic Zone with tax and customs facilities (PP 40/2021).
What does KPBPB stand for, and what is it?	Kawasan Perdagangan Bebas dan Pelabuhan Bebas. Indonesia's free trade zones (Batam, Bintan, Karimun, Sabang) under PP 41/2021; goods entering are free of import duty and VAT.
What does BTKI stand for, and what is it?	Buku Tarif Kepabeanan Indonesia. The tariff book: 8-digit HS codes and import duty rates. BTKI 2022 was set by PMK 26/2022.
What does SNI stand for, and what is it?	Standar Nasional Indonesia. Indonesian National Standard. Mandatory SNI products (e.g. toys, helmets) need certification before sale or import (UU 20/2014).
What does BPOM stand for, and what is it?	Badan Pengawas Obat dan Makanan. Indonesia's food and drug authority; approves imports of food, medicines and cosmetics.
What does RTRW stand for, and what is it?	Rencana Tata Ruang Wilayah. Regional spatial plan set by Perda: where industry, warehouses and ports may be built.

What does GATT stand for, and what is it?	General Agreement on Tariffs and Trade. The WTO's core agreement on trade in goods: most-favoured-nation treatment, national treatment, bound tariffs.
What does TFA stand for, and what is it?	Trade Facilitation Agreement. WTO agreement (in force 2017) on faster, more transparent customs clearance; ratified by Indonesia through UU 17/2017.
What does WCO stand for, and what is it?	World Customs Organization. The world body of customs administrations; maintains the HS code.
What does MFN stand for, and what is it?	Most-Favoured-Nation. WTO principle: a tariff advantage given to one member must be given to all, except under FTAs and listed exceptions.
What does CISG stand for, and what is it?	United Nations Convention on Contracts for the International Sale of Goods. UN convention (Vienna, 1980) with uniform rules for international sales contracts. The U.S. is a party; Indonesia is not.
What does RCEP stand for, and what is it?	Regional Comprehensive Economic Partnership. Free trade agreement of ASEAN with China, Japan, Korea, Australia and New Zealand; ratified by UU 24/2022.
What does IA-CEPA stand for, and what is it?	Indonesia–Australia Comprehensive Economic Partnership Agreement. Bilateral trade agreement between Indonesia and Australia; ratified by UU 1/2020.
What does UCP 600 stand for, and what is it?	Uniform Customs and Practice for Documentary Credits, ICC Publication No. 600. The International Chamber of Commerce rules for letters of credit (2007). Private rules: they apply because the L/C says so.

Laws & flows (video) 12 cards

UU 7/2014: what does it govern, and which articles matter?	Law on Trade. Pasal 6: Indonesian-language labels. Pasal 47: import new goods only. Pasal 104/112: up to 5 years and/or Rp 5 billion. Partly amended by UU 6/2023 (Cipta Kerja).
Permendag 24/2018 and 39/2020	24/2018 = base rule for issuing the SKA (Certificate of Origin) for Indonesian goods. 39/2020 = its 3rd amendment; 34/2023 = 4th.

Preferential vs non-preferential SKA	Preferential (e.g. Form D for ATIGA, Form E for ACFTA) unlocks a lower FTA tariff. Non-preferential only proves origin.
Indonesian-label rule chain	62/2009 → 22/2010 (amended it) → 67/2013 (replaced both) → 73/2015 → 25/2021 (in force).
Permendag 67/2013 in one line	Indonesian labels on electronics, building materials and vehicle parts; imports labeled before entering the customs area; approval letter SKPLBI. No longer in force.
UU 17/2008: two things to remember	Law on Shipping. (1) Port definition = Week 2 slide 9. (2) Cabotage: domestic sea transport by Indonesian-flagged ships with Indonesian crew.
PM 90/2013	Permenhub on safety of carrying dangerous goods by aircraft (CASR Part 92, ICAO Technical Instructions). Revoked and replaced by PM 32/2022.
The 9-step export flow	Identity (NIB, ET/PE) → contract + Incoterm → L/C → invoice, packing list, forwarder → PEB via CEISA (+LS) → NPE → loading, B/L → SKA → documents to bank, payment.
The 9-step import flow	Identity (NIB as API) + lartas → PO/L/C → shipping docs + CoO → manifest (BC 1.1) → PIB (BC 2.0) → pay BM, PPN, PPh 22 → lane → SPPB → goods out.
Customs lanes	Green: released on documents. Yellow: document check. Red: physical inspection.
Taxes paid on import	BM (Bea Masuk, import duty), PPN (Pajak Pertambahan Nilai, VAT), PPh 22 (prepaid income tax, Article 22). Self-assessed and paid before release.
Citation corrections in the topic list	"Permendag 11/2004" = 11/2024. "Permendag 24/2001" = 24/2018. PM 90/2013, 22/2010 and 67/2013 are no longer in force.

Regulations by level 30 cards

Three levels of Indonesian trade rules (and the mnemonic)	Treaty, Law, Land: international (treaties, ICC rules), national/central (UUD → UU → PP → Perpres → Permen), regional (Perda: land, permits, local levies). No federal level: Indonesia is a unitary state.
U.S. vs Indonesia: who governs the contract?	U.S.: state law (UCC Article 2). Indonesia: national Civil Code, KUHPerdata Pasal 1320 (valid contract) and 1338 (freedom of contract).
Hierarchy in UU 12/2011 Pasal 7 ("UTU + 4P")	UUD 1945 → TAP MPR → UU/Perppu → PP → Perpres → Perda Provinsi → Perda Kabupaten/Kota. Permen enter by Pasal 8.
UU 24/2000	Law on International Agreements: treaties are ratified by UU or by presidential act (Perpres; Keppres for older ones).
International: "WTO + 5 C's"	WTO/GATT (UU 7/1994) + Codes (HS) · Contracts & cash (Incoterms, UCP 600, CISG ✗, New York Conv.) · Clubs (ATIGA, ACFTA, RCEP, IA-CEPA) · Creatures & waste (CITES, Basel) · Cargo danger (IMDG, ICAO).
WTO TFA	Trade Facilitation Agreement (in force 2017), ratified by UU 17/2017: single window, pre-arrival processing, risk-based inspection.
HS Convention	WCO convention, ratified by Keppres 35/1993. Indonesia's 8-digit tariff book: BTKI 2022 (PMK 26/2022).
CISG and Indonesia	Indonesia is NOT a party. Choose the governing law and forum in the contract.
New York Convention 1958	Ratified by Keppres 34/1981 (+ UU 30/1999 Arbitration): foreign arbitration awards can be enforced in Indonesia.
ATIGA · ACFTA · RCEP · IA-CEPA: how ratified	ATIGA: Perpres 2/2010 (Form D). ACFTA: Keppres 48/2004 (Form E). RCEP: UU 24/2022. IA-CEPA: UU 1/2020.
CITES · Basel	CITES (Keppres 43/1978): permits for endangered species, e.g. arowana. Basel (Keppres 61/1993): hazardous waste needs the importing country's consent.

UUD 1945: four articles for trade	Pasal 33 natural resources · 23A taxes and duties need a Law · 11 treaties need DPR approval · 17(3) ministers run their sectors.
UU 10/1995 jo. 17/2006	Customs Law: customs area, PEB/PIB, duties, value, inspection. Smuggling: 1–10 years and Rp 50 million–5 billion.
UU 11/1995 jo. 39/2007	Excise Law: tobacco, alcohol; excise stamps (pita cukai).
UU 7/2014 Pasal 50–54	Free unless prohibited, restricted or otherwise set by law (50). Prohibited goods (51–52). Restrictions (54) to meet domestic needs, secure raw materials, protect resources, add value, stabilize prices.
UU 3/2020 (Minerba)	Amends UU 4/2009: minerals must be processed/refined domestically. Basis for raw-ore export limits and Permendag 11/2024's copper deadline.
UU 20/2014 · 33/2014 · 21/2019	Standardization (SNI) · Halal Product Assurance · Animal, Fish and Plant Quarantine.
UU 24/1999 and PP 8/2025	Foreign exchange flows are free but reported. PP 8/2025 (amending PP 36/2023): natural-resource exporters keep 100% of proceeds in Indonesia for 12 months, from 1 March 2025.
PP 29/2021 · PP 28/2025	Trade-sector implementing rule · risk-based business licensing through OSS (NIB), replacing PP 5/2021.
PP 40/2021 · PP 41/2021	Special Economic Zones (KEK) · Free Trade Zones and Free Ports (KPBPB: Batam, Bintan, Karimun, Sabang).
Perpres 11/2022 · 44/2018 · 32/2022	Ministry of Trade · Indonesia National Single Window (INSW) · Commodity Balance (Neraca Komoditas).
Export rules: "22 says no, 23 says how"	Permendag 22/2023 = prohibited exports (4th amendment 6/2026). Permendag 23/2023 = restricted exports with ET, PE, LS (amended by 11/2024, 21/2024, 9/2025).
Import rules: "16 + 8, and 47 bans"	Permendag 16/2025 general import policy + 17–24/2025 sector rules (from 29 Aug 2025), replacing 36/2023. Permendag 47/2025 = prohibited imports (from 1 Jan 2026).

PMK customs toolkit	PMK 155/2022 export customs (PEB) · PMK 26/2022 tariff book BTKI 2022 · PMK 38/2024 export duty (amended 68/2025) · PMK 4/2025 consignments.
Regional level: what can a province or regency control?	Land use (Perda RTRW), building and local permits, local levies on the closed list of UU 1/2022, local harbours. Not export or import policy. Provincial/city trade offices can act as IPSKA (issue SKA).
UU 23/2014	Regional Government Law: splits affairs between central, provincial and regency/city levels. Foreign trade stays central.
Number pegs: 7 · 17 · 24	7 opens trade: UU 7/1994 WTO, UU 7/2014 Trade. 17 moves things: UU 17/2006 customs, 17/2008 shipping, 17/2017 TFA. 24 crosses borders on paper: UU 24/1999 forex, 24/2000 treaties, Permendag 24/2018 SKA, UU 24/2022 RCEP.
Four classes of export goods: old vs new	1998 (Kepmenperindag 182 → 558/1998): bebas, diatur (ET only), diawasi (Minister's approval), dilarang. From 2012 (Permendag 13/2012) and UU 7/2014: free, restricted, prohibited.
Old "diatur" and "diawasi" today	Merged into restricted goods. Diatur ≈ ET (Registered Exporter); diawasi ≈ PE (Export Approval).
Private rules vs treaties	Incoterms 2020 and UCP 600: private ICC rules, bind by contract or L/C. WTO, ATIGA, RCEP: treaties ratified by the state.

Mock midterm exam

Modelled on a typical midterm format. It covers all seven midterm weeks; each question is tagged with its week (W1–W7). Work under timed conditions, then check yourself with the answer key.

Course ENPR6304032 International Business through Exporting-Importing

Time 120 minutes **Total** 100 points

Sections A: 25 MCQ (50) · B: 6 short answers (30) · C: 2 cases (20)

Section A · Multiple choice

25 × 2 pts

A1

(W1) Which variable is NOT named in Week 1 as shaping how a company organizes export/import work?

A Company size

B Volume of exports/imports

C Tasks done in-house vs. outsourced

D Whether the company is listed on the stock exchange

A2

(W1) In the textbook export order processing, the customer receives a quotation or pro forma invoice at the end of which stage?

A Quotation

B Order entry

C Shipment

D Collection

A3

(W1) Why does import compliance begin at the product design stage?

A Designers must hold a customs licence

B The product's make-up decides classification, duty, FTA eligibility, valuation and origin marking

C Customs inspects factories during design

D Design costs are dutiable

A4

(W1) Negligent failure to produce records; appraised value US$60,000. Maximum fine?

A US$24,000

B US$10,000

C US$45,000

D US$60,000

A5

(W2) In the U.S. system, exports and imports themselves are governed primarily by:

A State law

B Federal law

C Contract law

D Municipal law

A6

(W2) Goods are SUPERVISED for export mainly to:

A Meet domestic needs

B Encourage product diversification

C Protect cultural heritage

D Raise tariff revenue

A7

(W2) In Lampiran I of Permendag 11/2024, an LS (Laporan Surveyor) is:

A Registration of the exporter

B Approval of the export quantity

C A surveyor's verification of the actual shipment

D A sanitary certificate

A8

(W2) Which item does Indonesia's 2025 import policy prohibit importing?

A New machinery

B Second-hand goods

C Raw cotton

D Computer software

A9

(W3) Small, isolated export sales may be made using:

A Only a formal distributor agreement

B Purchase orders and purchase order acceptances

C A letter of credit and bid bond only

D An end-user certificate only

A10

(W3) Destination controls ask:

A What is being exported?

B Who is the buyer?

C Why does the buyer want it?

D Where is the export going?

A11

(W3) A buyer pays cash for a very expensive item when financing is normal. This is:

A A sign of a reliable buyer

B A red flag

C Required under the EAR

D A licence exception

A12

(W3) Which is part of "pre or post licensing activity" in an export control review?

A Restricted party screening

B Destination control statements

C Determining fundamental research

D Classifying the ECCN

A13

(W4) A sales agreement is best drafted as a single signed document when:

A The deal is small and routine

B The deal is large, or there are payment/delivery concerns, regulations, or cultural differences

C The buyer pays in advance

D The goods are sold by a distributor

A14

(W4) Which document typically comes immediately after the buyer's purchase order in the chronology?

A Price list

B Request for quotation

C Purchase order acknowledgment

D Commercial invoice

A15

(W4) A distributor, unlike a sales agent:

A Never takes title

B Buys the goods and bears the risk of resale

C Is paid only by commission

D Cannot be located abroad

A16

(W4) An agent asks the exporter to pay its commission to an unrelated third party. Under the FCPA this should be treated as:

A Normal practice

B An unusual circumstance suggesting a possible bribe

C A licence exception

D A distributor right

A17

(W5) Why must an exporter understand documents its forwarder prepares?

A The forwarder is not allowed to sign

B The exporter is legally responsible for the forwarder's errors

C Documents must be in the exporter's language

D The carrier requires it

A18

(W5) Which statement about certificates of origin is correct?

A It is the same as the country-of-origin label

B It may be required to claim preferential tariffs under a trade agreement

C It is issued by the carrier

D It is only needed for dangerous goods

A19

(W5) A shipper's declaration for dangerous goods sent by sea must follow the:

A IMDG Code

B UCC

C FCPA

D GSP

A20

(W6) Under the EAR, a foreign-made product with 12% controlled U.S. content is going to an embargoed country. It is:

A Within de minimis

B Above de minimis, so subject to the EAR

C Never subject to the EAR

D Automatically licence-free

A21

(W6) Licence exception GFT covers:

A Government users

B Gifts and humanitarian donations

C Group B shipments

D Temporary exports

A22

(W6) A licence must be applied for when the item is subject to the EAR, on the CCL, has an "X" in the Country Chart, and:

A The buyer is a government

B No licence exception applies

C The value is low

D The goods are temporary

A23

(W7) Importers of manufactured goods compare countries by:

A Only distance from the U.S.

B Proximity to raw materials, labour cost, exchange rate and transport cost

C Population size only

D The exporter's brand

A24

(W7) Containers are recommended for imports mainly because they:

A Avoid customs duty

B Give the best protection against damage and theft

C Remove labelling requirements

D Replace insurance

A25

(W7) To make the seller responsible for its own country's export laws, the buyer should usually buy:

A Ex-factory

B FOB port of export, CIF or landed

C On consignment

D Through a sales agent

Section B · Short answer

6 × 5 pts

Write your answers on paper, then mark them against the model answers.

B1 · 5 pts

(W1) Calculate the maximum recordkeeping fine and show your reasoning: (a) intentional failure, appraised value US$120,000; (b) negligent failure, US$15,000; (c) negligent failure, US$40,000. Explain why the law uses "whichever is less".

B2 · 5 pts

(W2) List the four classes of export goods with the reason for each, then explain what ET, PE and LS control in Lampiran I and name one product needing all three.

B3 · 5 pts

(W3) Explain the four dimensions of U.S. export controls (What, Who, Why, Where) and give two red flags, saying which dimension each threatens.

B4 · 5 pts

(W4) Describe the three ways a sales agreement can be formed. Then explain how a seller can protect itself when sending a price list and when receiving a purchase order.

B5 · 5 pts

(W5) Distinguish a certificate of origin from a country-of-origin label, and explain why an exporter remains responsible for documents prepared by its freight forwarder.

B6 · 5 pts

(W6) A Malaysian factory makes a machine worth US$50,000 containing US$11,000 of controlled U.S. parts. Is it subject to the EAR if shipped (a) to Vietnam, (b) to an embargoed country? Show the calculation, then list the remaining EAR steps if it is subject.

Section C · Case analysis

2 × 10 pts

C1 · 10 pts

Case 1 · PT Nusantara Kimia (export). A mid-sized chemical maker in Surabaya receives its first foreign enquiry by email: a buyer wants 20 tonnes of acetone (HS 2914.11.00) every quarter. The buyer says it is a paint maker in Malaysia, but asks that the goods be consigned to a freight forwarder in a third country, offers to pay the first order in cash in advance, and declines technical support. One administrative employee currently handles all shipping paperwork through an outside forwarder.

(a) Which Indonesian export permits apply, and why? (3 pts)
(b) Which red flags do you see, and what should the company do before quoting? (3 pts)
(c) The buyer replies to the quote by email "OK, ship it." How should the company form a safe contract and which documents should accompany shipment? (2 pts)
(d) How should the company organize its export function as orders grow? (2 pts)

C2 · 10 pts

Case 2 · CV Rasa Impor (import). A Jakarta trading company plans for 2025 to: (1) import consumption sugar from Thailand; (2) import used espresso machines from Australia; (3) become exclusive Indonesian distributor of a new Italian espresso machine brand. The Italian supplier quotes ex-factory prices. CV Rasa Impor will also pay a commission to an Italian buying agent who helped find the supplier.

(a) Assess plans 1 and 2 under Indonesia's 2025 import policy. (2 pts)

(b) How should CV Rasa Impor vet the Italian supplier and protect its distributor position? (3 pts)

(c) Should it accept ex-factory terms? Explain, with one reason it might. (3 pts)

(d) How should the buying commission be handled, and why? (2 pts)

Model answers

Section A key

Q	A1	A2	A3	A4	A5	A6	A7	A8	A9
ANS	D	A	B	B	B	A	C	B	B
Q	A10	A11	A12	A13	A14	A15	A16	A17	A18
ANS	D	B	B	B	C	B	B	B	B
Q	A19	A20	A21	A22	A23	A24	A25		
ANS	A	B	B	B	B	B	B		

B1

a. Intentional: lesser of \$100,000 and 75% × 120,000 = \$90,000 → **\$90,000**.

b. Negligent: lesser of \$10,000 and 40% × 15,000 = \$6,000 → **\$6,000**.

c. Negligent: lesser of \$10,000 and 40% × 40,000 = \$16,000 → **\$10,000**.

(1 pt each, 2 pts for the reasoning.) The percentage cap stops a small shipment's fine exceeding its value; the fixed cap limits large shipments. Intent is fined more heavily than negligence.

B2

- Free (encourage exports: market access, competitiveness, diversification); regulated (international rules, K3LM, preserve nature, added value); supervised (domestic needs, nature); prohibited (scarcity, K3LM, cultural value). (2 pts)
- ET = who may export (registered exporter); PE = how much and where, from the Neraca Komoditas; LS = surveyor verifies the shipment. (2 pts)
- All three: rough diamonds, pure tin ingots, or non-pharma precursors (acetone, toluene), because they are high-risk (security, smuggling, strategic). (1 pt)

B3

- What: product controls (licence for e.g. military-modified equipment). Who: end-user controls (denied/sanctioned lists). Why: end-use controls (no help to a sanctioned country's military). Where: destination controls (embargoes: Cuba, Iran, North Korea, Sudan, Syria). (3 pts)
- Two red flags, e.g. forwarder listed as final destination → threatens Where/Who (hides the real end user); bakery ordering sophisticated computers → threatens Why (end use does not fit); buyer declines installation and training → Why. (2 pts)

B4

- Single signed document (clearest); exchange of documents (PO / acceptance); conduct (shipping or paying accepts all the offer's terms). (3 pts)
- Price list: say it is not an offer, no agreement until a PO is received and approved, add expiry date, include seller's T&Cs. (1 pt)
- PO: in any earlier offer, state that no agreement exists until the seller accepts the PO, so the buyer's PO terms do not govern; review conflicts. (1 pt)

B5

- Certificate: a document signed by the exporter and certified by the chamber of commerce, proving where goods were made; may be needed for customs entry or FTA preferences. Label: marking on the product and packaging. The certificate can supplement or substitute the label requirement. (3 pts)
- The exporter is legally responsible for its agent's errors, and the forwarder relies on the exporter's information, so errors are traced back to the exporter. (2 pts)

B6

- Share = 11,000 / 50,000 = **22%**. (1 pt)
- (a) Non-embargoed limit 25% → 22% is within de minimis → not subject on that basis. (1 pt)
- (b) Embargoed limit 10% → 22% exceeds it → subject to the EAR. (1 pt)
- Next: classify on the CCL (ECCN) and check the Country Chart; check the 10 General Prohibitions; look for a licence exception (after §740.2 restrictions); otherwise apply for a licence (embargo may mean general denial). (2 pts)

C1

(a) Acetone is in Lampiran I group XI, non-pharmaceutical precursors: **ET + PE + LS**. ET needs a Ministry of Industry recommendation (valid 3 years); PE follows the commodity balance; LS = surveyor checks the shipment. Reason: precursors can be diverted to illegal drug production (security/K3LM).

(b) Red flags: forwarder as final destination; destination different from buyer's location; cash for a large order where credit is normal; declining technical support. Before quoting: restricted party screening, verify the buyer (background, finances, reputation), confirm end use and destination, request an end-user certificate, keep records. Do not quote until resolved.

(c) An email "OK" covers little. Use a single signed sales agreement (large, regulated, ongoing deal) or at least an acceptance that incorporates and attaches the seller's

T&Cs; record that no agreement exists until the seller accepts. Documents: commercial invoice, packing/shipping documents, dangerous goods declaration (acetone is flammable), certificate of origin if the buyer's customs or an FTA requires it, plus ET/PE/LS.

(d) One untrained person handling controlled chemicals is the Week 1 problem: appoint and train a compliance owner; as volume grows, create an export department as the hub, consider insourcing forwarder tasks, specialize roles, keep electronic and hard-copy records.

C2

(a) Sugar: 2025 policy stops imports of strategic food such as consumption sugar and rice (food self-sufficiency, farmers' income) → not feasible. Used machines: second-hand goods are prohibited imports → not allowed.

(b) Check reputation and performance, visit/inspect the factory, get references and an international credit report; confirm whether the supplier has already appointed another Indonesian distributor or agent (exclusive or not) and whether it acts as manufacturer or agent; sign a written distributor agreement (ownership, resale price is the distributor's own decision, territory). Specify packing and Indonesian labelling requirements before shipment.

(c) Generally no: ex-factory makes the buyer responsible for Italian export formalities, insurance and inland transport; Bade advises FOB port of export, CIF or landed so the seller handles its own export law. It might accept if it can get cheaper ocean freight or insurance itself, or already has warehouse-to-warehouse marine insurance.

(d) Sign a separate agency agreement and pay the buying commission separately: a buying commission is not dutiable, while a selling commission is, so keeping it separate keeps it out of customs value.